

Emerging Markets Economic Outlook & Strategy

Artificial Intelligence and the EM Growth Divide



CITI'S TAKE

There are only a few potential EM winners (Taiwan, Korea, Singapore) in the US-led AI capex cycle, but if the 1990s IT revolution were any guide, prospects for future productivity gains could accrue more to the “users” versus “producers”. Here too, EM looks relatively disadvantaged vs DM, as AI adoption prospects remain highly correlated with per capita GDP through digital-infra/skills, and occupational structure’s readiness for AI disruption. China’s lower-cost “frugal stack” could accelerate AI diffusion across EM but its benefits are likely to be unevenly distributed to a few. It is too early to assess labor-market effects, but abundance of young job-seekers in Africa & Asia is a challenge. AI could narrow the skills-gap between DM and EM, but overall effects are unlikely to be large enough vs displacement and commodification of lower skilled tasks. India’s business process outsourcing services export growth remains very resilient, while Philippines’ is slowing sharply.

The rapid growth of AI technologies could disadvantage most of EM vs DM led by US. China is the only EM economy in the AI frontier producer stack, but even there, the effects are not large enough to offset domestic demand weakness. If the 1990s IT revolution were any guide, future productivity gains could accrue more to the “users” versus “producers”. Here too, EM looks relatively disadvantaged vs DM as AI adoption (current and prospects) remain highly correlated to per capita GDP through digital-infra/skills, and occupational structure’s readiness for AI disruption.

Only a small group of EM economies are meaningful potential winners from the US-led AI capex cycle. Taiwan, Korea and Singapore stand out through their role in supply-constrained (upstream) semiconductors, translating external demand into production, terms-of-trade and investment gains. Lower value-added downstream IT supply chain in Malaysia, Vietnam, Thailand or Mexico has smaller macro effects. Data-center investment supports a few small hubs such as Malaysia and Thailand but imported equipment and low operational employment constrain domestic spillovers; dividends may come from services exports and domestic AI adoption.

AI’s labor-market effects may be emerging first among younger workers and outsourcing hubs, with increasingly divergent outcomes. While we are still in the early stages of AI adoption in EM, abundance of young job-seekers in Africa & Asia is a challenge. India’s BPO exports remain robust, potentially supported by deeper skilled-labor pools and expanding global capability centers. Philippine BPO growth, by contrast, has slowed sharply amid its heavier dependence on voice-based customer services, which may be vulnerable to increasingly capable AI agents.

What happens to EM if the “AI bubble” eventually bursts? We see three transmission channels to EM: heightened risk aversion, spillovers from weaker real demand (not only on AI capex but reverse wealth effects) and financial vulnerabilities (leverage, margin calls). In such a scenario, while US Treasuries are the typical safe haven, their hedging properties to equity market sell offs have arguably weakened per BIS, creating a potential opening for some “high quality” EM local currency bonds, particularly if (and this is a big if) the shock is large enough to cause a large repatriation of flows away from the US, resulting in a weakening of US dollar.

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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Artificial Intelligence and the EM Growth Divide

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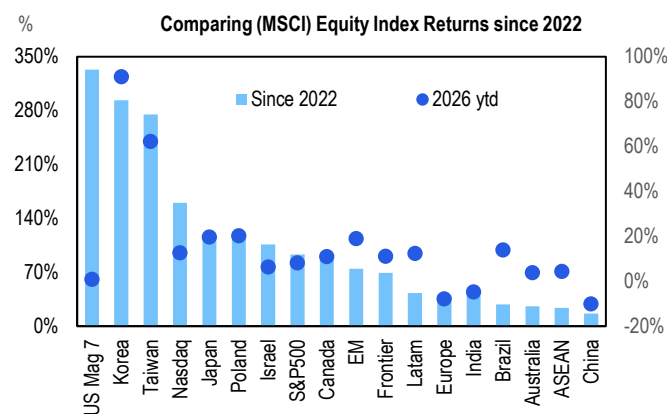
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Perceptions about AI and EM

It is hard to ignore how important the AI story has been in driving global growth (via a boost to aggregate demand from US-led AI-related capex) that has been able to help (partly) offset repeated policy-induced macro shocks, be it the tariff volatility in 2025, or this year's ongoing Middle East crisis. While much of the fascination with AI technologies is how this translates into expected earnings momentum at the firm level, driving significant reflation and dispersion in global equity market performance, we take a step back and look at a broader question for EM: how will a general-purpose technology like AI impact *the global distribution of these growth dividends*, even as macro experts hotly debate about the potential quantum of this productivity dividend – from the more skeptical views from Daron Acemoglu expecting only 0.55%–0.71% in total gains cumulatively over 10yrs¹ – to more optimistic estimates from Citi's global team of 6–16% or 0.5–1.5% a year.² The short answer is, of course, we don't really know.

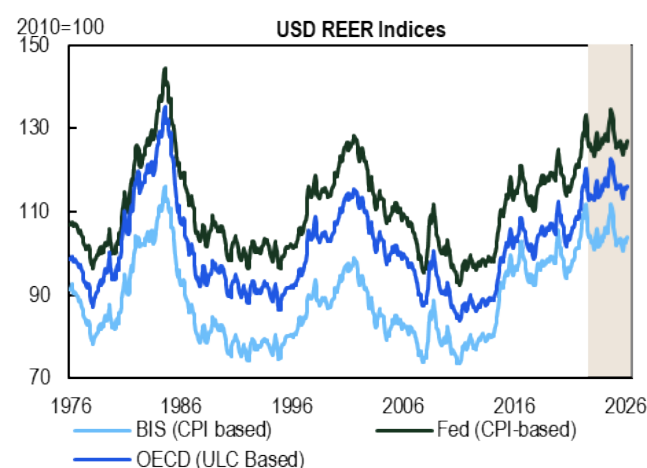
We believe there is a **widespread assumption that views AI as relatively disadvantageous to (most of) EM³ (and Europe) vs US** (e.g. [BIS](#), Dec 2025), which partly helps explain the relative equity outperformance of US Mag7, Korea and Taiwan stocks (whose indices are highly skewed to chip players) and Nasdaq since 2022 (Fig 1). This relative outperformance is despite recent market volatility,⁴ and continued [extended US dollar strength](#) (Fig 2) notwithstanding gradual diversification flows from key investors, such as central banks ([Reuters](#), 30 June).

Figure 1. Comparing (Price) Returns on Select US and MSCI Equity Indices since 2022 and YTD (as of 24 July)



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Source: Bloomberg, Citi Research

Figure 2. US dollar has retained its relatively lofty valuation since 2022



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Source: Haver, Fed, BIS, Citi Research

¹ D. Acemoglu. "The Simple Macroeconomics of AI," *Economic Policy*, Vol 40: 121 (Jan 2025)

² See [Productivity & the AI Revolution: Implications for the Economy and Markets](#) (Sep 2025)

³ More developed EM such as Korea, Taiwan and possibly Israel, are exceptions to this.

⁴ On 26 June, our US equity strategist reduced their tech sector recommendation to market weight from overweight. See [PULSE Monitor - Broadening or Tech Zero-Sum Game?](#).

We think the assumption of EM's *disadvantage* vs US relies on three key narratives.

- **First**, a commonly held view is that the bulk of the value created by AI will be captured by U.S.-based platform companies, which currently lead in frontier model development, along with a select group of enabling hardware providers in emerging markets, particularly in Korea and Taiwan. Based on this view, much of the productivity gains generated by AI would be garnered by US firms in the form of fees, software subscriptions, etc. Using cloud revenue as a proxy, U.S. providers generate substantially higher revenues than their global peers (**Figure 3**). This supports the above view of US companies being the major beneficiaries of AI driven productivity gains.

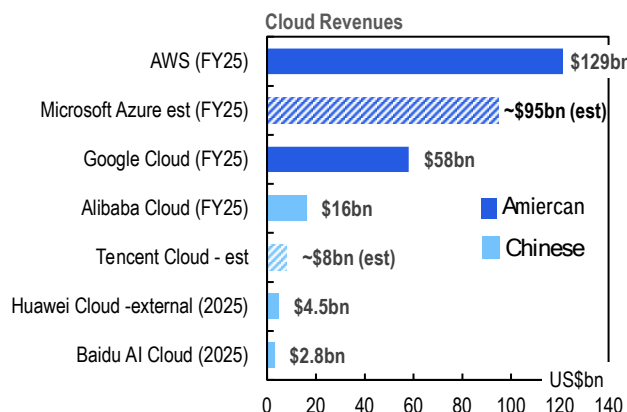
An important exception (and possible disruption) to this narrative is the extent to which Chinese (open) AI models, alongside its own hardware ecosystem, propagates, and thus, redistributing the flow of rents, especially as:

- Shift to usage-based pricing is leading to higher AI bills per task ([Reuters](#), 29 June), making China's much cheaper token costs more attractive (Figure 4). Experts attribute substantially lower costs of Chinese models due to algorithmic efficiency (i.e. less compute-intensity), cheaper energy /other infrastructure costs, subsidies and more aggressive pricing ([CNA](#), 16 June)
- Risk that access to US frontier models could be restricted has driven sovereign AI initiatives favoring open-source / -weight models dominated by China (see [Artificial Intelligence - Citi's Inference Ahead – Open-Source Moment](#)); and,
- With the release of China's Moonshot's Kimi K3 ([Bloomberg](#), 18 Jul) or Z.AI's GLM 5.2 ([Tom's Hardware](#), 30 Jun), users no longer need to compromise much on performance when choosing alternatives to leading US closed models.

A lingering question for the last two points is how the growing adoption of Chinese (open) AI models would effectively translate into economic rents to Chinese firms—i.e. enterprises may deploy Chinese-developed models, but still run them on U.S. cloud infrastructure, and utilize U.S.-developed AI tools. As a result, the diffusion of AI enabled by Chinese models does not necessarily imply that rent is captured proportionately by Chinese firms.

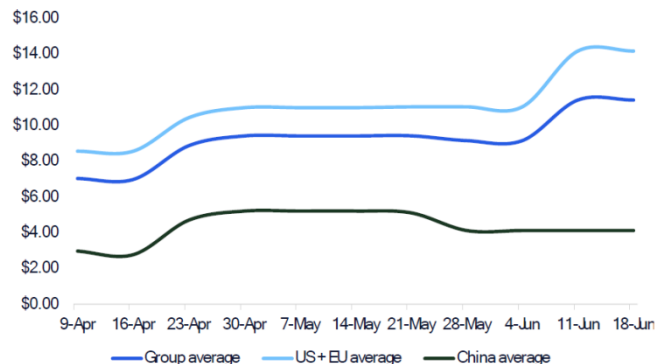
Nonetheless, there are other likely ways to monetize, including building enterprise software customization/fine-tuning where Chinese expertise may still be competitive. Regardless, China is still the only EM player in the AI frontier-stack, but even there, we do not think China's AI-enabled IT services growth (and physical application layer), so far, will be large enough to offset its broader domestic demand weakness.

Figure 3. US vs China Cloud revenues of leading firms



Source: Andrew Stokols. "The 'Low Trust-Open Source' Paradox of AI Adoption in China," Sinocities (24 June 2026); Notes: Azure & Tencent are estimates by author, Huawei is extern customer revenue ~\$10bn if including internal, according to author. Check original article for more Chinese cloud revenues.

Figure 4. Frontier model -output tokens average listed price



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Source: Citi Research

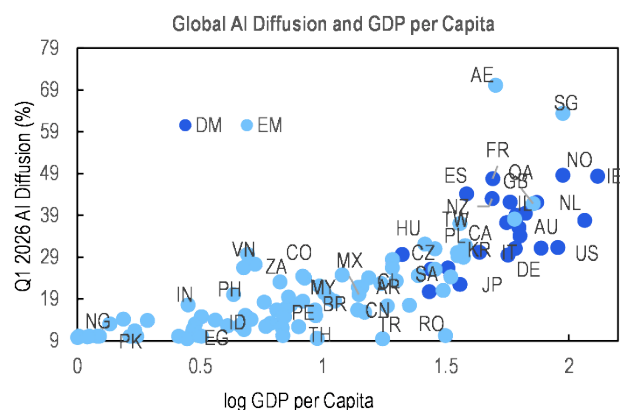
- **Second**, productivity gains coming from AI (as well as the RoI for the AI hardware builders) ultimately depends on the diffusion of the technology, especially on businesses. In fact, lessons from the 1990s IT revolution suggest that the bulk of US's post 1995 productivity growth accrued to the IT users rather than the producers.⁵ But what do contemporaneous cross-country measures of AI diffusion tell us? We look at Microsoft's AI diffusion metric (population-normalized metric of anonymized Microsoft telemetry, adjusted for device access and mobile scaling),⁶ which is likely understating China's diffusion that rely on non-Microsoft platforms. Their latest AI diffusion trends show strong correlation to per capita GDP (Figure 5).

Beyond that, when one looks at *predictive* measures of AI diffusion, e.g. **IMF's AI preparedness index** – comprising four dimensions that facilitate AI diffusion: digital infrastructure & penetration, human capital and labor market policies, innovation and economic dynamism, and regulations and ethics – this is also highly correlated with per capita income (Figure 6). Beyond the lack of basic infrastructure to power AI tools in the Global South, the English-centeredness of LLMs will bias against an estimated over 1.2 billion people who speak in languages other than what AI systems are built and trained on (UNDP, 16 Feb).

⁵ See R. Kroszner. "What Drives Productivity Growth? Implications for the Economy and Prospects for the Future", Fed Governor's speech at the Forecasters Club of New York (2006) and M. Bailey & R. Lawrence. "Do we have a New E-conomy?" *NBER Working Paper* 8243 (Apr 2001)

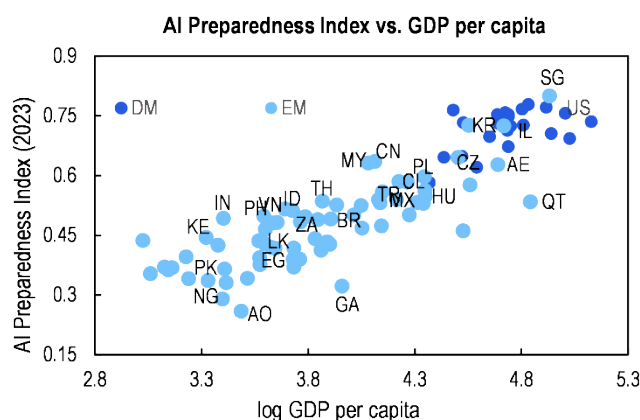
⁶ For details, see A. Misra et al. "Measuring AI Diffusion: A Population-Normalized Metric for Tracking Global AI Usage", *Microsoft AI Economy Institute* (Nov 2025); read: [here](#)

Figure 5. Measures of AI diffusion (Microsoft Q1 2026 AI Diffusion Report) are highly correlated to per capita GDP



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Source: Microsoft, IMF, Haver, Citi Research

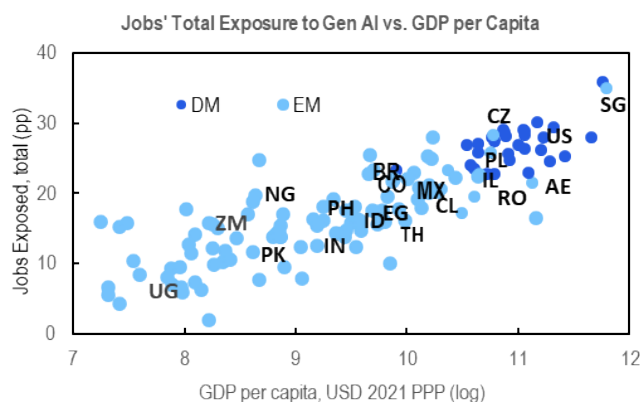
Figure 6. IMF's AI Preparedness Index is highly correlated to per capita GDP



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Source: IMF, Haver, Citi Research

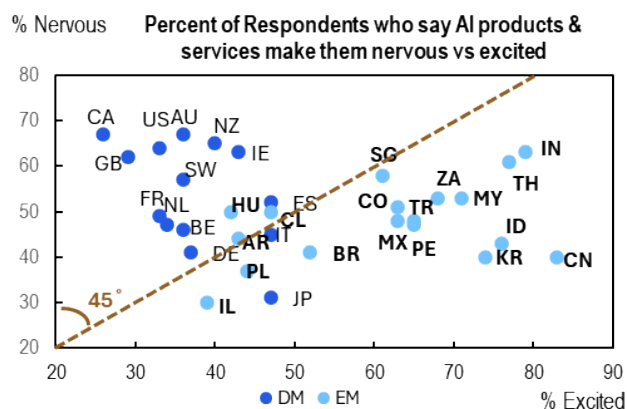
- **Lastly**, when it comes to cross-country *occupational structure* of EM and DM, EM generally has lower exposure to cognitive-intensive jobs ripe for AI disruption, which would be a key source of productivity gains. We use country-level AI exposure from ILO study that decomposes job exposure to AI alongside varying gradient of task variability; i.e. more task variability (requiring human dependent judgement) → lower AI job exposure.⁷ Again, AI job exposure looks highly correlated to per capita GDP (Figure 7). With uncertainties on how AI tools will impact jobs (either replaces or compliments), it should not be a surprise that a nervous attitude towards AI is more prevalent in DM than EM (Figure 8).

Figure 7. GenAI job exposure is correlated with per capita GDP



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Source: See footnote 7, Citi Research

Figure 8. IPSOS Survey: EM countries (even high-income ones) are more positive about AI than DM (ex-Japan)



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Source: The IPSOS AI Monitor 2026 (June 2026), Citi Research

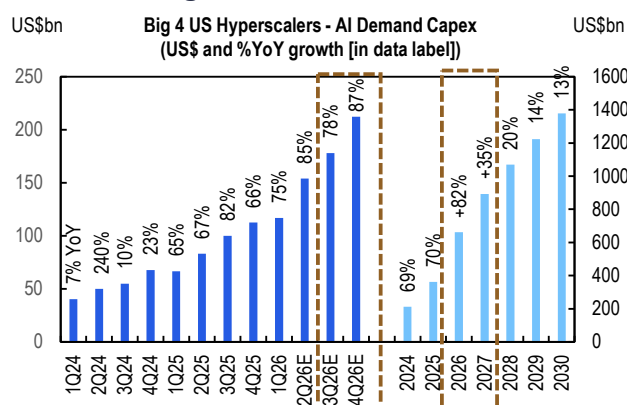
⁷ P. Gmyrek, M. Viollaz & H. Winkler. "Disruption without Dividend: How the Digital Divide and Task Differences Split GenAI's Global Impact", *ILO Working Paper No. 166* (March 2026).

Only a few EM “winners” in the US-led AI capex cycle

We believe we are still in the accelerated AI investment phase to build the AI infrastructure led by the US, after [our AI industry analysts last month noted](#) that the market had earlier underestimated AI investment by ~50% even as backlogs (orders vs commitments) accelerated by over 3x. In this stage, AI investment will likely drive demand for both hardware and software applications needed to process and deploy AI, data centers to house them, and the [energy-related infrastructure](#) (electric grid, transformers, switchgears, turbines, fuel cells) needed to fuel this computational process. Based on Citi Research’s latest AI industry model updates⁸, US-led AI capex spending growth is expected to remain very strong in 2H26 before slowing in pace in the coming years from a very high base (Figure 9).

We think the biggest EM beneficiaries of the accelerated capex spend have been [Taiwan and Korea](#) given their dominance in key semiconductors facing supply constraints, thus, translating not only to significant terms of trade/production gains, but additional capex.⁹ We also see other **players in the IT hardware cycle – Singapore, Malaysia, Vietnam, Thailand, and Mexico** (Figure 10). However, when we adjust for domestic value added¹⁰ scaled to local GDP, it appears to have only **meaningfully uplifted growth in Singapore (given its outsized role in memory chips)**. Broader tech export recovery could be offset by crowding out of chip shortage on consumer electronics, which could lead to persistent divergence between chip centric tech exporters of more industrialized Asia, and the rest. In fact, the gains from IT hardware trade are either very muted (Israel, CEE4) or non-existent (Philippines). We think [China's exports are also benefiting from the AI supercycle](#) but is not captured in Figure 10 as the uplift is coming from a much higher base (e.g. China already accounts for almost 30% of global electronics exports), and its tech output is increasingly used to substitute for imported inputs (i.e. shows up in the trade balance vs gross exports), as China itself is an important source of final demand.

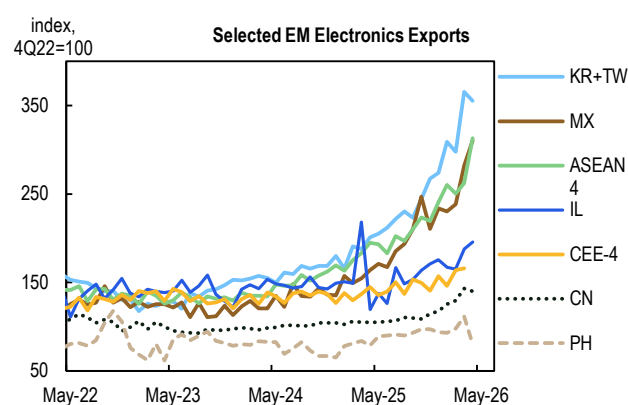
Figure 9. Big 4 US Hyperscaler – AI Capex Estimates (in US\$bn and %YoY growth)



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Source: Citi Research, Note: Big 4 US hyperscalers – Amazon (AWS), Google, Microsoft (Azure) and Meta

Figure 10. Select EM – Electronics Exports (seas adj; 4Q22=100)



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Source: Citi Research, CEIC, Haver, Note: ASEAN4: Singapore, Malaysia, Thailand and Vietnam; CEE4 – Czech, Hungary, Poland and Romania.

⁸ See latest data here: [Artificial Intelligence: AI Industry Model Update](#)

⁹ Since Feb, we upgraded the '26 growth forecast of Taiwan and Korea by 4.4 and 1.3ppts, respectively

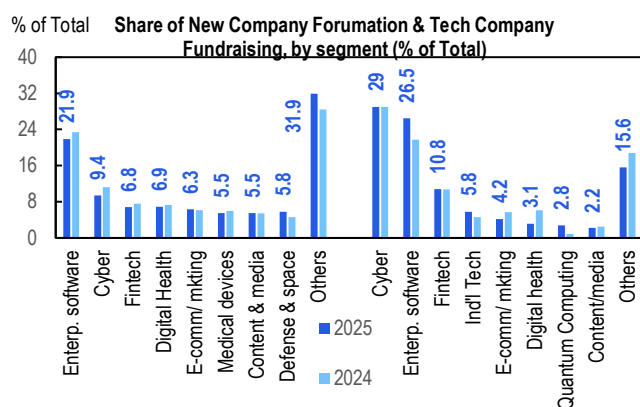
¹⁰ Using 2022 domestic value-added share of computer, electronic, optical products & electrical equipment, using OECD TIVA (2025) database.

On the AI software cycle, the only “EM” economy we think is a notable beneficiary in the provision of software related services (when scaled to its domestic economic size) is Israel. It is a significant player in cyber and organizational/enterprise software relevant for AI security, orchestration and enterprise integration. In 2025, the two largest segments for new company formation in Israel came from enterprise software and cyber (31.3% of all new companies formed) while almost 56% of total high tech fundraising last year went to these two sectors, with a share increase for enterprise software (Error! Reference source not found.).

We have seen AI data center related capex across EM as major US-China tech players seek to diffuse AI technologies globally. However, the lingering question is how macroeconomically significant this type of investment is. We believe the impact remains very uneven, and in aggregate, relatively small outside of the US. According to UNCTAD, while AI infrastructure and AI-related technologies are about 30% of international investments in 2025,¹¹ they are highly concentrated in a few economies centered on major hubs in DM markets (US, Europe) and a few in EM. The latter appears to be a function of end-market size (e.g. China, India, Brazil), deep pools of capital (Asia, GCC), and adequate resources. Using electricity cost and water resources as a guide, Malaysia looks relatively attractive to service ASEAN, Brazil for Latam and France for continental Europe (Figure 13)

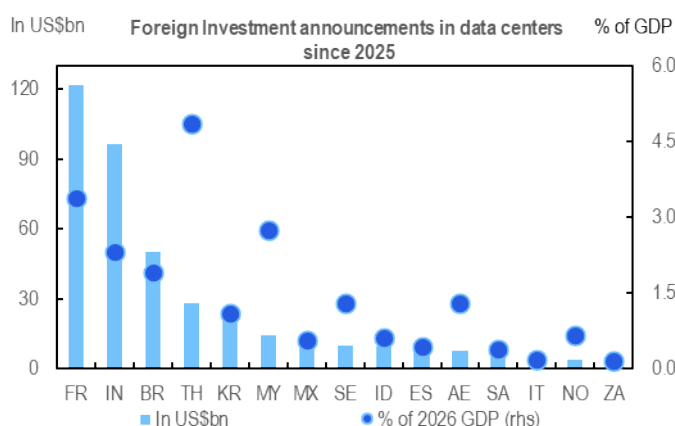
We supplement UNCTAD data¹² with various news searches to track data center foreign investment announcements which, so far, look economically meaningful for smaller countries like Thailand and Malaysia (Error! Reference source not found.), meant to provide cross-border services. Africa continues to lag in attracting sufficient investment, widening the digital divide.¹³ Where there is slack like China, AI capex is unlikely to be sufficiently reflationary, but in the case of the US, where private investment is >23x larger than China’s in 2025, the situation may be arguably different.¹⁴

Figure 11. Israel – Cyber and enterprise software are the leading sectors for company formation and tech fundraising



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Source: Israel Innovation Authority, Citi Research

Figure 12. Tracking foreign investment announcements in data centers since 2025



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Source: Citi Research, UNCTAD, various news sources

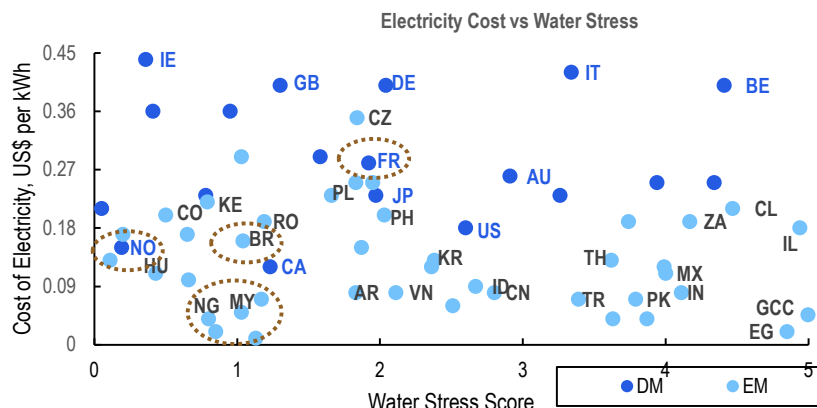
¹¹ See Chapter III of the UNCTAD. *World Investment Report 2026* (July 2026).

¹² UNCTAD. “Data centres are reshaping the global investment landscape,” (26 Jan 2026); read [here](#)

¹³ See trend #9 of A. Hunt. “Top FDI Charts in 2025”, fDi Intelligence, (31 Dec 2025); read [here](#)

¹⁴ Private investment figures come from Stanford University’s *Artificial Intelligence Index Report 2026*. On a PPP adjusted basis, a US\$1 investment in China will likely go further than US, not to mention that the Stanford report doesn’t capture government-related spending which plays a larger role in China.

Figure 13. Comparing Electricity Cost per kWh (2025) vs Water Stress Score



Source: World Population Review, Citi Research

How economically meaningful are data center investments in driving EM growth? We generally think it will only provide limited aggregate demand support. Domestic spillovers will largely come from construction activity and ancillary infrastructure investments (e.g. electric grid), while much of the high-end components, ICT equipment and cooling systems are likely to be imported. Once the data center is completed, operation-related services (utilities, maintenance and support services) may not be particularly labor intensive (according to one estimate, a large 100-MW hyperscaler site can reportedly run with only 20-40 onsite staff),¹⁵ though there are spillovers to real estate, leasing and utilities. Ultimately, we think the more important sources of domestic spillovers could come from both services exports (e.g. cloud computing, hosting, and data processing, net of hyperscaler fees) and the greater potential for diffusing AI technologies by domestic firms in order to boost productivity growth.

AI Diffusion and Job Implications in EM

For AI investments to generate significant productivity it is envisioned to deliver, it needs to be diffused/adopted into the economy. But our global team noted in an [earlier deep dive report](#) that deployment of transformative new technologies happens with a significant lag, not only because it takes time to build the physical and human capital needed to support it, but also because it takes time for businesses to *redesign* their business processes, organization and infrastructure around a transformative technology.¹⁶

But beyond productivity prospects from AI diffusion, where EM is already at a relative disadvantage which we earlier discussed, there is another fundamental question of how these productivity gains are distributed, and whether these widen not only within-country inequality, but also across countries.

EM's defining feature versus DM comes from abundance of lower skilled workers, especially young job-seekers in Africa and Asia. Thus, how AI impacts jobs/global division of labor becomes particularly salient and could become a political flashpoint. A key issue will be whether AI will automate jobs, and more routine/ lower skilled jobs that EM workers do could be ripe for displacement.

¹⁵ See Teokone Solutions analysis (9 Jul 2026); read [here](#)

¹⁶ For a discussion on this, see Peter David. "The Dynamo and the Computer: An Historical Perspective on the Modern Productivity Paradox," *American Economic Review*,

While one could argue that lower skilled workers in EM also could be made more productive by AI tools, Daron Acemoglu argues that this does not necessarily mean it drives up wages, but instead, it could commodify these skills/tasks, driving down prices. Ultimately, what would be truly complementary to labor will be the extent that AI tools gives “new tasks” (and it’s not clear EM will be better placed than DM on this front) , but what may be more promising for EM, is whether AI provides lower paid EM workers the ability to do more “sophisticated” or “higher expertise” tasks previously inaccessible to them.¹⁷ In other words, could AI narrow the skills gap between DM and EM sufficiently to have macroeconomic consequences? **Our view: the impact of the latter is probably not sufficiently large enough.**

Understanding how AI impacts jobs is complicated by at least four factors: 1) a country’s AI job exposure doesn’t tell us the extent to which the technology is automating (displacing work) vs. complimenting (“new tasks”) labor; 2) a job is a *bundle of tasks*, and AI technology’s impact is at the task level, which is more difficult to analyze looking at macro data, requiring detailed firm-level surveys; 3) As AI tools keep improving, its employment impact is not static, and needs constant re-assessment; and 4) isolating AI effects itself is challenging due to timing and omitted variables problems (e.g. AI-exposed jobs tend to be jobs conducive to remote work).¹⁸ For now, we discuss some anecdotal cases in select EM economies where AI implications on jobs have become very topical.

Case Study #1: The “More Advanced EM” – Singapore, Poland and China

SINGAPORE: Despite significant advantages for early AI adoption/diffusion, with among the most digitally competitive economies in the world and industry exposure in areas ripe for AI productivity boost (Figure 5-Figure 7), and a national ecosystem supportive of AI adoption, Ministry of Manpower’s firm-level survey (2,560 private firms surveyed in 1Q26) indicate that **firms still remain “at an early stage of adoption”**, with 71.5% of respondents saying they have not yet begun adopting AI in their operations.¹⁹ Consequently, we don’t think MAS will see recent signs of (mild) labor market softening to be structural, but rather cyclical, and thus, continue to see [odds tilted to MAS steepening in July](#)

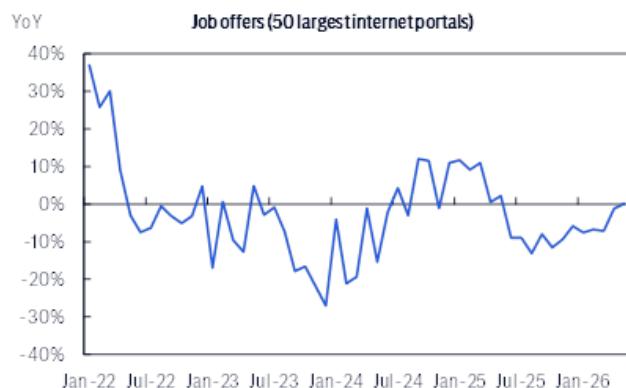
POLAND – Poland has played an important back-office role in IT, finance and human resource jobs for Europe over the last 20 years, and BPO exports are still growing at healthy double-digit rates. However, stories of surge in retrenchment amid higher wages and AI percolated media coverage last year (e.g. [Bloomberg](#), 20 Nov). In an earlier Sep 2025 report (see: [here](#)), we noted an unusual trend where, despite economic recovery, employment in the enterprise sector continued to fall, especially among younger workers (when looking at youth, unemployment rate was up to July 2025). We posited that the rapid development in AI technologies may have played a role. More recent data suggest that Poland’s labor market condition stabilized, with the growth in the number of job offers flattening out (after previous decline; Figure 14), and the rise in youth unemployment rate is slowing from an earlier sharper rise (though still hasn’t declined) (Figure 15). Poland’s youth unemployment trend is diverging from other CEE, and warrants further study to the extent that other factors – wages, migration – may also have played a role.

¹⁷ Daron Acemoglu. “On Good Jobs”, keynote speech at the Annual Bank Conference on Development Economics (ABCDE), World Bank, Washington DC (16 June 2026); watch [here](#)

¹⁸

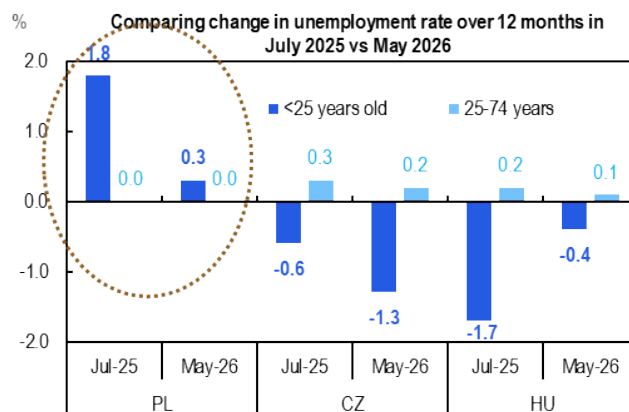
¹⁹ D.R. Soon. “Adoption of Artificial Intelligence Among Firms,” Ministry of Manpower (Apr 2026) [here](#)

Figure 14. Poland – Number of new job offers have rebounded in recent months



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Source: Citi Research, Grant Thornton

Figure 15. Poland saw a pick-up in youth unemployment relative to other CEE, though this has slowed recently



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Source: Citi Research, Eurostat, Haver

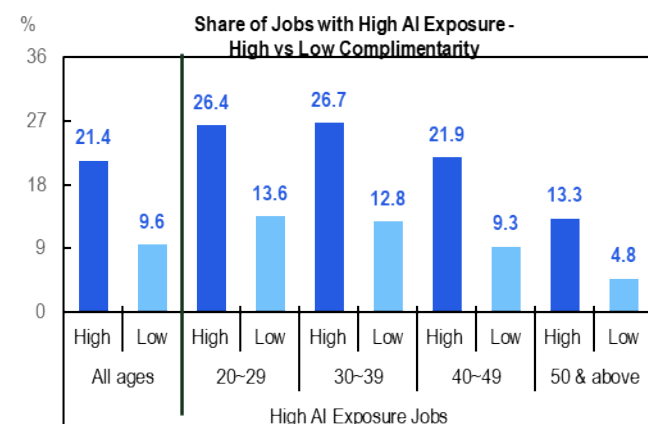
CHINA: There is growing anxiety over the impact of AI on jobs, especially as China already has very elevated youth unemployment rate whose rise *well preceded the* proliferation of AI tools (Fig 1 of [this report](#)) as did the disconnect between real GDP and employment (see Fig 17 of [this report](#)). But with Chinese authorities proactively pushing for AI diffusion, e.g. in the “AI Plus Initiative” ([Gov.cn](#), 27 Aug), and the [15th Five-Year Plan](#)—they are recognizing the potential job disruption that State Council announced plans to establish a survey system to analyze the impact of AI on employment, and the government didn’t specify an urban employment target by 2030 for the first time in decades ([Bloomberg](#), 17 June).

[Citi's earlier work](#), following IMF’s job classification,²⁰ estimates that ~31% of jobs in China have high AI exposure, out of which ~10% has low complementarity (i.e. high risk of displacement), with younger workers looking more exposed (Figure 16). China’s surveyed unemployment rate (nsa) among younger cohorts in June are still significantly higher than the previous two years of June prints (Figure 17). These unemployment figures may still be understating China’s employment weakness due to involuntary labor market exit following years of elevated unemployment. Prominent economist David Li Daokui estimates that China’s broad unemployment rate is really 10.2% (vs 5% official figure) if we add back involuntary unemployment ([The Standard](#), 15 Jul), especially as NBS had begun excluding students/post-graduate schooling in the revised unemployment figures starting in Dec 2023.

Isolating AI’s role in China’s labor market looking at aggregate data is challenging, as weak domestic demand since the real estate collapse, alongside evidence of education/skills-occupation mismatches could also be key factors. Nonetheless, recent research does suggest AI is leading to a stalling hires of new job entrants ([Caixin Global](#), 26 June) or those with 1–3 yrs experience ([Xinhua](#), 21 Jul), with the latter study also finding 26.6% of roles facing high replacement pressure.

²⁰ M. Cazzaniga, F. Jaumotte, et al. “Gen-AI: Artificial Intelligence and the Future of Work,” *IMF Staff Discussion Notes Number 2024/01* (January 2024).

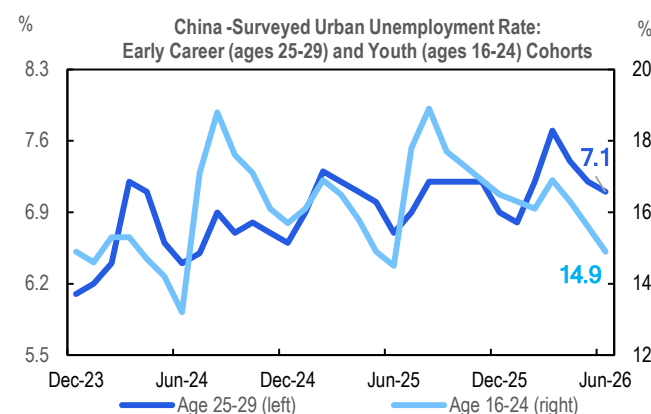
Figure 16. China -We estimate that younger workers are disproportionately exposed to AI disruption....



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Source: NBS, Citi Research

Figure 17. China – Early career and youth unemployment rate have both declined from the highs



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Source: CEIC, Citi research; Note: Revised unemployment series excludes students

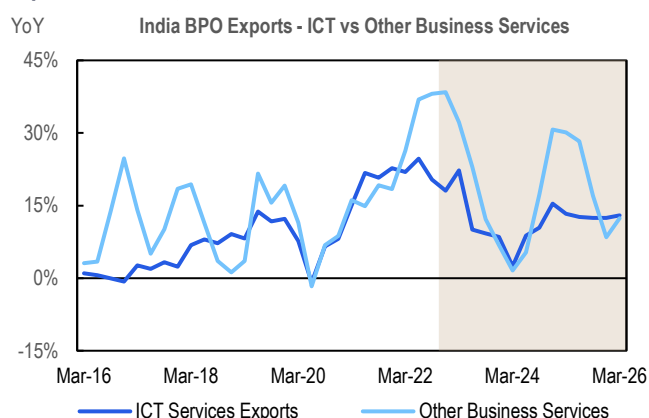
Case Study #2: The “Cheaper” Outsourcing Hubs – India and Philippines

As we highlighted in [an earlier note last year](#), one interesting spillover to EM local markets of DM-led multinational efforts to adopt and diffuse AI technologies is the extent to which it could impact the demand for virtual labor services provided in back-office business process outsourcing (BPO), which is **particularly important for India and the Philippines, accounting for 8.4% and 7.0% of GDP, respectively, the largest among EM** and far higher than their manufacturing goods exports. On the employment terms, we estimate BPO accounts for 1% and 4% of employment in India and the Philippines, but are notable for being viewed as “good jobs”.

Looking at recent BPO exports trends for both India and the Philippines show a very divergent picture. Figure 19). We see **no signs of slowdown of BPO exports in India** (+12.8%YoY in 1Q26; Figure 18). This somewhat belies the weak earnings and equity underperformance of India's IT services companies' stocks (-30% vs -9% ytd for Sensex). We think AI diffusion may be biasing outsourcing towards in-house models (via Global Capability Centers or GCC expansion) in lieu of outsourcing towards Indian IT services companies ([Business Standard](#), 1 July), taking advantage of a deeper talent pool with AI-enabled skills and more diversified knowledge intensive work (research software, consulting etc).

This may explain the very divergent picture in the Philippines, where **BPO revenues are slowing sharply** (+1.1%YoY in 1Q26; Figure 19) with [our recent investor trip](#) unveiling color of material slowing of hiring even as AI tools are creating new tasks (e.g. foreign language customer service). We think Philippines' BPO work is far more concentrated, where voice-based call centers are estimated to account for > 80% of BPO revenue. While complex customer service tasks require human interface, there are growing concerns that AI-powered chatbots could become increasingly powerful tools and eventually reduce the need for significant increase in headcount for outsourced customer service agents. In other words, without skill upgrade, labor displacement via AI could be a structural risk.

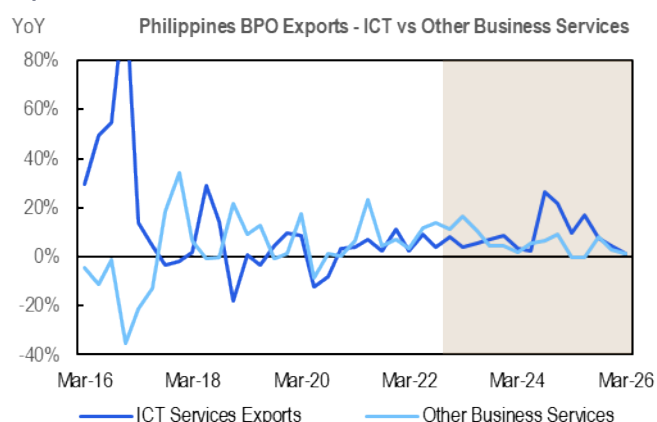
Figure 18. India – Business Process Outsourcing (BPO) Exports (in US\$, %YoY)



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Source: CEIC, Citi Research

Figure 19. Philippines – Business Process Outsourcing (BPO) Exports (in US\$, %YoY)



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Source: CEIC, Citi research

What happens to EM if “AI Bubble” Pops?

While the macroeconomic consequences of AI technologies are likely to be very real, history has shown that every technological revolution has been accompanied by a bubble.²¹ It is very hard to judge ex-ante, the precise amount of capital that needs to be deployed, as well as how to value the productivity impact/earnings potential of a new technology, with market players (and investors) prone to exuberance. A sell-off can be precipitated by an abrupt tightening of financial conditions (renewed US–Iran tensions shifting rate expectations doesn’t help), and/or significant shift in earnings expectations, even in just a handful of firms that carry large weights, and thus, precipitate broader market declines.

Such a potential sell off would primarily have three significant transmission channels to EM—via risk aversion, real economy effects and financial/ leverage. A classic “risk off” will significantly impact capital flows into EM, causing other risk assets to sell off and tightening external financing conditions. EM countries become more vulnerable to de-risking due to (i) high external/financial vulnerabilities, (ii) limited buffers exposed to heavier foreign portfolio positioning.

These sharp asset corrections will likely be amplified by real economic linkages, e.g. by markets whose valuations are also strongly tied to the AI supply chain, likely to be led by Korea and Taiwan. With US households having a disproportionately large share of wealth derived from shares (~46% in 1Q26; see [Federal Reserve](#)), sharp asset price correction will likely be seen as having significant “reverse wealth effects”, spilling over economies with significant linkages to broader US final demand including the US consumer (e.g. Mexico, ASEAN). An additional channel will be via banking/leverage to the extent that margin calls could propagate stress through the bank and non-bank financial channels, potentially adding further stress to EM credit markets.

In this scenario, what will be the global safe haven asset, and could some “high quality” EM local currency bonds benefit? While US Treasury will likely still be the first refuge for global investors, the bias may be skewed to the front-end amid

²¹ For a seminal work on the techno-financial linkages, see Carlota Perez. *Technological Revolutions and Financial Capital: The Dynamics of Bubbles and Golden Ages*, Edward Edgar Publishing (2002).

scramble for immediate liquidity. Earlier work by BIS have argued that the hedging properties of US Treasuries during equity market sell-offs have weakened,²² with two notable examples being the "Liberation Day"- and Covid-19- related equity market sell offs.²³ To the extent that US fiscal sustainability is anchored to the potential growth prospects of AI (in the absence of fiscal policy adjustment), it is unclear to what extent a sharp "AI sentiment shift adversely impacts US term premium, and more so, if pressure for Fed to aggressively ease mounts at a time when US inflation momentum is still running above target.

Here, we could see some "high quality" EM local currency bonds act as a potential (partial) hedge. Most of EM not only have seen improved quality of policymaking over the years, but most did not benefit from meaningful AI-driven portfolio inflows. A big question is the extent to which the AI valuation shock is enough to lead to a repatriation of flows away from US, which would be less damaging to net creditor EM on the receiving end of repatriation, alongside any offsetting easing of financial conditions if (a big "if") we do see an "anomalous" weakening of the US dollar during such a shock (for an earlier discussion, see: [EM Monthly: Could US De-Risking Benefit Emerging Markets?](#)).

²² F. Avalos & D. Xia. "US Treasuries and equity sell-offs: is the hedge faltering?" *BIS Quarterly Review* (Dec 2020).

²³ V. Acharya & T. Laarits. "Tariff War Shock and the Convenience Yield of US Treasuries – A Hedging Perspective," *NBER Working Paper No. 34640* (Jan 2026) and M. Maiello "Why was there a Treasury Bond Crisis amid the Covid-19 Stock Market Crash?" *Chicago Booth Review* (Oct 2020).

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EM Strategy – There is only one game in town

The carry trade has prevailed in EM so far this year, driven by long LatAm and high yielding CEEMEA funded out of Asia. The strategy has proven resilient despite episodic volatility due to AI fueled growth, Middle East tensions and the more recent tariff developments. Divergence in policy response between LatAm and Asia as well as differences in terms of trade has helped. Looking ahead, we assess several catalysts that could challenge the persistence of this carry dynamic including the introduction of capital flow management measures by Asian policymakers to stabilize FX, a resurgence of tariff-related risks, and an evolving global policy mix marked by a more dovish Fed alongside a hawkish BoJ. In addition, adverse EM FX carry seasonality into August could introduce a near-term technical headwind.

Asia — We summarize key China macro developments YTD, provide an update on the Singapore chart pack, and outline the new trade initiated in Indonesia along with the rationale behind it.

CEEMEA — South Africa: In South Africa, a firm monetary policy stance is the main driver for the ZAR. The recent high CPI print reinforces our view that the SARB will deliver at least 50bp more in hikes. While terms of trade have deteriorated, we believe this is largely priced into the currency, making ZAR attractive long against a weakening EUR. **Israel:** After hitting 30-year highs, Shekel has seen a nearly 10% re-pricing versus USD, with the peak in Shekel coinciding with the peak in Nasdaq and a dovish pivot from the BoI. At these levels, we find the front-end pricing in Israeli rates asymmetric with 3.25% terminal priced.

LatAm — This week we focus on Brazil after we took tactical profits on our short 1m NDF EURBRL trade yesterday, while keeping bullish BRL exposure across other strategies. Historically elections should have been a deterrent by now for the BRL, yet it has largely looked through the volatility. Across all the indicators we monitor, the most obvious anomaly that could help explain this resilience is Citi's Corporate FX Flow data for BRL.

Please see: [Emerging Markets Strategy Weekly - There is only one game in town](#) for a detailed discussion on each of the above topics and for our latest EM trade ideas.

Monetary Policy Watch

Figure 20. Asia: Policy Rates and Forecasts

		Spot (%)	<u>Last Move</u>		<u>Likely Next Move</u>		End-2026 Forecast
			Date	Amount (bp)	Date	Amount (bp)	
China	7D Reverse Repo	1.40	May-25	-10	Q3 26	-10	1.30
India	Overnight Repo Rate	5.25	Dec-25	-25	-	-	5.25
Indonesia	7-Day Reverse Repo Rate	5.75	Jun-26	+25	Apr 27	-25	5.75
Korea	BOK Policy Rate	2.75	Jul-26	+25	Aug 26	+25	3.25
Malaysia	Overnight Policy Rate	2.75	Jul-23	-25	-	-	2.75
Philippines	Overnight Policy Rate	4.75	Jun-26	+25	Aug 26	+25	5.25
Taiwan	Discount Rate	2.000	Mar-24	+12.5	Dec 26	+12.5	2.125
Thailand	Overnight Repo Rate	1.00	Feb-26	-25	-	-	1.00

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Source: Citi Research estimates, Bloomberg

Figure 21. CEEMEA: Policy Rates and Forecasts

		Spot (%)	<u>Last Move</u>		<u>Likely Next Move</u>		End-2026 Forecast
			Date	Amount (bp)	Date	Amount (bp)	
Czech Republic	2 Week Repo Rate	3.75	Jun-26	+25	Feb-28	-25	3.75
Egypt	Overnight Deposit Rate	19.00	Feb-26	-100	Feb-27	-200	19.00
Hungary	Base Rate	5.75	Jul-26	-25	Aug-26	-25	5.00
Israel	Base Rate	3.50	Jul-26	-25	Aug-26	-25	3.00
Kazakhstan	Refinancing Rate	16.75	Jul-26	-25	Sep-26	-25	16.00
Nigeria	Monetary Policy Rate	26.50	Feb-26	-50	Sep-26	-50	25.50
Poland	7-Day Repo Rate	3.75	Mar-26	-25	-	-	3.75
Romania	1 Week Repo Rate	6.50	Aug-24	-25	Apr-27	-25	6.50
S. Africa	Average Repo rate	7.00	May-26	+25	Sep-26	+25	7.25
Turkey	Average funding rate	40.00	Mar-26	+300	Sep-26	-100	35.00
Ukraine	Discount Rate	15.00	Jan-26	-50	Jul-27	-100	15.00

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Source: Citi Research estimates, Bloomberg

Figure 22. Latin America: Policy Rates and Forecasts

		Spot (%)	<u>Last Move</u>		<u>Likely Next Move</u>		End-2026 Forecast
			Date	Amount (bp)	Date	Amount (bp)	
Brazil	SELIC	14.25	Jun-26	-25	Jul-27	-25	14.25
Chile	CAMARA (Overnight)	4.50	Dec-25	-25	Jan-27	+25	4.50
Colombia	Central Bank Repo Rate	12.00	Jun-26	+75	Jul-26	+50	12.50
Mexico	Official Overnight Rate	6.50	May-26	-25	-	-	6.50
Peru	Reference Rate	4.25	Sep-25	-25	Jan-27	+25	4.25

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Source: Citi Research estimates, Bloomberg

FX Views

Figure 23. Asia: Exchange Rates and Forecasts

	Sep-26				Dec-26			Mar-27		
	23-Jul	Forecast	Forward	Returns	Forecast	Forward	Returns	Forecast	Forward	Returns
vs USD				(%)			(%)			(%)
China yuan	6.77	6.74	6.74	-0.1	6.72	6.69	-0.5	6.70	6.65	-0.9
Hong Kong dollar	7.84	7.83	7.82	0.0	7.81	7.80	-0.1	7.80	7.79	-0.2
India rupee	96.6	94.3	97.2	2.9	95.1	98.0	3.0	95.8	98.8	3.0
Indonesia rupiah	17,914	17,716	18,008	1.6	17,754	18,137	2.1	17,791	18,262	2.6
Korea won	1,468	1,447	1,467	1.4	1,439	1,464	1.7	1,432	1,460	1.9
Malaysia ringgit	4.09	4.03	4.08	1.2	4.00	4.07	1.9	3.96	4.06	2.6
Philippines peso	61.7	62.7	62.0	-1.2	63.3	62.3	-1.7	63.9	62.5	-2.2
Singapore dollar	1.29	1.28	1.28	0.5	1.27	1.28	0.1	1.27	1.27	-0.3
Taiwan dollar	32.3	31.9	32.3	1.1	31.7	32.3	1.8	31.5	32.3	2.4
Thailand baht	33.8	34.0	33.7	-0.7	33.9	33.6	-0.9	33.8	33.4	-1.2

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Note: Returns are calculated as ratios of forwards to our forecasts.

Source: Citi Research estimates, Bloomberg

Figure 24. CEEMEA: Exchange Rates and Forecasts

	Sep-26				Dec-26			Mar-27		
	23-Jul	Forecast	Forward	Returns	Forecast	Forward	Returns	Forecast	Forward	Returns
vs EUR				(%)			(%)			(%)
Czech Republic koruna	24.2	24.2	24.2	0.1	24.3	24.3	0.2	24.3	24.4	0.4
Hungary forint	364	359	366	1.7	357	369	3.1	355	371	4.1
Poland zloty	4.33	4.33	4.34	0.3	4.31	4.36	1.0	4.30	4.37	1.6
vs USD										
Israel shekel	3.06	2.90	3.06	5.2	2.90	3.04	4.7	2.90	3.03	4.3
Turkey new lira	47.23	49.33	49.68	0.7	52.00	55.14	5.7	54.61	59.61	8.4
S. Africa rand	16.4	16.4	16.5	0.3	16.3	16.6	2.0	16.2	16.8	3.4

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Note: Returns are calculated as ratios of forwards to our forecasts.

Source: Citi Research estimates, Bloomberg

Figure 25. Latin America: Exchange Rates and Forecasts

		Sep-26			Dec-26			Mar-27		
	23-Jul	Forecast	Forward	Returns	Forecast	Forward	Returns	Forecast	Forward	Returns
vs USD				(%)			(%)			(%)
Brazil reais	5.05	5.14	5.13	-0.3	5.23	5.22	-0.2	5.33	5.32	-0.1
Chilean peso	936	922	935	1.4	903	934	3.3	885	934	5.3
Colombia peso	3,210	3,340	3,258	-2.5	3,435	3,331	-3.1	3,527	3,405	-3.6
Mexico peso	17.4	17.5	17.5	-0.2	17.6	17.6	0.3	17.6	17.7	0.8

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Note: Returns are calculated as ratios of forwards to our forecasts.

Source: Citi Research estimates, Bloomberg

Global Assumptions

Figure 26. Citi's Global Macroeconomic Forecasts

	GDP Growth (% YoY)			CPI Inflation (% YoY)			Current Account (%GDP)			Fiscal Balance (%GDP)		
	2025	2026F	2027F	2025	2026F	2027F	2025	2026F	2027F	2025	2026F	2027F
Global	2.9	2.5	2.8	2.8	3.4	2.7	0.4	0.7	0.7	-4.5	-4.7	-4.6
Industrialized Economies	1.8	1.4	1.6	2.5	3.1	2.2	-1.2	-0.8	-0.8	-4.7	-4.9	-5.1
US	2.1	2.1	1.8	2.6	3.5	2.1	-3.8	-3.2	-3.2	-6.8	-7.3	-7.5
Japan	1.2	0.7	1.0	3.2	2.0	1.4	4.6	5.1	5.2	-1.3	-2.2	-2.7
Euro	1.5	0.6	1.4	2.1	2.8	2.3	1.7	1.5	1.3	-2.9	-3.4	-3.6
Germany	0.3	0.7	1.1	2.3	2.5	2.0	4.5	4.7	4.3	-2.7	-3.9	-4.2
UK	1.3	1.1	0.9	3.4	3.1	2.8	-2.3	-2.1	-2.2	-7.4	-3.7	-3.1

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Source: Citi Research estimates

Figure 27. G3 Exchange Rates and Interest Rate Forecasts (End of Period, Unless Specified)

	Current	1Q 26	2Q 26F	3Q 26F	4Q 26F	1Q 27F	2Q 27F	3Q 27F
United States: Federal Funds	3.75	3.75	3.75	3.75	3.25	3.00	3.00	3.00
-10-Yr. Treasuries (Avg.)	4.65	4.32	4.47	4.25	3.90	3.90	3.90	3.90
Euro Area: US\$/€	1.14	1.16	1.14	1.13	1.14	1.14	1.14	1.14
-Euro Depo Rate	2.25	2.00	2.25	2.50	2.50	2.50	2.50	2.50
-10-Yr. Bunds (Avg.)	3.18	2.86	3.01	3.00	3.00	3.00	3.00	3.10
Japan: ¥/US\$	163.06	158.72	161.58	159.12	155.90	152.77	149.79	146.78
-Policy Rate	1.00	0.75	1.00	1.00	1.25	1.25	1.50	1.50
-10-Yr. JGB (Avg.)	2.73	2.18	2.55	2.70	2.80	2.70	2.65	2.60

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Source: Citi Research estimates, Bloomberg

Figure 28. Industrialized Economies 10-Year Yields Spreads (Period Average)

	vs US								vs EA (Germany)							
	Current	1Q 26	2Q 26F	3Q 26F	4Q 26F	1Q 27F	2Q 27F	3Q 27F	Current	1Q 26	2Q 26F	3Q 26F	4Q 26F	1Q 27F	2Q 27F	3Q 27F
US	-	-	-	-	-	-	-	-	153	150	151	130	94	94	94	84
Japan	-196	-218	-197	-160	-114	-124	-129	-134	-43	-68	-46	-30	-20	-30	-35	-50
Euro	-153	-150	-151	-130	-94	-94	-94	-84	-	-	-	-	-	-	-	-
UK	41	23	43	71	112	87	77	61	193	173	194	201	206	181	170	145

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Source: Citi Research, Bloomberg

Figure 29. Commodities Price Outlook

		0-3M	6-12M	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Precious Metals									
Gold	US\$/oz	4500	5000	4,865	4,510	4,500	4,750	4,655	5,000
Silver	US\$/oz	75.0	90.0	83.7	73.0	75.0	80.0	78.0	85.0
Platinum	US\$/oz	1950	2100	2,202	1,916	1,750	1,900	1,940	2,000
Energy									
Brent Oil	US\$/bbl	75	70	78	99	75	70	81	65
WTI Oil	US\$/bbl	71	66	73	94	71	66	76	61
Henry Hub Gas	US\$/Mmbtu	2.8	2.5	3.5	2.8	3.1	3.3	3.2	2.8
JKM LNG	US\$/MMBtu	13.0	10.0	13.2	17.6	14.2	12.8	14.5	9.5
TTF Natural Gas	US\$/MMBtu	12.0	9.5	13.7	15.5	12.8	12.0	13.5	9.2

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Source: Citi Research estimates

EM: Key Macroeconomic Forecasts

Figure 30. EM Key Macroeconomic Forecasts (click [here](#) for our detailed forecasts by country)

	GDP Growth (% YoY)			CPI Inflation (% YoY)			Current Account (%GDP)			Fiscal Balance (%GDP)		
	2025	2026F	2027F	2025	2026F	2027F	2025	2026F	2027F	2025	2026F	2027F
Asia	5.1	5.0	4.7	0.8	2.0	2.0	3.9	4.2	4.2	-4.0	-3.9	-3.7
China	5.0	4.6	4.5	0.1	1.0	1.2	3.8	3.4	3.2	-4.0	-4.0	-3.8
Hong Kong	3.5	4.6	4.0	1.5	1.9	2.2	12.3	14.6	13.2	-3.0	0.6	0.2
India	7.5	7.1	7.0	2.2	4.3	4.3	-0.5	-0.9	-0.4	-7.3	-7.1	-7.1
Indonesia	5.1	5.2	4.9	2.4	3.3	3.1	-0.1	-1.7	-1.3	-2.9	-2.8	-2.4
(South) Korea	1.1	3.7	3.0	2.1	2.5	1.8	6.5	16.5	17.5	-1.7	-1.7	-1.0
Malaysia	5.2	4.9	4.8	1.4	1.9	2.2	1.6	2.1	1.7	-3.6	-3.5	-3.1
Mongolia	6.9	7.0	6.5	8.6	10.2	10.5	-8.4	-5.0	-5.6	-1.4	-1.9	-2.0
Pakistan	3.2	3.7	3.7	4.5	7.1	9.4	0.5	0.0	-0.4	-5.4	-3.0	-3.6
Philippines	4.4	3.1	5.4	1.7	5.8	3.9	-3.4	-4.5	-2.2	-5.6	-5.4	-4.8
Singapore	5.0	4.8	2.7	0.9	1.9	1.8	17.6	16.4	17.2	1.9	1.0	0.8
Sri Lanka	5.0	4.3	4.5	-0.5	5.0	5.0	1.6	0.1	-0.1	-2.3	-5.1	-3.7
Taiwan	8.7	9.9	6.0	1.3	2.0	2.1	19.7	21.6	22.1	0.1	-0.1	-0.1
Thailand	2.4	2.2	1.7	-0.1	2.0	1.6	3.1	1.8	2.5	-4.8	-4.4	-3.7
Vietnam	8.0	8.1	7.2	3.3	4.8	3.3	6.8	1.9	2.7	-3.3	-4.0	-4.0
Latin America	2.1	1.9	2.2	8.1	7.0	6.2	-1.7	-1.4	-1.5	-5.1	-5.5	-4.8
Argentina	4.0	2.9	3.1	41.9	30.5	27.0	-1.4	-0.5	-0.7	0.2	0.1	0.1
Brazil	2.3	1.8	1.8	5.0	4.6	4.1	-2.9	-2.1	-2.0	-8.3	-9.3	-8.4
Chile	2.5	1.7	2.3	4.2	3.6	3.2	-2.5	-1.9	-2.2	-2.0	-1.7	-1.5
Colombia	2.6	2.5	2.1	5.1	6.0	5.0	-2.4	-2.1	-2.4	-6.2	-6.4	-4.5
Costa Rica	4.6	3.5	3.4	-0.1	0.0	1.8	-1.2	-1.4	-1.5	-2.7	-2.5	-2.5
Dominican Rep.	2.1	4.1	4.4	3.9	4.4	4.0	-3.1	-3.1	-3.0	-3.2	-2.9	-2.5
El Salvador	3.9	2.5	2.4	0.3	1.2	1.5	-1.4	-1.6	-1.6	-2.8	-2.5	-2.4
Mexico	0.5	1.1	2.0	3.8	4.0	3.7	-0.5	-1.0	-1.0	-4.3	-4.4	-3.7
Panama	4.4	4.1	4.3	0.0	0.9	1.7	-0.2	-1.1	-1.5	-3.7	-3.8	-3.4
Peru	3.4	2.9	3.0	1.5	3.5	1.8	1.4	1.1	0.7	-2.4	-1.9	-1.8
Europe	2.6	2.1	2.5	12.5	11.3	9.7	-0.8	-1.5	-1.4	-3.9	-4.0	-3.8
Czech Republic	2.7	2.2	2.5	2.5	2.1	2.5	0.7	-0.2	0.2	-2.0	-2.7	-2.8
Hungary	0.5	2.2	3.4	4.4	2.0	3.0	1.6	0.0	1.6	-4.7	-7.0	-5.6
Kazakhstan	6.5	4.6	4.0	11.4	11.0	7.7	-3.9	-1.8	-2.5	-2.6	-1.6	-1.6
Poland	3.6	3.5	2.9	3.6	3.0	3.3	-0.9	-1.5	-1.9	-7.3	-6.9	-6.7
Romania	0.7	-0.5	2.7	7.3	8.3	4.0	-7.9	-7.4	-6.8	-7.9	-6.5	-5.8
Serbia	2.0	2.8	3.4	3.9	3.4	4.0	-4.9	-4.5	-4.7	-2.4	-3.0	-3.0
Turkey	3.6	2.3	3.2	34.9	31.2	25.1	-1.9	-3.1	-3.4	-2.9	-3.7	-4.4
Ukraine	1.8	1.2	3.7	12.8	8.1	8.6	-15.6	-20.7	-18.1	-18.6	-15.1	-12.7
Africa/Mid East	4.1	1.7	6.1	4.6	4.6	3.9	2.8	1.6	1.8	-4.5	-5.1	-4.2
Bahrain	3.5	-1.6	4.8	-0.1	1.6	2.1	5.8	-6.7	4.7	-8.8	-9.7	-8.4
Egypt	5.1	5.0	6.1	14.1	14.2	7.7	-3.4	-4.3	-3.8	-6.1	-5.5	-4.7
Ghana	6.0	5.6	5.8	14.6	4.9	9.1	82.2	46.5	26.7	-1.4	-2.2	-3.2
Israel	2.9	3.3	4.7	3.0	1.7	1.8	1.4	2.1	2.2	-4.8	-5.5	-4.4
Kenya	4.6	4.9	5.2	4.1	6.0	6.3	-2.4	-3.5	-2.9	-6.2	-6.0	-5.7
Kuwait	2.7	-8.3	14.6	2.4	2.6	2.5	22.7	13.5	17.5	-15.1	-21.1	-18.1
Nigeria	4.3	4.6	5.2	23.0	15.2	11.9	4.5	4.0	2.2	-2.9	-2.9	-2.8
Oman	2.4	3.4	2.2	1.0	2.8	1.8	-1.4	7.9	0.2	-1.6	1.9	-1.7
Qatar	1.8	-6.5	11.5	0.6	2.3	2.0	14.8	6.3	7.4	-1.0	-5.9	-1.8
Saudi Arabia	4.6	0.9	7.0	2.0	2.0	2.3	-2.6	-1.0	-1.1	-5.8	-6.6	-5.0
South Africa	1.1	1.3	1.6	3.2	4.1	3.8	-0.2	-0.3	-0.5	-4.5	-4.5	-4.4
Tanzania	5.9	6.0	5.9	3.3	4.3	4.1	-2.2	-2.8	-2.3	-3.2	-3.3	-3.5
UAE	6.2	1.7	6.5	1.3	3.2	2.2	13.3	7.1	8.8	-	-	-
Uganda	6.8	7.1	7.0	3.6	3.7	5.2	-6.5	-5.7	-4.4	-6.9	-5.8	-4.6
Zambia	3.9	5.1	4.7	14.0	6.8	8.9	-3.5	2.5	3.6	-3.9	-4.4	-3.2
EM	4.3	3.9	4.3	3.1	3.7	3.4	2.5	2.5	2.6	-4.2	-4.3	-4.0

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Source: Citi Research estimates, Haver Analytics, National Authorities

Sovereign Bond Ratings Summary

Figure 31. Sovereign Bond Ratings

	S&P	Moody's	Fitch
AAA/Aaa	Australia (Stable); Singapore (Stable);	Australia (Stable); New Zealand (Negative); Singapore (Stable);	Australia (Stable); Singapore (Stable);
AA+/Aa1	New Zealand (Stable); Taiwan (Stable);		New Zealand (Negative);
AA/Aa2	South Korea (Stable); Qatar (Stable); UAE (Stable);	South Korea (Stable); Qatar (Stable); UAE (Stable);	Taiwan (Stable);
AA-/Aa3	Czech Republic (Stable);	Taiwan (Stable); Czech Republic (Stable); Saudi Arabia (Stable);	South Korea (Stable); Czech Republic (Stable); UAE (Stable);
A+/A1	China (Stable); Japan (Stable); Saudi Arabia (Stable);	China (Stable); Japan (Stable);	Saudi Arabia (Stable);
A/A2	Chile (Stable); Croatia (Stable); Slovakia (Stable); Israel (Stable);	Chile (Stable); Poland (Negative);	China (Stable); Japan (Stable); Israel (Negative);
A-/A3	Malaysia (Stable); Poland (Stable);	Malaysia (Stable); Croatia (Stable); Slovakia (Stable);	Chile (Stable); Croatia (Stable); Poland (Negative); Slovakia (Stable);
BBB+/Baa1	Uruguay (Stable); Philippines (Stable); Thailand (Stable);	Peru (Stable); Uruguay (Stable); Thailand (Stable); Bulgaria (Negative); Kazakhstan (Stable); Israel (Stable);	Malaysia (Stable); Thailand (Negative);
BBB/Baa2	Mexico (Negative); India (Stable); Indonesia (Stable);	Indonesia (Negative); Philippines (Stable); Hungary (Negative);	Peru (Stable); Uruguay (Stable); Indonesia (Negative); Philippines (Negative); Hungary (Negative); Kazakhstan (Stable);
BBB-/Baa3	Panama (Stable); Peru (Stable); Bulgaria (Negative); Hungary (Negative); Kazakhstan (Positive); Romania (Negative); Serbia (Stable);	Colombia (Stable); Mexico (Stable); Panama (Negative); India (Stable); Romania (Negative);	Mexico (Stable); India (Stable); Romania (Negative);
BB+/Ba1	Guatemala (Stable); Vietnam (Stable);	Brazil (Stable); Guatemala (Stable);	Guatemala (Stable); Panama (Stable); Vietnam (Stable); Serbia (Positive);
BB/Ba2	Brazil (Stable); Costa Rica (Stable); Dominican Republic (Stable); South Africa (Positive);	Costa Rica (Stable); Dominican Republic (Stable); Vietnam (Positive); Serbia (Stable); South Africa (Positive);	Brazil (Stable); Colombia (Stable); Costa Rica (Positive); South Africa (Stable);
BB-/Ba3	Colombia (Stable); Mongolia (Stable); Turkey (Stable);	Turkey (Stable);	Dominican Republic (Stable); Turkey (Stable);
B+/B1		Mongolia (Stable); Tanzania (Stable);	Mongolia (Stable); Tanzania (Stable);
B/B2	Bahrain (Stable); Egypt (Stable); Kenya (Stable); Nigeria (Stable);	Bahrain (Negative);	Bahrain (Stable); Egypt (Stable); Ghana (Positive); Nigeria (Stable); Uganda (Stable);
B-/B3	Argentina (Stable); Ecuador (Stable); El Salvador (Stable); Ghana (Stable); Uganda (Positive);	Argentina (Positive); El Salvador (Positive); Kenya (Stable); Nigeria (Stable); Uganda (Stable);	Argentina (Stable); Ecuador (Stable); El Salvador (Stable); Kenya (Stable); Zambia (Stable);
CCC+/Caa1	Sri Lanka (Stable); Ukraine (Stable); Zambia (Stable);	Ecuador (Stable); Sri Lanka (Stable); Egypt (Positive); Ghana (Positive);	Sri Lanka (NA);
CCC/Caa2		Zambia (Positive);	Ukraine (NA);
CCC-/Caa3			
CC+/Ca1 & Below		Ukraine (Stable);	

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Source: Citi Research, S&P, Moody's, Fitch, Bloomberg

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■ **Summary view** – We have trimmed our full-year forecast to 4.6%YoY from previously 4.7%YoY on the GDP miss in 26Q2. [The upcoming Politburo meeting](#) may signal incremental support, but not a policy pivot. We expect fiscal policy deployment to accelerate and capital market support to resume amid volatility.

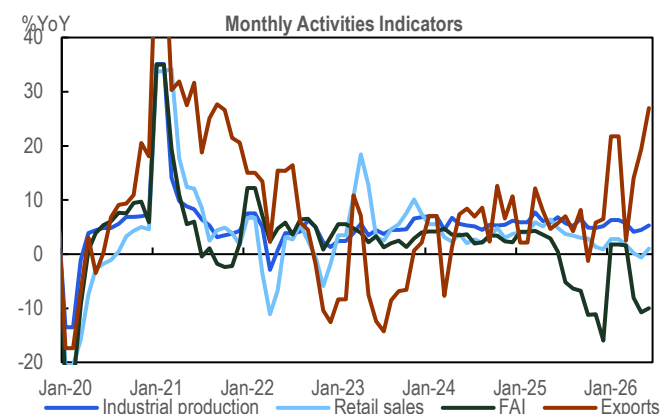
GDP growth slowed more than expected in 26Q2. The quarterly rate fell to 4.3%YoY, the lowest reading since 2023. Sequential change as reported by the NBS dropped to 0.9%QoQ SA, also a four-year low. The quarterly miss in 26Q2 serves as a reminder that headline resilience is not assured amid the [K-shaped economy](#). **[1] The AI-led new economy continues to run strong.** The NBS noted >40% growth contribution from the new economy. [Exports](#) beat expectations at 27.0%YoY in June, with ICs exports more than doubled at 121.9%YoY. Domestic industrial production also rebounded to 5.3%YoY, and high-tech IP stayed solid at 14.1%YoY. **[2] There is no sign of pickup in the old economy.** Acceleration of trade-in subsidies and base effect drove retail sales back to growth in June at 1.0%YoY, still a low rate, while household saving rate stayed elevated at 40.0% in 26H1. The investment slump showed no sign of easing with FAI growth staying low at -10.0%YoY per our estimate. The green shoots in property sector seem to have sustained with sales volume and prices holding up in top-tier cities, but this trend is not broadening to other regions yet.

We have trimmed our full year forecast to 4.6%YoY from 4.7%YoY previously. The miss in 26Q2 is one driver. Potential extreme weather events like typhoons, heavy rains or floods could cause temporary supply disruptions, limiting the pace of the rebound ahead even in the case of policy support: cargo volume dropped -11.3%YoY in the first three weeks of July amid Typhoon Bavi and other weather events. We expect GDP growth to rebound to 4.5%YoY in 26Q3E and 4.6%YoY in 26Q4E.

[The upcoming Politburo meeting](#) may signal incremental support, but not a policy pivot. We see likely stronger rhetoric on domestic demand, but, with cumulative growth still within the target range and US-China relations relatively stable, there is limited urgency for Beijing to rush out a new stimulus package. Fiscal policy – the dominant macro lever – has been [in de facto austerity](#) in 26H1. We anticipate accelerated deployment in 26H2E, including **[1]** an increased pace of special bond issuance, **[2]** faster fund deployment, and **[3]** more effective usage of the RMB800bn policy-financing tool. A reversal of the earlier austerity could add ~RMB1.3trn in funds (RMB1trn from broad government + RMB0.3trn from the policy-financing tool) in 26H2E vs. 25H2, equivalent to ~0.9% of GDP. For monetary policies, our base case remains a symbolic 10bps rate cut, alongside liquidity support via OMOs and MLFs to facilitate government bond issuance. We don't anticipate meaningful demand-side consumer stimulus; instead, supply-side efforts to spur services consumption are more plausible. Infrastructure investment could be a direct beneficiary of accelerating fiscal deployment, with [the Six Networks initiative](#) set to receive more direct funding support.

Capital markets are set to receive renewed policy attention amid recent volatility. The CSRC held a meeting with investors ([CSRC](#), Jul 20th), and the “national team” resumed equity purchases ([Bloomberg](#), Jul 20th). Despite no policy pivot, we see it likely for the Politburo to reiterate its call to stabilize and strengthen capital market confidence, as a reaffirmation for sentiment support. For RMB exchange rate, we now expect USDCNY to approach 6.75 in 0-3m and 6.70 in 6-12m. The PBoC may continue its managed appreciation approach for the currency while pushing forward [its internationalization](#).

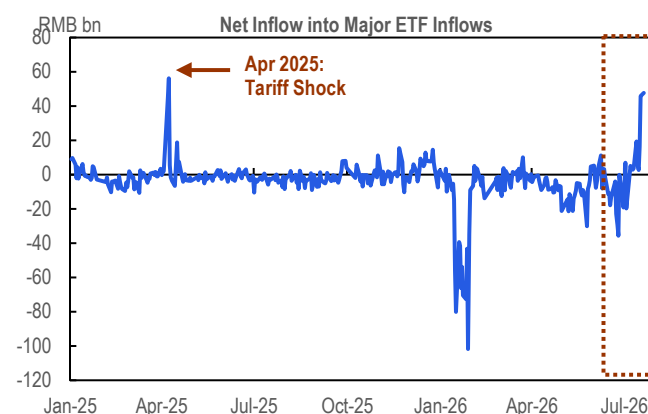
Figure 32. AI supercycle is not necessarily an assurance for headline resilience in the K-shaped economy



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Source: NBS, Wind, China Customs, Citi Research

Figure 33. The “national team” has stepped up its support for the equity markets lately



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Source: Bloomberg, Citi Research

Figure 34. China Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	14,338	14,863	17,754	18,333	18,271	18,720	19,483	22,002	23,415
Population, mn	1,410.1	1,412.1	1,412.6	1,411.8	1,409.7	1,408.3	1,405.1	1,401.9	1,398.7
Real GDP, yoy avg	6.0	2.2	8.6	3.1	5.4	5.0	5.0	4.6	4.5
Private consumption growth % yoy	5.7	0.2	7.8	0.0	8.1	4.3	5.0	4.8	5.3
Real investment growth % yoy	3.9	4.2	3.8	3.5	3.5	3.2	2.0	2.2	2.2
Net export contribution to growth	0.7	0.6	1.7	0.5	-0.4	1.4	1.6	1.4	1.0
Unemployment, % of labour force	3.8	3.6	4.1	5.6	5.1	5.1	5.1	5.1	5.1
External (US\$bn)									
Current account	90.3	223.7	297.4	404.1	257.0	462.3	735.0	748.1	749.3
% of GDP	0.6	1.5	1.7	2.2	1.4	2.5	3.8	3.4	3.2
Trade balance	421.1	524.0	636.6	837.9	822.1	992.2	1,183.1	1,222.8	1,291.7
FDI, net	-50.3	-99.4	-165.3	19.8	174.3	149.6	74.8	60.0	60.0
External debt	2,070.8	2,400.8	2,746.6	2,481.5	2,605.6	2,735.9	2,872.7	3,016.3	3,167.1
Short-term debt	1,205.3	1,316.4	1,316.4	1,355.6	1,354.9	1,422.6	1,493.8	1,568.5	1,646.9
International reserves	3,203.3	3,334.8	3,363.3	3,244.9	3,386.2	3,393.7	3,643.3	3,569.9	3,489.9
Public Finances, % of GDP									
Consolidated government balance	-2.8	-3.6	-3.2	-2.8	-3.8	-4.0	-4.0	-4.0	-3.8
Consolidated gov primary balance	-2.3	-3.1	-2.7	-2.3	-3.8	-3.0	-4.0	-4.0	-4.0
Public debt	80.5	91.7	96.1	102.2	104.2	106.2	107.2	108.2	109.2
External public debt	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4
Prices									
CPI, % yoy, eop	4.3	0.1	1.8	1.8	-0.3	0.1	0.8	0.5	1.1
CPI, % yoy, avg	2.9	2.5	0.9	2.0	0.2	0.2	0.1	1.0	1.2
CNY/US\$, eop	6.96	6.53	6.36	6.90	7.10	7.30	6.99	6.72	6.59
CNY/US\$, avg	6.91	6.90	6.45	6.73	7.08	7.20	7.19	6.79	6.65
Policy Interest Rate, % eop	2.50	2.20	2.20	2.00	1.80	1.50	1.40	1.30	1.20
10-Year Government Bond, % eop	3.14	3.14	2.77	2.83	2.56	1.85	1.85	1.85	1.85
Nominal wages, % yoy	7.96	3.38	13.93	5.63	5.38	4.59	4.44	7.22	6.62
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	4.5	5.0	4.3	4.5	4.6	4.5	4.6	4.5	4.5
CPI, % yoy, avg	0.6	0.8	1.1	1.1	1.1	1.0	0.9	1.4	1.5
CNY/US\$, eop	6.99	6.90	6.77	6.74	6.72	6.70	6.67	6.63	6.59
Policy interest rate, % eop	1.40	1.40	1.40	1.30	1.30	1.20	1.20	1.20	1.20

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Note: Public debt includes debt of central, local govt and Ministry of Railway; since 2015, more general government debt methodology (including the LGFV) is adopted. External debt is based on the residency of the holder of the debt (not by currency denomination). ** We refer to 7d Reverse Repo Rate as Policy Rate from Q1'16. 1y Deposit Rate was quoted before this date. Positive net FDI refers to inflow of investment into an economy.

Source: CEIC Data Company Ltd, Fitch, IFS, Moody's, Citi Research Estimates

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■ **Summary view** – Growth outlook is supported by vibrant capital markets and improving property conditions. HKD weakness suggests HKMA weak-side intervention may be triggered soon as designed under LERS. Various key financial policy announcements lately to enhance HK's financial infrastructure.

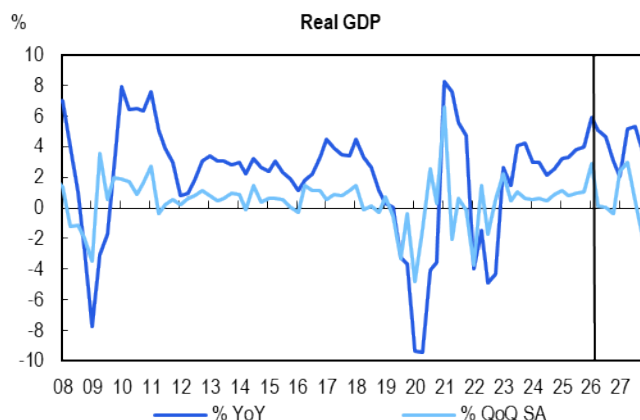
Capital markets vibrancy and mass property market improvements to support GDP outlook. HK capital markets remain vibrant YTD, supported by ample liquidity and investors' appetite. In 1H26, 87 IPOs raised HK\$210 billion, up 92%yoy, while average daily turnover reached HK\$283bn. Activity has been broad-based, spanning A+H listings, technology companies, wealth management, offshore RMB business and family offices. Meanwhile, more entrenched recovery noted with mass home prices rose 7.8%YTD (posing upside risk to our 2026E house view of +8%yoy). Together these contribute to GDP through financial services exports, professional services demand, and wealth effects that support consumption.

Strengthening financial infrastructure to enhance HK's IFC competitiveness. Various key policies were announced recently: (1) Southbound Bond Connect scheme enhancements, including raised quota from RMB500bn to RMB800bn, added repo transactions, expanded product coverage to HKD and RMB bond products, linked Macau's bond market, and new interest-rate products for Swap Connect. (2) Action plan to develop HK as a leading corporate treasury centre, including tax incentives, expanded tax treaty coverage, talent development and targeted promotion to MNCs. (3) LegCo is reviewing the [Preferential Tax Regimes for Funds, Family-owned Investment Holding Vehicles and Carried Interest Bill 2026](#), which broadens tax concessions to cover additional fund structures, private credit, virtual assets, precious metals and eligible commodities, while expanding the carried-interest regime beyond private equity. These reforms all aim to enhance HK's attractiveness as an AMC including alternative asset management. Recent regulatory efforts to curb illicit capital outflows and underground FX activities could channel more outbound investment through regulated routes, increasing demand for Hong Kong's official wealth management, fund, treasury and Connect platforms as trusted gateways for cross-border capital flows. While comparisons with Shanghai resurfaced with Shanghai announcing plans for offshore financing, the greater opportunity lies in fostering complementarity, allowing HK to provide comprehensive offshore financing, treasury and investment solutions that support Mainland enterprises' global expansion.

Our three IFC related suggestions to Hong Kong's Five-Year Plan. We believe by deepening product sophistication and connectivity, HK can amplify its IFC status. Thus we see policy initiative along these three areas would be beneficial: (1) Strengthen financial infrastructure by expanding the offshore RMB asset pool, improving CNH liquidity across products and tenors, and developing RMB-denominated commodity markets. (2) Deepen cross-border connectivity through further optimisation of Connect schemes, further expansion of Wealth Management Connect, and potentially innovative initiatives such as a Carbon Connect platform. (3) Accelerate tax reforms covering funds, family offices, commodities, precious metals, digital assets and carried interest, while enhancing incentives related to intellectual property.

HKD weak side intervention could be triggered soon. HKD weakness reflects lower local interest rates following earlier liquidity inflows, USD-favored carry trades, dividend outflows, repatriation of IPO/bond proceeds, broad USD strength, and seasonal funding effects ([HKMA](#), 25 Jun). Under the Linked Exchange Rate System, HKMA intervention is likely once HKD reaches the weak-side convertibility undertaking level – which was last witnessed in 2025.

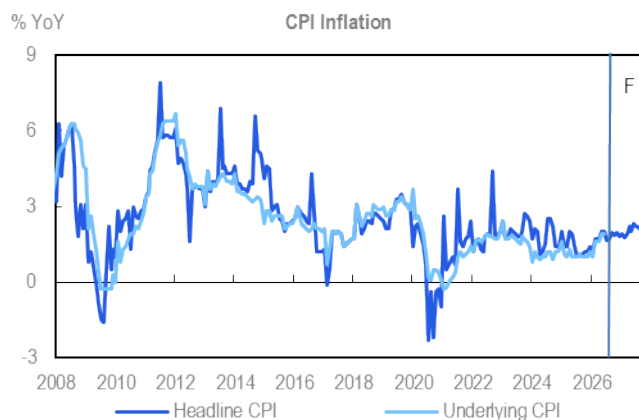
Figure 35. 2Q26 GDP likely point to further recovery, but base effect will turn less favourable in 2H



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Source: CEIC, Citi Research

Figure 36. Slightly higher consumer price trends expected with energy passthrough to residential electricity bills in 2H



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Source: HKMA, CEIC, Citi Research

Figure 37. Hong Kong Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	363	345	369	359	381	408	427	455	487
Population, mn	7.5	7.4	7.4	7.5	7.5	7.5	7.5	7.5	7.5
Real GDP, yoy avg	-1.7	-6.5	6.5	-3.7	3.2	2.6	3.5	4.6	4.0
Private consumption growth % yoy	-0.8	-10.6	5.6	-2.2	6.8	-0.2	1.7	3.2	2.4
Real investment growth % yoy	-17.2	0.3	-2.9	-12.7	11.8	3.4	15.9	21.3	-1.1
Real export growth, % yoy	-6.1	-6.8	17.0	-12.6	-6.7	5.1	11.2	14.7	6.5
Real import growth, % yoy	-7.3	-6.7	15.9	-12.3	-5.3	3.9	11.6	15.8	5.4
Net export contribution to growth	2.4	-0.2	2.6	-1.2	-2.8	2.1	-0.4	-1.9	2.3
Unemployment, % of labour force	2.9	5.8	5.2	4.3	2.9	3.0	3.7	3.6	3.1
External (US\$bn)									
Current account	21.2	24.1	43.7	36.5	32.1	53.6	52.3	66.4	64.3
% of GDP	5.9	7.0	11.8	10.2	8.4	13.1	12.3	14.6	13.2
Trade balance	-54.5	-44.1	-44.7	-50.5	-59.7	-48.7	-57.3	-61.7	-60.7
FDI, net	-20.5	-34.0	-43.7	-3.4	-25.8	-10.0	-10.0	-20.0	-20.0
External debt	-	-	-	-	-	-	-	-	-
Short-term debt	-	-	-	-	-	-	-	-	-
International reserves	441.2	491.6	496.7	423.9	425.4	421.3	427.9	440.0	430.0
Public Finances, % of GDP									
Consolidated government balance	-0.6	-9.2	0.0	-6.6	-5.7	-5.8	-3.0	0.6	0.2
Consolidated gov primary balance	-0.6	-9.2	0.0	-6.6	-5.7	-5.8	-3.0	0.6	0.2
Public debt	1.3	4.1	6.2	9.5	11.4	13.4	15.6	15.8	16.0
External public debt	1.0	1.4	1.8	2.9	3.9	3.9	3.9	3.9	3.9
Prices									
CPI, % yoy, eop	2.9	0.3	1.6	1.9	2.1	1.7	1.4	1.9	2.2
CPI, % yoy, avg	2.9	-0.9	2.4	2.0	2.4	1.4	1.5	1.9	2.2
HKD/US\$, eop	7.79	7.75	7.80	7.81	7.81	7.77	7.78	7.79	7.79
HKD/US\$, avg	7.84	7.76	7.77	7.83	7.83	7.80	7.80	7.81	7.79
Policy Interest Rate, % eop	-	-	-	-	-	-	-	-	-
10-Year Govt Bond, %, eop	-	-	-	-	-	-	-	-	-
Nominal wages, % yoy	3.49	1.35	1.28	2.17	3.59	3.68	3.43	4.00	4.00
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	4.0	5.9	5.1	4.6	3.1	2.0	5.2	5.3	3.6
CPI, % yoy, avg	1.3	1.6	2.0	2.0	2.1	2.1	2.4	2.2	2.0
HKD/US\$, eop	7.78	7.84	7.84	7.79	7.79	7.78	7.78	7.79	7.79

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Note: Public debt is general government debt. Positive net FDI refers to inflow of investment into an economy

Source: CEIC Data Company Ltd, Fitch, IFS, Moody's, Citi Research

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■ **Summary view** – We retain our FY27 Real GDP view at 6.9%YY with signs of resilient consumption and investment trends. We continue to see FY27 inflation at 4.7%YY (vs RBI 5.1%). We retain our view of CAD at 0.9% of GDP and a BoP surplus of \$45bn, but with downside risks. Expect RBI to remain on hold.

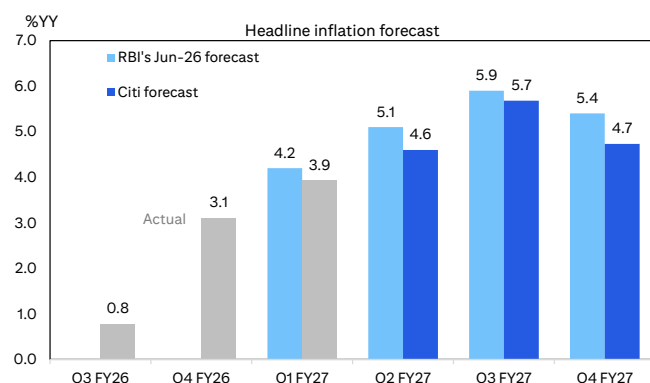
Still no alarm on core inflation: Headline inflation rose to a 1.5-year high of 4.38%YY in Jun-26, up 45bps from May-26. This was driven by a sharp jump in food and energy inflation, each contributing ~20-25bps, while core inflation remained unchanged at 3.9%YY. Core CPI ex precious metals rose to 2.5%YY in Jun-26, up 15bps from May, largely due to a further uptick in Restaurants CPI. We retain our average FY27 forecasts at 4.7%YY for headline inflation and 4.5%YY for Core CPI. But barring 3QFY27 (low base), we don't expect headline inflation to average above 5% in rest of FY27.

Monetary policy: While the June headline CPI at an 18-month high, we think that the August RBI MPC would focus more on the fact that the 1QFY27 average CPI is 30bps lower than the June MPC forecast. This is likely to prompt them to lower their FY27 average CPI forecast (5.1%YY) by around 20bps, reducing the need for any immediate rate hike action. There is a modest increase in core inflation and other underlying inflation metrics like trimmed mean and diffusion index but from extremely low levels. Hence, they continue to remain within RBI's comfort zone for now. RBI is likely to watch out for the persistence of any second-round effects of the energy shock on the core inflation and in our view, the rate hike possibilities will arise only when core inflation is sustaining above 4.5%. We expect that this condition is unlikely to be met soon and hence do not foresee a rate hike in 2026.

Risks – Monsoon and Middle East: However, there are multiple upside inflation risks to keep an eye on. **First**, impact of renewed hostilities in the Middle East is putting pressure on energy/petchem prices again. **Second**, disruption to food prices (particularly vegetables/pulses/oilseeds) from potential El Nino shock could become visible with a lag. Despite some improvement in early July, rainfall during monsoon season is still 24% below normal levels. Crop sowing is still down 6%YY as mid-July, with ~54% of total area sown. In an adverse scenario, these supply side shocks can potentially combine with demand side impetus coming from high retail credit growth, warranting RBI rate action.

BoP and INR: We [previously upgraded](#) our FY27 BoP view to a \$45bn surplus from a peak-war deficit of \$50bn, assuming a \$31.5bn saving from a [lower net oil import bill](#) and an additional \$55bn inflow from various RBI concessional swap measures. Regarding the former, Brent prices are again hovering around \$90/bbl; every \$10/bbl increase puts at least \$15bn of upward pressure on the annual current account deficit. Regarding the latter, before RBI released the data, market expectations for total inflows were tempering amid reports of taxation-related issues that could reduce the appeal of these products in Western countries ([ET, 11-Jun-26](#)). However, RBI has [now reported](#) that \$20.7bn was received under these schemes as of 17 July, with \$17.4bn via FCNR(B) deposits. Yet, this inflow is not reflected in FX reserves or banking system liquidity data, raising doubts about offsetting flows (either BoP or FX forwards) or some delay in swap conversion. While initial capital inflow data under these schemes appears upbeat, we maintain our CAD forecast of 0.9% of GDP and a BoP surplus of \$45bn, given uncertainty in the Middle East. Higher oil prices, tempered expectations for RBI scheme-related inflows (at least in 1H-July), general USD strength, and a wider-than-expected June trade deficit have eroded initial INR strength. Brent must return to the \$70s/bbl range and RBI-related inflows must continue to gain momentum the next two months for our revised short-term USDINR view of 94.0 to play out. This will also depend on RBI's reaction function to these flows in terms of reserve accretion versus currency appreciation.

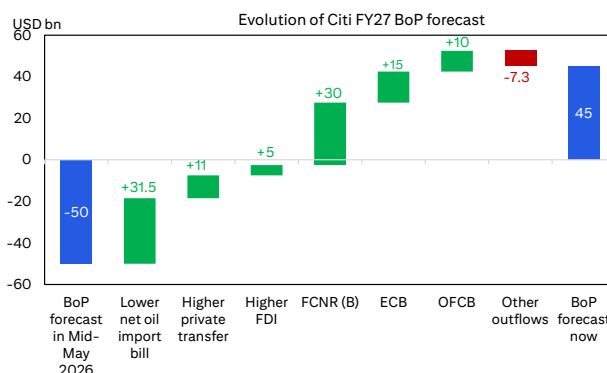
Figure 38. We see 20bps downside risk to RBI inflation forecast



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Source: RBI, Citi Research

Figure 39. Our BoP surplus view relies on lower oil prices and capital inflow



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Source: RBI, Citi Research

Figure 40. India Economic Indicators

	FY20	FY21	FY22	FY23	FY24	FY25	FY26F	FY27F	FY28F
Activity									
Nominal GDP, USD bn	2,754	2,598	3,076	3,250	3,501	3,761	3,920	4,131	4,475
Population, mn	1,341	1,355	1,369	1,383	1,395	1,408	1,421	1,433	1,444
Real GDP, yoy avg	3.9	-5.8	9.7	7.6	7.2	7.1	7.7	6.9	6.9
Private consumption growth % yoy	5.2	-5.3	11.7	7.5	5.8	5.8	7.7	6.8	7.2
Real investment growth % yoy	-6.0	-10.6	25.4	3.5	8.7	6.1	7.7	7.4	6.7
Real export growth, % yoy	-3.4	-7.0	29.6	10.3	0.7	6.6	6.3	4.9	5.8
Real import growth, % yoy	-0.8	-12.6	22.1	8.9	-1.0	5.3	5.6	6.4	5.7
Net export contribution to growth	-0.5	2.0	0.6	0.2	0.4	0.2	0.1	-0.4	-0.1
Unemployment, % of labour force	-	-	-	-	-	-	-	-	-
External (US\$bn)									
Current account	-24.7	23.9	-38.8	-67.1	-26.1	-23.1	-25.4	-39.2	-20.0
% of GDP	-0.9	0.9	-1.3	-2.1	-0.7	-0.6	-0.6	-0.9	-0.4
Trade balance	-157.5	-102.2	-189.5	-265.3	-244.9	-286.9	-337.3	-383.9	-377.8
FDI, net	43.0	44.0	38.6	28.0	10.1	1.0	6.9	16.0	30.0
External debt	558.4	573.7	619.1	623.9	668.9	736.4	762.8	803.7	865.5
Short-term debt	113.4	118.4	123.4	128.4	133.4	138.4	143.4	151.1	162.7
International reserves	475.6	579.3	617.6	578.4	645.6	665.4	688.1	740.1	813.1
Public Finances, % of GDP									
Consolidated government balance	-7.4	-13.5	-9.7	-9.1	-8.3	-7.8	-7.3	-7.1	-7.1
Consolidated gov primary balance	-2.4	-7.9	-4.3	-3.7	-2.8	-2.5	-1.9	-1.6	-1.6
Public debt	77.3	91.9	86.7	85.3	85.0	84.1	85.0	84.1	83.1
External public debt	4.1	4.0	4.2	4.1	4.2	4.5	5.2	6.4	6.2
Prices									
CPI, % yoy, eop	5.8	5.5	7.0	5.7	4.9	3.3	3.4	4.7	4.2
CPI, % yoy, avg	4.8	6.2	5.5	6.7	5.4	4.6	1.9	4.7	4.2
INR/US\$, eop	71.36	73.05	74.49	82.74	83.22	85.58	89.87	95.08	96.55
INR/US\$, avg	70.40	74.12	73.94	78.60	82.57	83.67	87.14	94.72	96.22
Policy Interest Rate, % eop	4.40	4.00	4.00	6.50	6.50	6.25	5.25	5.25	5.25
10-Year Gilt, % eop	6.37	6.21	6.77	7.39	7.06	6.73	7.04	7.20	7.20
Nominal wages, % yoy	-	-	-	-	-	-	-	-	-
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	8.0	7.8	7.0	6.7	6.9	6.9	7.2	7.1	6.8
CPI, % yoy, avg	0.8	3.1	3.9	4.6	5.7	4.7	4.6	4.2	3.8
INR/US\$, eop	89.87	93.48	94.33	94.32	95.08	95.82	96.15	96.35	96.55
Policy interest rate, % eop	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25

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Note: Public debt is general government debt and based on the residency of the holder of the debt (not by currency denomination). India Fiscal year runs from April- March. Positive net FDI refers to inflow of investment into an economy

Source: CEIC Data Company Ltd, Fitch, IFS, Moody's, Citi Research

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■ **Summary view** – GDP growth in 2Q probably slowed to the low-5%’s, after a strong 5.6% in 1Q. Although inflation may breach 3.5% due to El-Nino, FX pressure in 3Q may subside vs. 2Q which we think could lead to lower SRBI rates. This is despite low policy predictability straining the FDI outlook longer term.

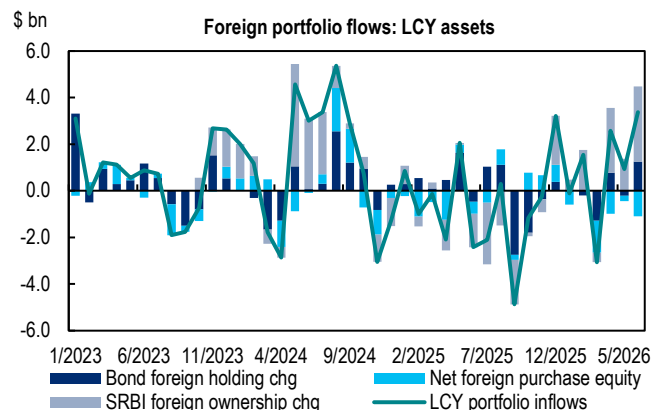
GDP growth in 2Q probably slowed to the low-5%’s, after a strong 5.6% in 1Q. Fixed investment may have still been supported by equipment purchases and building construction in relation to certain government programs (such as the village cooperatives program). Vehicle sales rose to 33% YoY during the quarter. And despite free-lunch momentum slowing amid increased public scrutiny, low-base effects probably led to strong YoY growth of government spending though weaker vs. 1Q. That said, consumption growth may have slowed as consumer confidence weakened. We attribute this to the global energy shock (which began to be partially passed through to domestic fuel prices in May) as well as the weakening of the IDR. We also think that private sector capex, including FDI, also slowed in light of the low policy predictability.

We see headline inflation breaching 3.5% in 1Q27. The global energy price shock has pushed-up the inflation rate of certain construction material prices to double digit levels, contributing to an acceleration of WPI inflation to 6% up to June. CPI inflation has also increased following the adjustment in non-subsidized fuel prices in May, but remains below 3.5% YoY. Given the different composition of WPI and CPI constituents, we do not expect immediate pass-through. However, we do expect inflation to exceed BI’s 3.5% inflation target upper bound in 1Q26. This may come as price lists of various durable goods are adjusted higher, as well as likely higher rice price inflation. In previous episodes of El-Nino, the 4Q rice planting season could get pushed back, leading to a late harvest in the 1H of the subsequent year. That said, we think that the supply side driven breach of the inflation target is unlikely to impact the course of monetary policy. The rice inflation shock could reduce the purchasing power of non-foods, although core inflation will likely still increase via certain rice-based processed foods.

We think the BI rate has peaked at 5.75% and expect the OMO curve bull-flattening in 3Q. This assumes reduced FX pressure in 3Q vs. 2Q, due to a combination of a smaller current account deficit (lower oil prices) and resumption of foreign inflows into LCY bonds. The government has confirmed that the 2026 bond issuance target will stay unchanged despite the fiscal deficit being widened to 2.85% of GDP (from 2.69%), even though our expectation was for a slight decrease. S&P’s decision to maintain Indonesia’s sovereign rating at BBB/Stable, as opposed to lowering the outlook to negative, should also be supportive. Longer term, we see ID’s capital account fundamentals remaining weak. Low policy predictability persists, and this may suppress the recovery of FDI, thereby requiring high reliance on portfolio inflows. This may lead to just a narrow window for lowering SRBI rates and/or higher reliance on FCY government debt financing.

Risks to our base-case scenario. Upside risks to the USDIDR would remain if resident capital outflows regain momentum (e.g. due to further unforeseen policy announcements) or if the factors that underpin a narrowing of the CAD do not materialize. Increased Fed hawkishness (not Citi’s base-case) that yields to higher DXY and short-term UST yields could also lead BI to re-steepening the OMO curve instead of flattening it. Conversely, the downside risks would primarily be if UST yields come down, thereby sustaining foreign inflows longer than we expect in the base case.

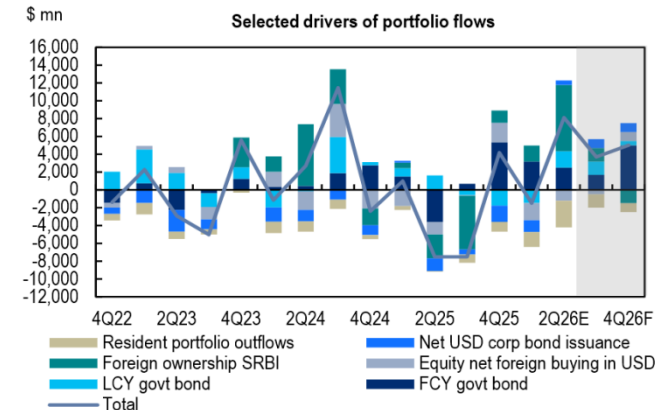
Figure 41. SRBIs supported portfolio inflows in 2Q



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Source: CEIC, Citi Research

Figure 42. Expect ramp-up of FCY bond issuances in 2H26



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Source: CEIC, Citi Research Estimates

Figure 43. Indonesia Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	1,119	1,059	1,186	1,319	1,371	1,396	1,446	1,497	1,522
Population, mn	266.9	270.2	272.7	275.8	278.7	281.8	284.9	288.0	291.2
Real GDP, yoy avg	5.0	-2.1	3.7	5.3	5.0	5.0	5.1	5.2	4.9
Private consumption growth % yoy	5.2	-2.7	2.0	5.0	4.9	5.1	5.0	4.6	3.9
Real investment growth % yoy	2.4	-6.9	4.1	4.0	5.2	7.5	4.0	2.9	4.3
Real export growth, % yoy	-0.5	-8.4	18.0	16.2	1.7	6.9	7.0	-1.3	7.0
Real import growth, % yoy	-7.1	-17.6	24.9	15.0	-1.2	8.1	4.8	-3.6	4.5
Net export contribution to growth	1.4	1.5	-0.4	0.8	0.7	0.0	0.7	0.4	0.8
Unemployment, % of labour force	5.2	7.1	6.5	5.9	5.3	4.9	4.9	4.1	4.3
External (US\$bn)									
Current account	-30.3	-4.4	3.5	13.2	-2.0	-8.6	-1.5	-24.8	-20.0
% of GDP	-2.7	-0.4	0.3	1.0	-0.1	-0.6	-0.1	-1.7	-1.3
Trade balance	3.5	28.3	43.8	62.7	46.3	39.8	49.8	29.8	37.2
FDI, net	20.5	14.1	17.3	18.1	14.4	15.9	14.1	16.7	17.8
External debt	403.6	416.9	412.0	394.8	406.7	425.1	433.2	450.6	480.6
Short-term debt	43.4	43.2	47.2	47.7	50.1	61.8	61.9	-	-
International reserves	129.2	135.9	144.9	137.2	146.4	155.7	156.5	146.7	147.5
Public Finances, % of GDP									
Consolidated government balance	-2.2	-6.1	-4.6	-2.4	-1.7	-2.3	-2.9	-2.8	-2.4
Consolidated gov primary balance	-0.5	-4.1	-2.5	-0.4	0.4	-0.1	-2.9	-0.4	0.0
Public debt	30.7	40.7	40.8	37.3	38.5	39.4	39.3	39.2	39.4
External public debt	4.9	5.6	4.8	11.0	11.1	13.3	10.7	8.2	6.2
Prices									
CPI, % yoy, eop	2.6	1.7	1.9	5.4	2.8	1.6	2.9	3.3	2.8
CPI, % yoy, avg	2.8	2.0	1.6	4.1	3.7	2.3	2.4	3.3	3.1
IDR/US\$, eop	13,883	14,050	14,253	15,568	15,397	16,095	16,675	17,754	16,804
IDR/US\$, avg	14,141	14,540	14,295	14,851	15,233	15,845	16,463	17,587	17,322
Policy Interest Rate, % eop	5.00	3.75	3.50	5.50	6.00	6.00	4.75	5.75	5.50
10-Year Government Bond, % eop	7.26	6.18	6.55	7.01	7.01	7.07	6.17	7.00	7.00
Nominal wages, % yoy	3.44	-6.90	-0.37	3.00	5.00	5.00	4.00	5.50	4.00
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	5.4	5.6	5.2	4.9	4.9	5.1	4.8	4.9	4.7
CPI, % yoy, avg	2.6	3.7	2.5	2.6	2.5	3.7	3.4	3.0	2.7
IDR/US\$, eop	16,675	16,995	17,780	17,716	17,754	17,791	17,528	17,166	16,803.50
Policy interest rate, % eop	4.75	4.75	5.75	5.75	5.75	5.75	5.50	5.50	5.50

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Note: Public debt is central government debt and based on the residency of the holder of the debt (not by currency denomination). For Indonesia, we refer to 7d reverse repo rate from Q3'16 onwards. We quote the FasBI rate before that. Positive net FDI refers to inflow of investment into an economy

Source: CEIC Data Company Ltd, Fitch, IFS, Moody's, Citi Research

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■ **Summary view** – Stronger-than-expected 2Q26 growth leads us to raise our 2026 forecast to 4.9% (from 4.6%), with a 2H26 moderation on E&E exports. We expect an extended BNM pause, but see risks tilted to a backloaded 25bps hike in 2027.

With 2Q26 GDP unexpectedly accelerating to 5.8% YoY (1Q: 5.4%) on mining & manufacturing, we raised our 2026 forecasts to 4.9% (from 4.6%). We expect 3Q26 growth to slow on a YoY basis to 4.6% on base effects, and further to 4.1% in 4Q26, with sequential growth also moderating to slightly below trend at 0.9% and 0.6% on expected moderation in E&E export momentum, and pullback in mining. Risks remain to the upside.

Headwinds from the ME conflict may subside and provide some support to 3Q26 growth. These headwinds were largely felt in Mar-May through lower tourist arrivals, and concerns over a production “cliff” from physical shortages of critical inputs. These headwinds may subside into 2H26, though risks from the latter have not completely subsided given recent re-escalation

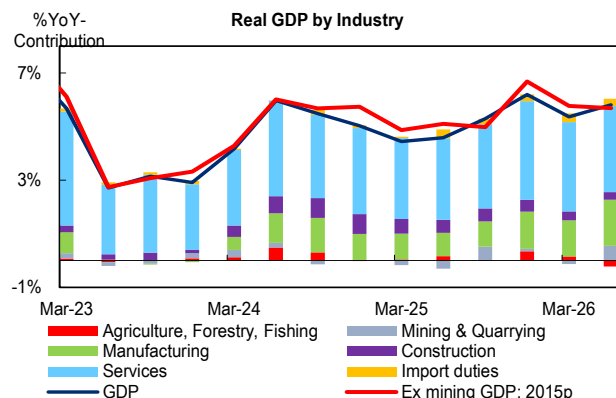
The primary growth driver for Malaysia and some regional peers remains AI related tailwinds in semiconductor exports, which should stay resilient in 2H26 despite early signs of moderation in the May-Jun data. Export resilience and realization of earlier investment approvals should in turn cushion manufacturing FDI, with the investment landscape further augmented by the strong pipeline of Data Centre related FDI and strong FDI momentum in the JSSEZ.

However, the capital-intensive nature of AI related activities has limited the positive spillovers into jobs and private consumption. Indeed, job market tightness has started to ease, on moderating services labour demand, such that overall employment growth turned slightly negative YoY in May, and the unemployment rate edging up in Apr-May to 3%, though still near historical lows. As such, consumer spending could remain moderate despite support from fiscal transfers, civil servant wage hikes and tourism recovery.

Headline and core inflation should both stay benign near 2% in 2026 given subsidies on diesel and absence of excessive demand-pull inflation pressures, creeping up gradually in 2027 to 2.2% and 2.1%, respectively. Nonetheless, some upside risks still remain on delayed pass through of pipeline cost pressures – including from earlier policy reforms – which have squeezed firms’ profit margins. Risks of significant fiscal slippage vs Budget 2026 targets remains contained, with expanded diesel subsidies expected to yield savings of RM2bn on curbs in leakages, and broad fiscal consolidation trajectory still intact, even if the deficit could slightly exceed the 3.5% of GDP target. El-Nino represents an additional supply shock that may have a slightly bigger impact on growth than prices.

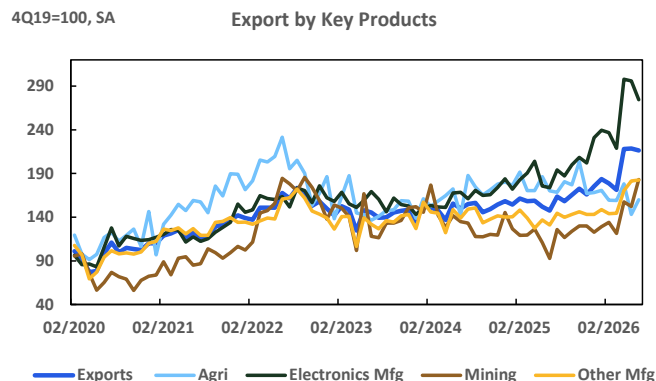
With BNM partly discounting the mining led rebound in 2Q26 growth, we expect an extended BNM pause for now, but see risks tilted to a hike in 2027. Moreover, limited positive spillovers into the job market and hence private consumption and demand-pull inflation could provide BNM space to stay patient going into 2H26. More broadly, the geopolitical and global policy uncertainties that prompted the insurance 25bps OPR cut in Jul-25 to secure growth still remain. Still, risks are tilted towards a backloaded 25bps hike if export strength filters more strongly into the job market and domestic demand, or uncertainty recedes. One possible window to signal a bias towards normalization could be closer to the next Economic and Monetary Review in Mar-2027.

Figure 44. 2Q26 GDP growth picked up to 5.8% YoY in 2Q26 (1Q: 5.4%) on a rebound in mining and manufacturing, with ex-mining GDP slowing to 5.7% (1Q: 5.8%)



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Source: CEIC, Citi Research

Figure 45. Strength in exports was dominated by E&E exports, but this has since moderated in Apr-May



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Source: Ministry of Finance, Citi Research

Figure 46. Malaysia Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	365	338	374	411	401	423	493	566	605
Population, mn	32.4	32.4	32.6	32.7	33.4	34.1	34.2	34.7	35.0
Real GDP, yoy avg	4.4	-5.5	3.3	9.0	3.6	5.2	5.2	4.9	4.8
Private consumption growth % yoy	7.7	-3.9	1.8	11.4	4.6	4.8	5.3	4.4	6.2
Real investment growth % yoy	-3.8	-12.1	8.4	7.6	6.9	6.3	-	-	3.7
Real export growth, % yoy	-1.0	-8.6	18.5	14.5	-7.9	8.6	4.9	7.6	3.0
Real import growth, % yoy	-2.4	-7.9	21.2	16.0	-6.8	8.7	6.3	7.2	4.0
Net export contribution to growth	0.7	-1.0	-0.3	-0.1	-1.2	0.3	-0.6	0.5	-0.6
Unemployment, % of labour force	3.3	4.5	4.7	3.8	3.4	3.2	3.0	3.2	3.0
External (US\$bn)									
Current account	12.8	14.1	14.5	13.0	4.4	6.0	7.7	12.0	10.1
% of GDP	3.5	4.2	3.9	3.2	1.1	1.4	1.6	2.1	1.7
Trade balance	30.1	32.7	42.9	42.6	28.7	24.6	24.6	27.0	24.0
FDI, net	-1.6	-0.7	7.5	2.9	1.9	2.4	12.5	5.0	5.0
External debt	228.5	236.4	256.5	259.8	271.5	263.4	290.0	295.0	298.0
Short-term debt	93.9	90.6	96.0	109.4	116.1	116.0	120.0	122.0	122.0
International reserves	103.6	107.6	116.9	114.7	113.5	116.2	125.5	129.0	135.0
Public Finances, % of GDP									
Consolidated government balance	-3.4	-6.2	-6.4	-5.5	-5.0	-4.1	-3.6	-3.5	-3.1
Consolidated gov primary balance	-1.2	-3.7	-3.9	-3.2	-2.5	-1.5	-0.9	-0.8	-0.4
Public debt	52.4	62.0	63.3	60.1	64.2	64.5	64.7	64.3	64.0
External public debt	1.9	2.0	1.9	1.6	1.6	1.4	1.4	1.5	1.5
Prices									
CPI, % yoy, eop	1.0	-1.4	3.2	3.8	1.5	1.7	1.6	2.4	2.1
CPI, % yoy, avg	0.7	-1.1	2.5	3.4	2.5	1.8	1.4	1.9	2.2
MYR/US\$, eop	4.09	4.02	4.17	4.41	4.60	4.47	4.06	4.00	4.14
MYR/US\$, avg	4.14	4.20	4.14	4.40	4.56	4.58	4.28	4.04	4.04
Policy Interest Rate, % eop	3.00	1.75	1.75	2.75	3.00	3.00	2.75	2.75	2.75
5-year MGS, %, eop	3.18	2.12	3.15	3.86	3.57	3.62	3.30	3.50	3.80
Nominal wages, % yoy	3.55	0.31	1.98	2.00	1.06	0.55	1.60	2.00	3.50
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	6.2	5.4	5.8	4.6	4.1	4.9	5.1	4.8	4.3
CPI, % yoy, avg	1.4	1.6	2.0	1.9	2.3	2.5	2.1	2.2	2.0
MYR/US\$, eop	4.06	4.05	4.14	4.03	4.00	3.96	4.00	4.07	4.14
Policy interest rate, %, eop	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75

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Note: Wage is based on Citi Research estimates of average manufacturing sector wage. Public debt is general government debt and based on the residency of the holder of the debt (not by currency denomination). Positive net FDI refers to inflow of investment into an economy

Source: : CEIC Data Company Ltd, Fitch, IFS, Moody's, Citi Research

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■ **Summary view** – We maintain our FY26 GDP growth forecasts this month, after lowering it in May, while the inflation pressures recede amid a roll-back of fuel prices. We still see the BSP policy rate rising to 5.25% by Oct but highlight downside risk to the forecast; i.e. of BSP pausing at 5.0% in Aug.

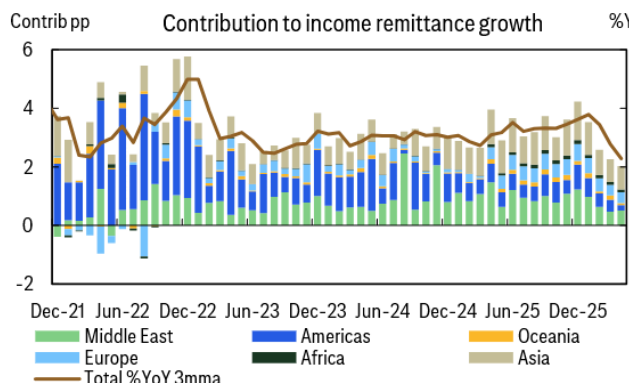
After GDP possibly hits bottom in 2Q, the pace of recovery in 2H26 remains unclear. GDP growth likely remained tepid in 2Q26, even though the roll-back of fuel prices in May and subsequent disinflation likely eased the burden for consumers. June PMI stood at 50.9, marginally higher vs. the previous month. Government expenditures in Apr–May (net of interest payments and subsidies) were barely up 1% YoY thus probably shrank in inflation adjusted terms. Export growth in the same period dropped to around 7% YoY from around 12% YoY in 1Q26. Separately the slow-down in the growth of remittances probably decelerated in late 2Q as Middle East tensions de-escalate; yet a quick recovery is not seen as worker departures to the Middle East remain low. On a positive note, policymakers' public investment is likely to rebound in 2H26, driving a broader recovery. Transparency and governance improvements on public project execution have seemingly improved following the flood control corruption case in 4Q26, for example via a geotagging system for infrastructure projects. However, there remains significant risk of the recovery falling short; that is, if political instability leads to a more prolonged policy paralysis.

Upside on headline inflation may be capped as energy prices continue to pull-back, but upward pressure on core inflation may persist in coming months. We see one more month of fuel price MoM deflation, before likely stabilizing in August. Bi-weekly food price data suggests rice price MoM deflation also continued into early July. Rice prices have retreated 4% from recent peaks after jumping around 11% as the ME conflict broke. We headline expect inflation to bottom in the low 6% in Aug, before likely rebounding to the high 6%'s in 4Q as we pencil-in El-Nino re-accelerating rice inflation. Headline inflation dynamics aside, upside on core inflation remains visible in coming months although the pace of increase is likely to decelerate. This stems from the delayed pass-through of the energy shock, PHP depreciation (impacting electricity tariffs) as well as the recent hike in minimum wages. Manila minimum wages are set to rise 12%, of which 70% of the increase is being implemented in July. The upward pressure on business overhead costs may in turn impact selling prices of various goods and services in the CPI basket.

Monetary policy: A likely August hike, with October the earliest window for a pause. The July minimum wage hike and associated wage-price spiral risk, deferred electricity and food price pass-throughs, and persistent peso weakness all point to upside inflation risk that will likely be hard for the BSP to ignore. An October pause requires a combination of lower oil prices delivering a material downward revision to BSP's forecasts and/or downside surprises in growth and activity data that would suggest a continuation of below trend growth. Limited fiscal support available to a below-trend economy also cautions against overly aggressive tightening. The updated staff projections at the next forecast round are therefore a critical signpost.

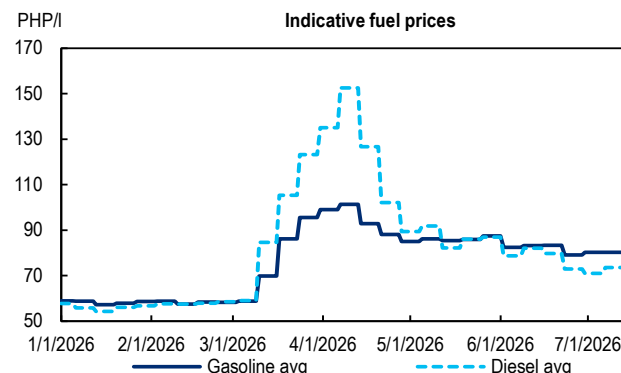
Medium-Term Fiscal Framework targets have been revised upward yet again to 3.5% of GDP by 2030, from 3% in 2028 previously. However, the 2026 fiscal deficit target of 5.4% of GDP is broadly on track, with the 1Q26 outturn at 5.1% of GDP. Meanwhile, the gross financing requirement for 2026 has been revised to PHP 2.8 trillion, with the domestic-external split adjusted from 75–25 to 70–30. This reflects both the need for BOP support and the outsized domestic inflation shock, which has pushed up local borrowing costs and reduced the relative attractiveness of domestic financing.

Figure 47. Growth of incoming remittances has slowed



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Source: CEIC, Citi Research

Figure 48. Fuel price deflation still expected in Jul



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Source: CEIC, Citi Research

Figure 49. Philippines Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	377	362	394	393	438	456	480	529	574
Population, mn	108.3	109.9	111.6	113.2	114.7	116.4	117.9	119.4	120.9
Real GDP, yoy avg	6.1	-9.5	5.7	7.6	5.5	5.7	4.4	3.1	5.4
Private consumption growth % yoy	5.9	-8.0	4.2	8.3	5.5	4.9	4.5	1.9	4.6
Real investment growth % yoy	3.5	-34.2	20.0	13.7	6.3	7.7	-1.7	2.3	7.4
Real export growth, % yoy	2.6	-16.1	8.0	11.0	1.3	3.2	8.2	7.0	3.3
Real import growth, % yoy	2.3	-21.6	12.8	14.0	1.0	4.3	5.0	5.7	4.5
Net export contribution to growth	-0.2	4.0	-2.3	-2.2	0.0	-0.7	0.3	-0.2	-0.8
Unemployment, % of labour force	5.1	10.4	8.0	5.5	4.6	4.3	4.7	4.3	4.3
External (US\$bn)									
Current account	-3.0	11.6	-5.9	-18.3	-12.4	-18.6	-16.3	-23.7	-12.5
% of GDP	-0.8	3.2	-1.5	-4.7	-2.8	-4.1	-3.4	-4.5	-2.2
Trade balance	-49.3	-33.8	-52.8	-69.7	-66.0	-68.9	-66.7	-75.2	-65.3
FDI, net	5.3	3.3	9.7	5.6	5.4	6.7	6.2	6.0	7.0
External debt	83.6	98.5	106.4	111.3	125.4	137.6	150.0	164.0	178.0
Short-term debt	17.2	14.2	15.1	16.6	17.1	20.9	20.0	21.0	22.0
International reserves	87.8	110.1	108.8	96.1	103.8	106.3	110.8	102.8	103.8
Public Finances, % of GDP									
Consolidated government balance	-3.4	-7.6	-8.6	-7.3	-6.2	-5.7	-5.6	-5.4	-4.8
Consolidated gov primary balance	-1.5	-5.5	-6.4	-5.0	-3.6	-2.8	-2.5	-2.4	-1.8
Public debt	42.1	57.1	62.6	62.7	61.6	62.0	64.4	64.1	63.5
External public debt	14.5	18.4	19.5	20.0	19.6	19.7	19.0	19.9	19.7
Prices									
CPI, % yoy, eop	2.4	3.3	3.1	8.1	3.9	2.9	1.8	6.8	3.0
CPI, % yoy, avg	2.4	2.4	3.9	5.8	6.0	3.2	1.7	5.8	3.9
PHP/US\$, eop	50.66	48.02	51.00	55.68	55.40	58.09	58.86	63.31	59.02
PHP/US\$, avg	51.78	49.61	49.29	54.50	55.63	57.29	57.50	62.04	61.59
Policy Interest Rate, % eop	4.00	2.00	2.00	5.50	6.50	5.75	4.50	5.25	5.00
5-Year T Bond, % eop	10.75	8.59	6.54	7.40	7.20	5.95	5.43	5.50	5.50
Nominal wages, % yoy	0.00	0.00	0.00	6.15	7.02	5.74	7.75	5.00	5.00
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	3.0	2.8	2.4	3.1	4.2	4.5	5.8	6.0	5.2
CPI, % yoy, avg	1.7	2.8	6.8	6.4	7.0	6.2	3.2	3.3	3.0
PHP/US\$, eop	58.86	60.63	61.33	62.74	63.31	63.86	62.64	60.83	59.02
Policy interest rate, % eop	4.50	4.25	4.75	5.00	5.25	5.25	5.25	5.25	5.00

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Note: Public debt is central government debt. Positive net FDI refers to inflow of investment into an economy

Source: CEIC Data Company Ltd, Fitch, IFS, Moody's, Citi Research

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■ **Summary view** – We raise our 2026 GDP forecast again to 4.8% (from 4.5%) on stronger-than-expected 1H26 growth, with the unexpectedly wider positive output gap supporting our non-consensus call for another 50bps steepening in Jul.

2Q26 GDP at +5.7% YoY, +1.1% QoQ SA was slightly stronger than expected with 1Q26 GDP also revised higher 0.3%-pts to +6.3% YoY, +1.3% QoQ SA.

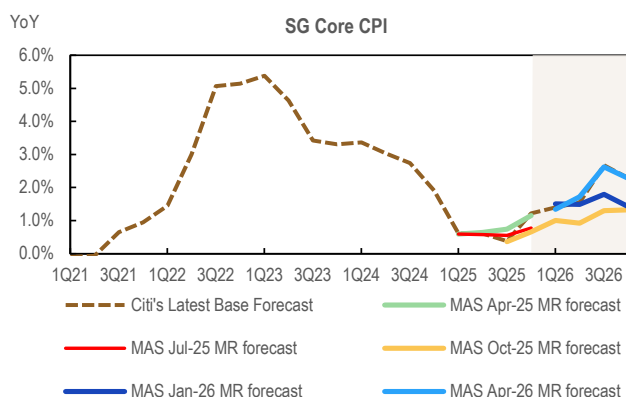
Sequentially, the expansion was dominated by manufacturing (+5.3% QoQ SA, 1Q: -2.2%), though construction fell 2.1% after the robust 7.4% growth in 1Q26, with services slowing to 0.3% (1Q: 2%). Sequential slowdown in services was led by the 0.3% drop (1Q: +3.5%) in trade related wholesale & retail trade and transport & storage sectors, likely led by retail sales and sea transport, the latter partly on port congestion. However, infocomm/finance/professional services cluster rebounded 1.7% QoQ SA (1Q: -3.5%). Importantly, other services in accommodation/food/real estate and admin/support services) accelerated to 1.2% (1Q: 1%), with MTI noting all sectors within the cluster growing except for F&B.

We raise our 2026 GDP forecast to 4.8% (prev: 4.5%), with upside risks, and now expect MTI to raise official forecast range to 4-5% or higher in Aug. Sequentially, this would imply a sharp slowdown to below trend rates of just 0.3% QoQ SA in 2H26 on average, from 1.2% in 1H26. We incorporate some slowing in electronics export momentum, consistent with our Electronics Leading Indicator (ELI), although cushioned by partial reversal of headwinds related to the Straits of Hormuz (SoH) closure on petrochemicals, refinery and sea transport sectors into tailwinds in 3Q26. Risks are to the upside given still lean inventories and capacity additions in HBM and NAND flash in 2H26, alongside early signs of broadening growth to the precision engineering sector. With the ceiling of MTI's current forecast range of 2-4% implying 2H26 technical recession with a 0.6% QoQ SA contraction each quarter, we think the official forecast range for 2026 could be raised to at least 4-5%, with 5% growth implying 2H26 sequential growth moderating to the lower end of trend estimates of ~0.6% QoQ SA.

1H26 positive output gap likely unexpectedly widened vs Apr-26 MPS expectations for a closing through 2026. We estimate that seasonally adjusted GDP was likely 2.7% above the 1Q26 GDP Advance Estimates, which was the data set MAS had at the time of the Apr-26 MPS. Even assuming some increase in trend growth to ~0.8% QoQ SA (vs 0.6-0.7% QoQ SA previously) the positive output gap unexpectedly widened in 1H26, vs MAS's Apr expectations for a closing through 2026. Even if some narrowing is possible in 2H26, the positive output gap will likely remain substantially wider than Apr-26 MPS expectations.

With the pattern of growth solidifying the importance of the wider than expected positive output gap, we maintain our out of consensus expectation for MAS to steepen the slope by 50bps on Jul 27th (65% probability), or Oct (35%) Hiring and wage sentiment could eventually recover the longer growth is sustained. Sentiment sensitive sectors like property remained strong in 2Q26, while the sharp acceleration in loan growth has been led especially by the 48.7% YoY jump in loans to the infocomm sectors – suggesting some spillovers from the AI cycle into other non-consumer facing sectors. The resumption of the ME conflict is unlikely to amplify downside growth risks but may instead amplify upside inflation risks. All things considered therefore, we judge the upside surprise in the positive output gap may have possibly outweighed the recent downside in inflation prints from the perspective of MAS's broadly defined single price stability mandate.

Figure 50. We now see Jun-26 core at 1.8%, with 2Q26 core at 1.55% 17bps lower than MAS Apr MR forecasts



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Source: Haver, Citi Research

Figure 51. Policy settings would not be overly tight in real terms even if the slope was steepened 50bps

Average monthly position of SGD NEER in the band under various real policy settings (Assume another 50bps steepening in Jul 2026)

	-90bps	-80bps	-60bps	-30bps	-10bps	0bps
01/01/2026	7	17	37	67	87	97
01/02/2026	91	101	121	152	172	182
01/03/2026	117	127	147	177	197	207
01/04/2026	76	86	106	136	156	166
01/05/2026	157	167	187	217	237	247
01/06/2026	213	223	243	274	294	304
01/07/2026	278	288	309	339	359	369
01/08/2026	293	303	324	354	374	384
01/09/2026	267	277	297	327	347	357
01/10/2026	174	184	204	234	254	264
01/11/2026	148	158	178	208	228	238
01/12/2026	155	165	185	215	235	245

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Source: Haver, Citi Research

Figure 52. Singapore Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	377	352	441	514	527	572	627	675	706
Population, mn	5.7	5.7	5.5	5.6	5.9	6.0	6.1	6.1	6.2
Real GDP, yoy avg	1.2	-3.6	10.1	4.0	1.5	5.3	5.0	4.8	2.7
Private consumption growth % yoy	3.6	-13.7	7.7	10.2	3.7	5.8	3.9	3.4	3.9
Real investment growth % yoy	-0.4	-11.7	23.2	0.9	-9.9	14.1	4.1	1.7	7.0
Real export growth, % yoy	0.2	-0.6	8.4	5.3	4.4	5.7	10.8	15.9	8.0
Real import growth, % yoy	0.2	-2.1	8.4	6.2	4.1	6.7	11.9	16.1	9.4
Net export contribution to growth	0.1	2.1	2.6	0.2	1.8	-0.1	1.3	4.1	-0.2
Unemployment, % of labour force	2.2	3.0	2.7	2.1	1.9	2.0	2.1	2.1	2.0
External (US\$bn)									
Current account	58.2	62.2	84.9	97.3	83.8	98.5	110.2	110.6	121.1
% of GDP	15.5	17.7	19.3	18.9	15.9	17.2	17.6	16.4	17.2
Trade balance	93.1	102.0	119.9	161.5	161.1	171.8	156.2	157.2	168.2
FDI, net	37.0	36.6	66.4	79.1	74.6	71.5	100.0	95.0	100.0
External debt	1,615.4	1,774.4	1,882.6	1,964.4	2,105.8	-	-	-	-
Short-term debt	-	-	-	-	-	-	-	-	-
International reserves	279.5	362.3	417.9	289.5	351.0	371.4	395.0	415.0	420.0
Public Finances, % of GDP									
Consolidated government balance	0.2	-10.5	0.2	0.3	-0.4	0.9	1.9	1.0	0.8
Consolidated gov primary balance	-0.2	-3.9	-2.0	-2.0	-0.3	0.5	0.8	-0.3	-0.2
Public debt	124.7	145.4	131.3	152.3	167.6	165.4	174.0	175.0	177.0
External public debt	-	-	-	-	-	-	-	-	-
Prices									
CPI, % yoy, eop	0.8	0.0	4.0	6.5	3.8	3.0	1.2	2.0	1.9
CPI, % yoy, avg	0.6	-0.2	2.3	6.7	6.2	2.4	0.9	1.9	1.8
SGD/US\$, eop	1.34	1.32	1.35	1.34	1.32	1.37	1.29	1.27	1.29
SGD/US\$, avg	1.36	1.38	1.34	1.38	1.34	1.34	1.31	1.28	1.28
Policy Interest Rate, % eop	-	-	-	-	-	-	-	-	-
10-Year SGS, %, eop	1.74	0.84	1.67	3.09	2.71	3.11	1.80	1.80	1.80
Nominal wages, % yoy	2.56	1.44	3.61	6.77	5.28	5.39	3.10	3.20	3.50
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	5.7	6.3	5.7	4.1	3.0	3.7	3.2	2.0	2.0
CPI, % yoy, avg	1.2	1.5	1.9	2.4	1.9	2.3	1.7	1.5	1.8
SGD/US\$, eop	1.29	1.29	1.29	1.28	1.27	1.27	1.27	1.28	1.29

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Note: Public debt is central government debt. Singapore's government issues domestic debt securities primarily to develop the domestic debt market and to meet the investment needs of the Central Provident Fund (CPF), Singapore's national pension fund, rather than to finance the government's fiscal needs. Positive net FDI refers to inflow of investment into an economy

Source: CEIC Data Company Ltd, Fitch, IFS, Moody's, Citi Research

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■ **Summary view** – We keep our view on the BoK's rate hiking cycle at 25bps each in August 2026, November 2026, and February 2027, towards a 3.5% terminal rate.

We keep our 2026E and 2027E GDP growth forecast at 3.7% and 3.0%, respectively. We expect semiconductor export growth to accelerate to around 170% in 2026E (vs. 2025: 22%). Price-driven semiconductor export expansion would contribute around +2.6ppt for 2026E GDP, based on our estimates.

For 3Q26E–4Q26E, we expect strong GDP growth trends, due to four factors: (1) strong semiconductor exports, (2) trickle-down effects and wealth effects to private consumption and broad domestic demand, (3) strong push for additional tech CAPEX, and (4) a potential second fiscal stimulus (around KRW25trn or above) by early September'26.

For 1Q27E–2Q27E, we see even stronger GDP growth trends, driven by three factors: (1) the semiconductor sector's large bonus payment, likely at around 2% of GDP by early February, (2) the semiconductor sector's large corporate tax-fueled 2027 budget's strong fiscal spending, and (3) the strong push for large tech CAPEX.

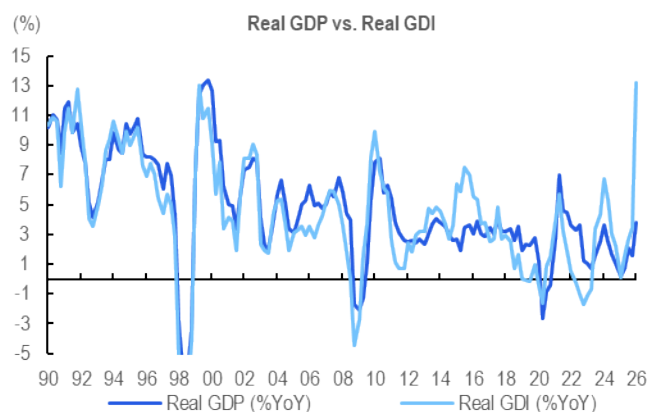
In July, the BoK highlighted the semiconductor-driven improvement in terms of trade will likely generate large ripple effects on domestic demand ([note](#)). Favorable terms-of-trade conditions could persist for a considerable period, allowing GDI to maintain a solid growth trajectory. We expect the improvement, led by the rise in export prices, to have significant ripple effects on the domestic economy, by boosting consumption through higher wages and asset values in the IT sector and by immediately expanding large-scale facility investments by semiconductor companies.

At the July 16th MPB meeting, the BoK unanimously raised the policy rate by 25bps to 2.75%. The Governor and the MPB statement effectively opened the possibility of a back-to-back 25bps hike, in our view. Reflecting the surprisingly hawkish tone on the pace of the rate hiking cycle, we expect a back-to-back 25bps hike at the August 27th MPB meeting, assuming strong 2Q26E GDP print and continuing demand-side inflationary pressure. We keep our view on the BoK's rate hiking cycle at 25bps each in August 2026, November 2026, and February 2027, towards a 3.5% terminal rate.

The government plans to establish a Future Response Fund, which may collect around KRW100trn in additional corporate tax revenue for 2027. In our view, the Future Response Fund will likely improve the efficiency of fiscal spending meaningfully compared to other options such as fiscal surplus and supplementary budget. Meanwhile, a potential second fiscal stimulus (around KRW25trn or above) could be separately proposed by early September'26 to accelerate fiscal spending in 4Q26 before the passage of the special law for the Future Response Fund by early December'26.

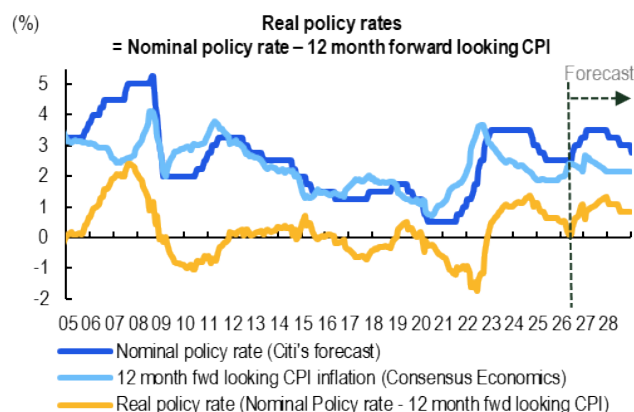
The Future Response Fund will likely target investment and welfare. The investment spending would manage broad innovation investment and the three mega-projects, including semiconductor fab construction. In the early phase of the three mega-projects, the positive impact of investment could be larger, as the greenfield type of construction investment is likely to be required.

Figure 53. GDI would maintain a solid growth trajectory



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Source: Citi Research, The Bank of Korea, Consensus Economics

Figure 54. We keep our view of the BoK rate hiking cycle towards a 3.5% terminal rate



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Source: CEIC, Citi Research

Figure 55. South Korea Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	1,751	1,744	1,943	1,802	1,844	1,880	1,882	2,226	2,409
Population, mn	51.8	51.8	51.8	51.7	51.7	51.8	51.7	51.6	51.5
Real GDP, yoy avg	2.3	-0.7	4.7	2.9	1.5	2.2	1.1	3.7	3.0
Private consumption growth % yoy	2.4	-4.6	3.7	4.2	2.1	1.3	1.5	2.5	2.1
Real investment growth % yoy	-1.4	0.8	4.4	0.4	-1.5	-1.5	-2.2	2.5	1.9
Real export growth, % yoy	-0.2	-1.7	11.8	4.0	3.5	7.6	4.3	8.2	4.0
Real import growth, % yoy	-2.0	-3.3	11.2	4.0	2.2	3.8	3.3	5.5	2.5
Net export contribution to growth	0.6	0.5	0.6	0.1	0.6	1.6	0.6	1.4	0.8
Unemployment, % of labour force	3.8	4.0	3.7	2.9	2.7	2.8	2.8	2.8	3.0
External (US\$bn)									
Current account	59.7	76.3	83.9	23.2	32.5	100.0	123.1	370.9	404.0
% of GDP	3.4	4.4	4.3	1.3	1.8	5.3	6.5	16.7	16.8
Trade balance	38.9	44.9	29.3	-47.8	-10.3	51.8	77.4	276.0	302.9
FDI, net	-25.6	-26.1	-43.9	-40.8	-13.1	-36.9	-25.4	-32.0	-29.6
External debt	470.7	550.6	630.7	673.3	677.3	677.8	770.2	818.4	870.9
Short-term debt	135.5	160.1	165.1	174.0	141.5	146.8	179.4	179.6	194.2
International reserves	408.8	443.1	463.1	423.2	420.1	415.6	428.1	465.1	505.5
Public Finances, % of GDP									
Consolidated government balance	-0.6	-3.5	-1.4	-2.8	-1.5	-1.7	-1.7	-1.6	-0.9
Consolidated gov primary balance	0.2	-2.6	-0.5	-1.9	-0.5	-0.6	-0.6	-0.5	0.4
Public debt	39.7	45.9	47.9	49.7	50.6	49.6	52.3	46.8	47.4
External public debt	5.3	6.4	7.8	8.5	9.2	9.4	11.2	9.3	9.3
Prices									
CPI, % yoy, eop	0.7	0.6	3.7	5.0	3.2	1.9	2.3	1.7	2.4
CPI, % yoy, avg	0.4	0.5	2.5	5.1	3.6	2.3	2.1	2.5	1.8
KRW/US\$, eop	1,155	1,086	1,189	1,262	1,295	1,478	1,441	1,439	1,413
KRW/US\$, avg	1,166	1,179	1,145	1,292	1,306	1,364	1,422	1,489	1,423
Policy Interest Rate, % eop	1.25	0.50	1.00	3.25	3.50	3.00	2.50	3.25	3.50
10-Year Treasury, %, eop	1.66	1.72	2.26	3.74	3.18	2.87	3.39	4.25	4.10
Nominal wages, % yoy	3.30	0.69	5.02	3.20	1.91	5.01	2.86	19.19	2.89
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	1.6	3.8	3.7	3.2	4.0	3.0	3.4	2.9	2.8
CPI, % yoy, avg	2.4	2.1	3.0	2.9	2.0	2.0	1.5	1.7	2.2
KRW/US\$, eop	1,441	1,507	1,533	1,447	1,439	1,432	1,425	1,419	1,413
Policy interest rate, %, eop	2.50	2.50	2.50	3.00	3.25	3.50	3.50	3.50	3.50

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Note: Public debt is central government debt and external debt is based on the residency of the debt holder (not by currency denomination). Positive net FDI refers to inflow of investment into an economy

Source: CEIC Data Company Ltd, Fitch, IFS, Moody's, Citi Research

Taiwan

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■ **Summary view** – Taiwan's AI-led boom is becoming more broad-based, with stronger domestic demand and traditional industries joining the expansion. Rising leverage reflects robust investment and equities funding needs. CBC is expected to keep policy rates unchanged in Sep despite temporarily higher inflation.

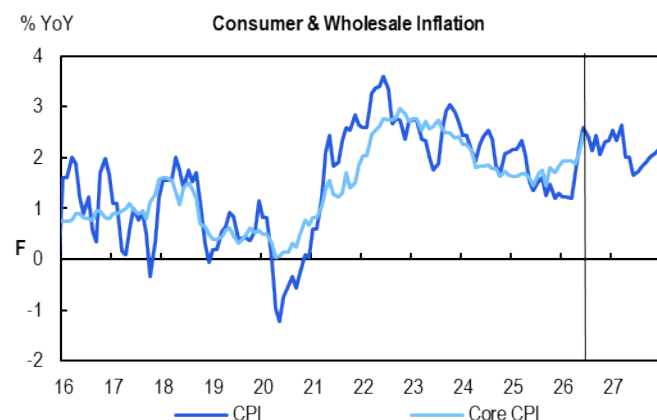
Lessening the worry of a K-shaped economy. We are encouraged that Taiwan's AI-driven expansion is becoming increasingly broad-based, helping ease concerns that growth is concentrated within a narrow group of tech firms. While net exports remain the key growth driver, improving private-sector activity suggests domestic demand is playing a larger role. Rising imports of non-semiconductor capital goods indicate that onshore investment is spreading beyond fab construction and into a wider range of industries. Strong equity market gains have likely generated positive wealth effects for households and businesses, supporting investment, consumption, and outbound travel. Over time, we expect these effects to spill over into the property market. Together, these developments point to a more balanced expansion and create upside risk to our 9.9% real GDP growth forecast for this year.

Traditional industries joining the growth upswing. As a global tech production hub, Taiwan's recent pickup in non-tech sectors is particularly encouraging. Our estimates show tech exports grew 55.7%yoy in 2Q, while non-tech exports accelerated to 13.5%yoy. Growth is becoming more broad-based, extending beyond core AI beneficiaries to optical products, precision instruments, machinery, and commodity-related exports. CBC has highlighted continued improvements in value-added production and R&D capabilities across traditional industries, including textiles, plastics, electrical equipment, and machinery. Importantly, AI-related demand is creating opportunities across a wider industrial ecosystem, supporting semiconductor equipment suppliers, specialty chemical producers, electrical equipment manufacturers, metalworking firms, and construction companies involved in AI infrastructure and fab development. Meanwhile, global EV expansion continues to support demand for metals, plastics, rubber products, and transport components, reinforcing a more diversified set of growth drivers.

Leveraging up. Strong loan growth (May: 9.1%yoy), M2 expansion (+8.4%yoy), and a notable rise in short-term funding costs, with the 30-day secondary-market CP rate increasing 34bps to 1.7% in 1H26, point to rising real activity and financial leverage across the economy. Regulators are monitoring mortgage top-ups, housing-backed loans, personal lending, and margin financing for signs of excessive debt accumulation. While some funding demand likely reflects equity financing activity and temporary tax payments, tighter liquidity conditions may have more structural drivers. Local tech firms appear to be relying increasingly on short-term borrowing to finance larger inventories amid expanding semi & AI production. Government-backed financing programs for supply-chain investments in the US are likely boosting credit demand, with the first phase financing up to US\$1.375bn.

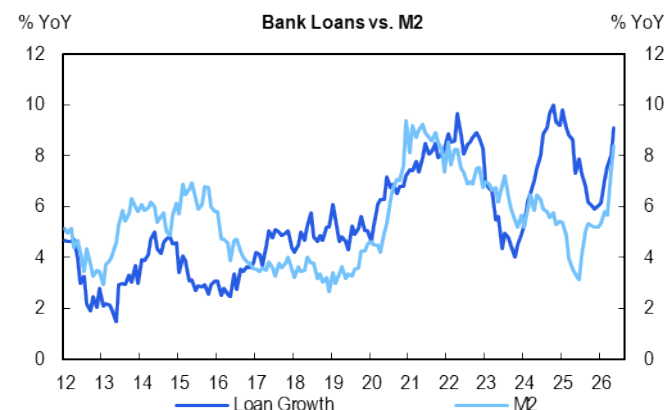
We expect CBC to maintain its policy rate at 2% in the Sep MPC meeting. Despite Jun headline and core CPI rising to 2.6%yoy and 2.5%yoy, respectively, we think CBC would consider energy pass-through and typhoon-related food price pressures as temporary and therefore be patient before monetary tightening. We expect CBC to keep rates unchanged in Sep and only begin a gradual tightening cycle after the Nov local elections, with 12.5bp hikes penciled in for Dec-26, Jun-27, and Dec-27. Meanwhile, FINI outflows remain the primary driver of recent TWD weakness, contributing to the US\$8bn decline in FX reserves to US\$597bn in June. Looking ahead, strong AI-related export performance should support a gradual appreciation of the TWD toward 31.5/USD over the next 6-12 months, although near-term movements will likely remain dominated by capital flows and broader USD strength.

Figure 56. Inflation passthrough from stronger economy likely to seep through the economy into 1H27E



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Source: CEIC, Citi Research

Figure 57. Funding activities pickup is driving up M2 growth



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Source: CEIC, Citi Research.

Figure 58. Taiwan Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	614	680	779	766	758	802	921	1,019	1,110
Population, mn	23.6	23.6	23.4	23.3	23.4	23.4	23.3	23.3	23.3
Real GDP, yoy avg	3.1	3.4	6.7	2.7	1.1	5.3	8.7	9.9	6.0
Private consumption growth % yoy	2.5	-2.4	-0.1	4.0	7.9	3.2	1.5	3.6	2.2
Real investment growth % yoy	7.3	8.2	18.8	3.4	-10.3	14.9	3.7	3.7	3.7
Real export growth, % yoy	0.0	-0.5	15.1	2.8	-4.1	8.7	31.8	25.5	13.2
Real import growth, % yoy	-0.2	-5.2	16.1	5.2	-5.5	11.6	26.8	23.4	11.4
Net export contribution to growth	0.1	2.2	1.6	-0.8	0.2	-0.2	6.4	6.4	6.4
Unemployment, % of labour force	3.7	3.9	4.0	3.7	3.5	3.4	3.3	3.3	3.3
External (US\$bn)									
Current account	65.7	97.6	116.9	101.4	105.8	112.7	181.1	220.3	244.8
% of GDP	10.7	14.3	15.0	13.2	14.0	14.1	19.7	21.6	22.1
Trade balance	43.5	59.0	64.4	51.3	80.8	80.6	156.4	180.3	160.0
FDI, net	-3.5	-5.4	-5.9	-4.2	-18.3	-20.9	-34.4	-17.0	-17.0
External debt	184.7	189.9	213.6	202.1	206.5	219.9	244.0	244.0	244.0
Short-term debt	174.7	175.3	197.4	186.8	191.2	200.8	222.2	222.2	222.2
International reserves	483.2	535.3	554.0	560.5	570.6	576.7	602.6	610.0	620.0
Public Finances, % of GDP									
Consolidated government balance	0.1	-1.0	-0.2	0.2	-0.6	0.4	0.1	-0.1	-0.1
Consolidated gov primary balance	0.8	-0.4	0.4	0.9	0.0	1.0	0.5	0.5	0.5
Public debt	32.6	32.0	30.1	29.5	29.0	26.8	24.0	21.5	20.0
External public debt	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Prices									
CPI, % yoy, eop	0.6	-0.2	2.0	2.9	2.5	2.2	1.7	2.3	2.2
CPI, % yoy, avg	1.2	0.0	2.6	2.7	2.7	2.1	1.3	2.0	2.1
TWD/US\$, eop	29.9	28.1	27.7	30.7	30.7	32.8	31.3	31.7	31.1
TWD/US\$, avg	30.9	29.5	27.9	29.8	31.2	32.1	31.2	31.9	31.3
Policy Interest Rate, % eop	1.375	1.125	1.125	1.750	1.875	2.000	2.000	2.125	2.375
10-Year Government Bond, % eop	0.68	0.32	0.72	1.39	1.30	1.60	1.34	1.70	1.80
Nominal wages, % yoy	2.36	0.88	3.03	3.49	1.20	4.43	3.90	3.00	3.00
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	13.0	14.5	10.2	8.8	6.8	5.2	6.7	5.6	6.7
CPI, % yoy, avg	1.3	1.2	2.2	2.3	2.2	2.5	1.9	1.8	2.1
TWD/US\$, eop	31.3	32.0	31.7	31.9	31.7	31.5	31.4	31.3	31.1
Policy interest rate, % eop	2.000	2.000	2.000	2.000	2.125	2.125	2.250	2.250	2.375

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Note: Public debt is central government debt and external debt is based on the residency of the holder of the debt (not by currency denomination). Positive net FDI refers to inflow of investment into an economy

Source: CEIC Data Company Ltd, Fitch, IFS, Moody's, Citi Research

Thailand

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■ **Summary view** – We raised our 2026 GDP forecast to 2.2% (from 1.8%) on subsiding headwinds, amidst support from the tech cycle and fiscal stimulus. We see BOT on hold, albeit with continued inflation vigilance.

We raised our 2026 GDP forecast to 2.2% (from 1.8%, 2027f: 1.7%) on subsiding headwinds from the energy shock, amidst some support from the tech cycle and fiscal stimulus. We now forecast 2Q GDP at 1.8% YoY, -0.2% QoQ SA, marginally weaker vs BOT's Jun MPC forecast of 1.9% YoY. We see growth rebounding to +3.1% YoY, 0.7% QoQ in 3Q26 on easing war related headwinds and continued fiscal stimulus, before normalizing to 1.1% YoY, 0% QoQ SA in 4Q26. Domestic demand (especially fixed investments) and services exports could drive growth, though the increased capital goods imports could imply larger net goods export drag.

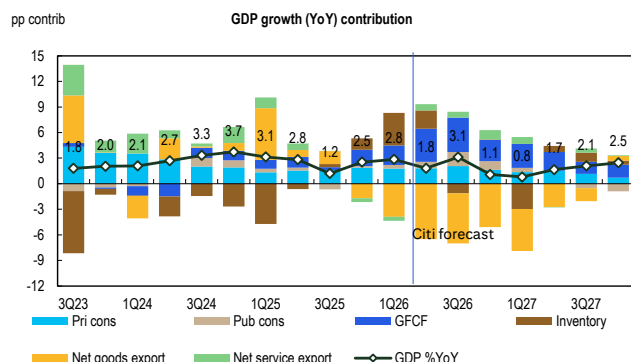
Easing of ME war related headwinds could further ease drags on tourism, with segments of manufacturing also seeing increased resilience a “production cliff” from input shortages. Tourist arrivals already rebounded in May, though Thailand will likely lag regional peers in the tourism recovery. The earlier scramble for oil imports that led to a record CA deficit in Apr-May have increased fuel stockpiles to >100 days of consumption, with diversified import sources lowering the share of UAE and Saudi Arabia to 27.4% in Mar-May 2026, vs 40.1% in 2025. As such PMI data till Jun pointing to stocks of input purchases were rebuilt, confining production stoppages from physical shortages to a few sectors

We still see support from electronics exports, but to a lesser degree than in 1H26 given moderating momentum. Thailand's electronics export mix is heavily tied to weaker end demand for PCs and telecom equipment. In any case, given the lower share of electronics in total exports and lower domestic VA in its export mix, growth is less leveraged to the tech export cycle than regional peers. **Nonetheless, the strong boom in data centre FDI has provided stronger source of leverage to the global AI cycle.** Notably, Thailand has the largest pipeline of data centre within ASEAN, consistent with the surging BOI investment approvals in the digital sectors, which should lift the fixed investment contribution to growth, but also keep capital goods imports strong, limiting any immediate improvement in the current account even if oil prices decline.

Earlier green shoots may have contributed to a pickup in employment growth and should provide some support for consumers, on top of the short-term boost from fiscal stimulus in Jun-Sep, with the Bt175bn from the co-payment scheme in these four months large vs the Bt390bn disbursed through similar schemes over two years during Covid. While the support from fiscal stimulus could be “paid back” from 4Q26, this should cushion against continued “oil tax” from consumers in 3Q26, as pump prices could stay relatively elevated amidst the need to repay the Oil Fuel Fund's Bt61bn deficit as at 19th Jul.

With the 8MFY26 fiscal deficit >114% of the full year target, the Bt400bn emergency loan decree extends fiscal support into FY27 via public investments, avoiding a negative fiscal impulse from the planned narrower FY27 budget deficit of 3.9% of GDP (FY26: 4.3%), but at the expense of fiscal space, with public debt now just under the 70% of GDP ceiling, though additional growth shocks could still see the debt ceiling raised. With headline inflation lower than expected and well within BOT's target even as growth remains low and uneven, we still see BOT on hold in our base case. Still, renewed rise in oil price, El Nino risks, rising ULC and stronger pass through of earlier cost pressures into core CPI will likely keep BOT vigilant against inflation risks.

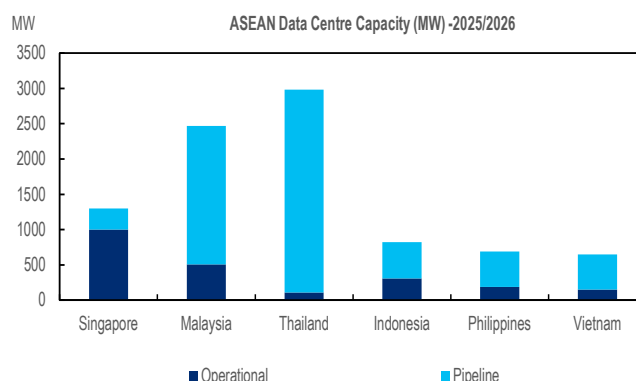
Figure 59. We raised our 2026 GDP forecast to 2.2% with fixed investments and service exports driving growth



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Source: BoT, Citi Research

Figure 60. Thailand has the largest pipeline of data-centre capacity within ASEAN, exceeding even Malaysia



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Source: MOF, CEIC, Citi Research

Figure 61. Thailand Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	544	500	506	496	517	530	577	597	610
Population, mn	69.1	69.3	69.5	69.6	69.8	69.9	70.0	70.1	70.2
Real GDP, yoy avg	2.1	-6.1	1.6	2.6	2.2	2.9	2.4	2.2	1.7
Private consumption growth % yoy	4.0	-0.8	0.6	6.3	6.7	4.4	2.7	3.0	2.0
Real investment growth % yoy	-3.2	-4.2	9.1	0.1	-7.4	-7.0	1.0	20.4	6.9
Real export growth, % yoy	-3.0	-20.0	11.1	6.4	2.7	7.5	9.3	11.0	5.1
Real import growth, % yoy	-5.2	-13.9	17.9	3.4	-2.5	5.7	6.8	18.1	7.3
Net export contribution to growth	1.4	-5.3	-3.7	1.9	3.6	1.5	2.2	-4.2	-1.6
Unemployment, % of labour force	1.0	1.7	1.9	1.3	1.0	1.0	0.8	1.0	1.0
External (US\$bn)									
Current account	38.3	20.7	-10.8	-17.0	8.5	11.6	17.8	10.5	15.0
% of GDP	7.0	4.1	-2.1	-3.4	1.6	2.2	3.1	1.8	2.5
Trade balance	26.7	40.4	31.9	13.5	19.2	21.4	23.9	18.5	21.2
FDI, net	-4.6	-22.7	-3.9	4.2	-3.4	6.9	5.0	2.0	-0.5
External debt	172.7	190.1	196.9	201.4	196.5	195.4	198.3	201.3	204.3
Short-term debt	59.8	74.8	75.4	81.2	81.2	86.5	75.3	76.5	77.6
International reserves	224.3	258.1	246.0	216.6	224.5	237.0	255.7	279.9	304.0
Public Finances, % of GDP									
Consolidated government balance	-3.0	-5.2	-4.7	-3.5	-3.3	-4.0	-4.8	-4.4	-3.7
Consolidated gov primary balance	-2.1	-4.2	-3.7	-2.4	-2.3	-2.9	-3.7	-3.2	-2.5
Public debt	41.1	49.4	58.4	60.5	62.2	62.9	66.6	67.6	68.6
External public debt	1.3	0.9	1.1	1.0	0.9	0.7	1.3	1.4	1.4
Prices									
CPI, % yoy, eop	0.9	-0.3	2.2	5.9	-0.8	1.2	-0.3	3.2	0.9
CPI, % yoy, avg	0.7	-0.8	1.2	6.1	1.2	0.4	-0.1	2.0	1.6
THB/US\$, eop	29.77	30.05	33.24	34.62	34.38	34.33	31.50	33.87	33.89
THB/US\$, avg	31.04	31.29	32.00	35.05	34.80	35.29	32.87	33.50	33.82
Policy Interest Rate, % eop	1.25	0.50	0.50	1.25	2.50	2.25	1.25	1.00	1.00
10-Year Government Bond, % eop	1.56	1.33	1.92	2.62	2.81	2.29	1.55	1.68	1.50
Nominal wages, % yoy	2.02	2.21	-	5.83	-0.19	0.50	1.00	2.00	2.00
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	2.5	2.8	1.8	3.1	1.1	0.8	1.7	2.1	2.5
CPI, % yoy, avg	0.0	-0.5	2.7	2.8	3.2	3.4	0.9	1.2	1.0
THB/US\$, eop	31.50	32.59	32.88	33.96	33.87	33.77	33.79	33.84	33.89
Policy interest rate, % eop	1.25	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00

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Note: Public debt is central government debt and external debt is based on the residency of the debt holder (not by currency denomination). Positive net FDI refers to inflow of investment into an economy

Source: CEIC Data Company Ltd, Fitch, IFS, Moody's, Citi Research

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Mongolia

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Inflation reacceleration. BoM expects Jul CPI to remain ~12%yoy, similar to Jun, before easing from Aug as seasonal increases in meat and vegetable supplies help moderate food prices. Provided there are no new supply shocks and external conditions improve, BoM sees inflation should gradually return to the target range (6%yoy +/-2ppt) in 2027. BoM MPC kept the policy rate unchanged at 12% in June; however, it is keeping a watch on global energy risks.

External sector conditions remain supportive, with continued reserve accumulation and a relatively stable exchange rate. FX reserves rose to US\$7.7bn in Jun26, supported by strong copper and gold export earnings. 1H26 trade surplus accumulated to US\$4.3bn (+306%yoy). While mild tugrik depreciation continued against USD (0.3%qoq in 2Q26), there are no signs that the central bank has been aggressively defending the currency. The main risks remain a sharp decline in coal or copper prices, disruption to Russian fuel supplies, or another major external shock. For now, robust commodity exports and stable fuel import costs are underpinning FX stability. Russia's temporary diesel export ban through end-July appears limited impact on Mongolia thus far, as fuel shipments under the bilateral intergovernmental supply agreement remain exempt. BoM and PBOC renewed the RMB15bn Bilateral Currency Swap Agreement for a further three-year period. Our calculation of used swap line is at 40% (~RMB6bn).

Active offshore financing continues. As Mongolia approaches a steep US\$1.8bn bond maturity schedule in 2027, policymakers will need to carefully manage refinancing needs amid a crowded funding calendar. In July, Bogd Bank further issued US\$25mn of its 9.5% three-year privately placed bond, increasing the total outstanding size to US\$100mn. DBM has signaled interest in returning to the USD bond market following its planned debut issuance in the domestic bond market later this year. Meanwhile, interest from supranational institutions in issuing MNT-denominated bonds and notes appears to be growing, providing an additional source of local-currency financing to support Mongolia's critical infrastructure investment needs and broader economic diversification objectives.

Figure 62. Mongolia Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Summary Data									
Nominal GDP, US\$ bn	14.0	13.1	15.3	15.8	20.5	23.7	25.2	29.6	35.5
GDP per capita, US\$	4,245	3,913	4,483	4,577	5,846	6,678	7,014	8,144	9,770
Population, mn	3.3	3.4	3.4	3.5	3.5	3.5	3.6	3.6	3.6
Real GDP, % yoy	5.5	-4.4	1.6	5.0	7.2	5.1	6.9	7.0	6.5
CPI, % yoy, eop	5.3	2.7	13.7	13.3	7.7	8.3	7.5	10.8	10.4
CPI, % yoy, avg	7.3	3.8	7.4	15.2	10.4	6.2	8.6	10.2	10.5
Policy interest rate, % eop	11.00	6.00	6.00	13.00	13.00	10.00	12.00	12.00	11.00
Long term yield, % eop	16.89	14.75	14.29	15.72	16.74	16.91	17.27	16.77	16.27
lc/US\$, eop	2,735	2,848	2,860	3,444	3,441	3,423	3,560	3,549	3,426
lc/US\$, avg	2,664	2,814	2,853	3,138	3,477	3,403	3,548	3,567	3,478
Current account (US\$ bn)	-2.2	-0.7	-2.1	-2.3	0.1	-2.5	-2.1	-1.5	-2.0
% of GDP	-15.4	-5.1	-13.8	-14.6	0.6	-10.5	-8.4	-5.0	-5.6
Trade balance (US\$ bn)	1.5	2.3	2.4	3.8	5.9	4.2	4.4	6.7	1.4
Exports (US\$ bn)	7.6	7.6	9.2	12.5	15.2	15.8	15.8	21.3	20.7
Imports (US\$ bn)	6.1	5.3	6.8	8.7	9.3	11.6	11.4	14.6	19.3
FDI, net (US\$ bn)	2.3	1.7	2.1	2.4	2.2	2.7	2.7	3.3	1.8
International reserves (US\$ bn)	4.3	4.5	4.4	3.4	4.9	5.5	7.0	8.0	7.8
Consolidated government balance (% of GDP)	-2.0	-11.9	-7.7	-1.9	1.1	-1.1	-1.4	-1.9	-2.0
Public debt (% of GDP)	66.8	83.4	67.7	64.5	45.9	44.5	46.0	48.4	51.3
External debt (% of GDP)	205.2	233.7	211.7	210.7	168.7	157.3	159.9	139.0	117.2

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Source: Citi Research Estimates, Positive net FDI refers to inflow of investment into an economy, CEIC Data Company Limited, IFS, IMF, Haver Analytics, Moody's

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Pakistan

We think SBP may now stand pat for now, but still wary of inflation pressures.

Three things lead us to this conclusion that restrains SBP hawkishness: First, the latest inflation print in June has surprised to the downside, with both headline and core inflation easing. A big factor has been transport and fuel prices, where more disinflation may be yet to come, as well as the protracted stability in the currency. However, we remain vigilant over renewed US-Iran conflict and food inflation risks from El Nino (food prices are still relatively well-behaved). Second, we think the tight fiscal stance unveiled in the FY27 Budget may support the view that monetary policy need not be overly restrictive; and third, Pakistan's external accounts proved far more resilient than we expected. The FY26 current account deficit ended up far lower than expected at only \$133mn, despite sharply higher energy prices, with GCC remittances remaining resilient, still up 7.3% YoY in March to June period.

However, Pakistan is bracing the effects of renewed Middle East tensions and effects of increasingly probable Super El Nino. The cost of Pakistan's spot LNG imports has reportedly surged amid ongoing disruptions to Qatari LNG supplies ([The Nation](#), 16 Jul) and we are still bracing for electricity tariff hike as power companies sought a Rs1.20 per unit fuel cost adjustment (~15% increase) for August, as well as delayed semi-annual gas tariffs adjustment as part of its IMF program. Authorities will likely remain vigilant of Super El Nino, and what this could do to food prices where relative vulnerability is high, amplified by low base effect, plus any potential output disruptions from floods/droughts.

We continue to monitor the execution of the FY27 Budget with an ambitious primary surplus consistent with 2% of GDP target. We see a target 18% growth in Federal revenues (vs ~11% growth in FY26) as challenging, and while the government has a track record of squeezing (development) spending to cap the deficit, room may be more limited now with both Federal and Provincial capex spending being cut 13% YoY from the original FY26 Budget, while accommodating a 16% increase in both interest and defense spending plus increased transfers.

Figure 63. Pakistan Economic Indicators

	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26F	FY27F
Summary Data									
Nominal GDP, US\$ bn	318.5	299.4	349.9	372.0	331.7	371.6	407.9	452.9	502.9
GDP per capita, US\$	1,437	1,324	1,518	1,582	1,383	1,520	1,635	1,779	1,936
Population, mn	221.6	226.1	230.6	235.1	239.8	244.4	249.5	254.6	259.8
Real GDP, % yoy	3.1	-0.9	5.8	6.2	-0.2	2.6	3.2	3.7	3.7
CPI, % yoy, eop	8.0	8.6	9.6	21.3	29.4	12.6	3.2	12.2	7.7
CPI, % yoy, avg	6.8	10.7	8.9	12.2	29.2	23.4	4.5	7.1	9.4
Policy interest rate, % eop	12.25	7.00	7.00	13.75	22.00	20.50	11.00	11.50	11.50
Long term yield, % eop	-	-	-	-	-	-	-	-	-
lc/US\$, eop	155.0	160.4	176.2	226.6	281.1	278.4	280.0	279.0	285.0
lc/US\$, avg	150.0	161.8	162.6	202.8	279.2	278.6	281.8	281.4	282.0
Current account (US\$ bn)	-13.4	-4.4	-2.8	-17.5	-3.3	-2.1	1.8	-0.1	-2.0
% of GDP	-4.2	-1.5	-0.8	-4.7	-1.0	-0.6	0.5	0.0	-0.4
Trade balance (US\$ bn)	-27.6	-21.1	-28.6	-39.1	-24.8	-22.2	-26.8	-38.8	-44.1
Exports (US\$ bn)	24.3	22.5	25.6	32.5	27.9	31.0	32.3	30.4	33.4
Imports (US\$ bn)	51.9	43.6	54.3	71.5	52.7	53.2	59.1	69.2	77.5
FDI, net (US\$ bn)	1.4	2.7	1.6	1.7	0.7	2.1	2.5	1.3	2.0
International reserves (US\$ bn)	7.3	12.1	17.3	9.8	4.4	9.4	14.5	17.7	21.0
Consolidated government balance (% of GDP)	-7.8	-7.0	-6.0	-7.8	-7.8	-6.8	-5.4	-3.0	-3.6
Public debt (% of GDP)	77.5	79.6	73.5	76.2	77.5	69.7	73.2	70.5	69.0
External debt (% of GDP)	33.4	37.7	34.9	35.0	38.0	35.3	33.3	30.6	28.6

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Source: CEIC Data Company Limited, IFS, IMF, Haver Analytics, Moody's, Citi Research Estimates, Note: Pakistan Fiscal year runs from July-June. Positive net FDI refers to inflow of investment into an economy

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Sri Lanka

Macros remain broadly stable despite disruptions: Real GDP grew by 5.1% in 1Q-2026, driven by high investment growth (25.7%). War-related disruptions may become more visible in 2Q-2026, alongside the impact of CBSL's front-loaded 100bps hike, we see 2026 real GP at 4.3%YY. Headline inflation has risen due to higher energy costs, but core inflation is more manageable (~4%) with minimal indication of second-round effects. We still expect average 2026 at ~5%, with Middle East and El Nino as key risks. Higher oil imports bill and lower tourism (down a 27%YY Mar-May) led to a \$195mln million current account deficit for Jan-May. However, if oil prices stabilize around the Citi base case (\$70-75/bbl), a full-year current account surplus (\$100mln) remains possible. While this suggests appreciation bias for LKR, renewed Mid-East tensions, general USD strength, and CBSL net FX purchases could act as dampeners. CBSL kept rates unchanged in July, and we see no further rates hikes, unless oil prices are at ~\$100/bbl.

Focus shifts to the post-IMF program: Investor focus will shift toward the impending sovereign rating upgrade and the outlook after the IMF EFF program ends in Apr-2027. These two factors will be critical for dollar bond issuance as IMF assumes \$1.5bn need in both 2027 & 2028. Ideally, the govt would prefer to exit all IMF programs to regain policy flexibility, but the lack of an IMF backstop could complicate sovereign dollar bond issuance. Our previous base case projected a one-notch sovereign rating upgrade in 2H-2026, but repeated global shocks have increased complications. An upgrade after the seventh EFF review in Oct-2026 remains possible, but rating agencies might prefer more clarity on the IMF program post Apr-2027. Consequently, our base case is that the govt might ultimately prefer some form of continued IMF support—such as a Stand-by arrangement (SBA), while aiming to negotiate more flexible targets under the new program. Typically lasting 12-24 months, an SBA would create a more favorable backdrop for bond issuance amid heightened global uncertainty and FX reserve pressure.

Figure 64. Sri Lanka Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Summary Data									
Nominal GDP, US\$ bn	89.0	84.4	88.5	73.7	83.9	99.7	108.8	111.9	117.4
GDP per capita, US\$	4,083	3,852	3,997	3,324	3,747	4,407	4,762	4,856	5,056
Real GDP, % yoy	-0.2	-4.6	4.2	-7.3	-2.0	5.0	5.0	4.3	4.5
CPI, % yoy, eop	4.8	4.2	12.1	54.5	4.0	-1.7	2.1	5.1	4.5
CPI, % yoy, avg	4.3	4.6	6.0	45.2	17.4	1.2	-0.5	5.0	5.0
Policy interest rate, % eop	8.00	5.50	6.00	15.50	10.00	8.00	7.75	8.75	7.50
Long term yield, % eop	10.07	7.55	11.71	26.18	13.10	11.27	10.70	11.60	11.00
lc/US\$, eop	181.4	185.3	202.9	367.5	323.9	293.1	309.6	328.0	340.0
lc/US\$, avg	178.7	185.4	198.5	308.7	326.9	301.7	300.8	323.4	334.0
Current account (US\$ bn)	-1.8	-1.2	-3.3	-1.4	1.4	1.2	1.7	0.1	-0.1
% of GDP	-2.1	-1.4	-3.7	-2.0	1.7	1.2	1.6	0.1	-0.1
Trade balance (US\$ bn)	-8.0	-6.0	-8.1	-5.2	-4.9	-6.1	-7.9	-10.1	--
Exports (US\$ bn)	11.9	10.0	12.5	13.1	11.9	12.8	13.6	14.5	--
Imports (US\$ bn)	19.9	16.1	20.6	18.3	16.8	18.8	21.5	24.6	--
FDI, net (US\$ bn)	0.7	0.4	0.6	0.9	0.7	0.6	0.9	0.9	--
International reserves (US\$ bn)	7.6	5.7	3.1	1.9	4.4	6.1	6.8	8.1	--
Consolidated government balance (% of GDP)	-9.0	-10.7	-11.7	-10.2	-8.3	-6.8	-2.3	-5.1	-3.7
Public debt (% of GDP)	88.3	105.0	112.0	123.8	115.3	103.7	101.1	100.1	96.9
External debt (% of GDP)	61.6	58.1	74.5	105.6	76.8	55.5	46.3	45.3	--

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Source: CEIC Data Company Limited, IFS, IMF, Haver Analytics, Moody's, Citi Research Estimates, Note: Positive net FDI refers to inflow of investment into an economy

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Vietnam

We raise our GDP growth forecast this month back to the 8% handle, from prev. the low 7%'s. VN's GDP growth in 2Q defied our expectation of a slow-down, instead accelerating to 8.4% YoY, from 7.9% in 1Q. Manufacturing production rebounded in the latter part of the quarter after slowing in April, led by both export-oriented and domestically-oriented industries. Even though electronics exports to the US slowed as expected, electronics components exports to China accelerated. This likely reflects VN's deepening integration into the global electronics supply chain. Meanwhile domestically, services sector growth slowed likely as a result of the rise in energy prices. Yet construction sector growth rose to >10% YoY, supported by the accelerated execution of public infrastructure and housing projects. These fundamental factors seem robust enough to cushion the economy if external shocks re-emerge, in our view. Separately fuel prices were cut 10% in June along with lower global oil prices. CPI inflation moderated to 4.7% in June (vs. prev. 5.6% in May) and we think peak headline inflation has probably passed. The core, however, could be stickier in light of robust domestic demand. The latter has also pushed-up import growth (even before the energy shock) and lowered VN's current account surplus to 2.2% of GDP in 1Q vs. 5.5% in 4Q25. That said, the increase in USDVND has been relatively mild vs. other net oil importing ASEAN economies. We attribute this to the tilting of private sector net external debt draw-downs to positive territory, which comes as VN-US interest differentials increase and FDI inflows remain stable. The pull-back in global gold prices may have also curbed domestic gold speculation and illegal imports.

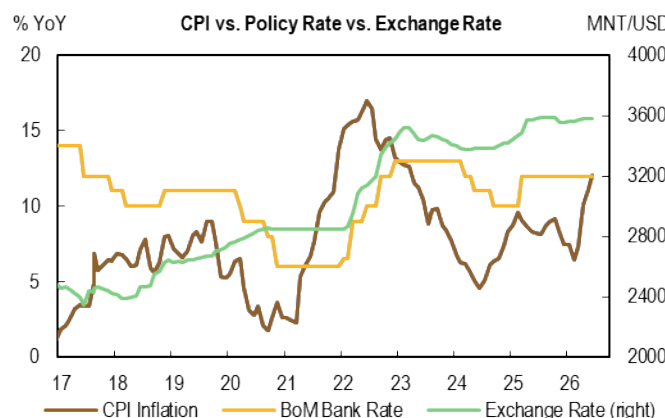
Figure 65. Vietnam Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Summary Data									
Nominal GDP, US\$ bn	331.8	346.4	370.7	411.6	432.1	457.5	490.5	548.7	597.5
GDP per capita, US\$	3,439	3,550	3,763	4,138	4,308	4,530	4,808	5,326	5,742
Population, mn	96.5	97.6	98.5	99.5	100.3	101.0	102.0	103.0	104.1
Real GDP, % yoy	7.4	2.9	2.6	8.5	5.0	7.0	8.0	8.1	7.2
CPI, % yoy, eop	5.2	0.2	1.8	4.5	3.6	2.9	3.5	4.9	4.0
CPI, % yoy, avg	2.8	3.2	1.8	3.2	3.3	3.6	3.3	4.8	3.3
Policy interest rate, % eop	6.00	4.00	4.00	6.00	4.50	4.50	4.50	4.50	4.50
Long term yield, % eop	4.40	2.07	1.90	4.80	2.27	2.70	3.75	4.75	5.00
lc/US\$, eop	23,173	23,080	22,855	23,635	24,270	25,485	26,300	26,534	27,065
lc/US\$, avg	23,227	23,236	22,936	23,391	23,831	25,050	26,003	26,373	26,800
Current account (US\$ bn)	12.5	15.1	-8.1	1.4	25.8	30.5	33.1	10.4	16.0
% of GDP	3.8	4.3	-2.2	0.3	6.0	6.7	6.8	1.9	2.7
Trade balance (US\$ bn)	21.2	30.7	15.7	29.4	44.0	43.4	34.6	21.0	12.0
Exports (US\$ bn)	264.2	282.6	336.2	371.7	354.7	406.5	472.7	525.5	537.1
Imports (US\$ bn)	243.0	251.9	320.5	342.3	310.7	363.1	438.2	504.5	525.1
FDI, net (US\$ bn)	15.7	15.4	15.3	15.2	20.1	19.7	21.3	17.0	16.0
International reserves (US\$ bn)	78.8	95.5	110.0	87.1	92.9	81.8	86.9	91.4	98.4
Consolidated government balance (% of GDP)	-3.3	-5.8	-4.1	-4.4	-4.3	-3.5	-3.3	-4.0	-4.0
Public debt (% of GDP)	41.0	41.3	39.2	34.9	34.3	31.3	32.0	31.8	31.5
External debt (% of GDP)	47.1	47.9	38.1	35.9	32.7	--	--	--	--

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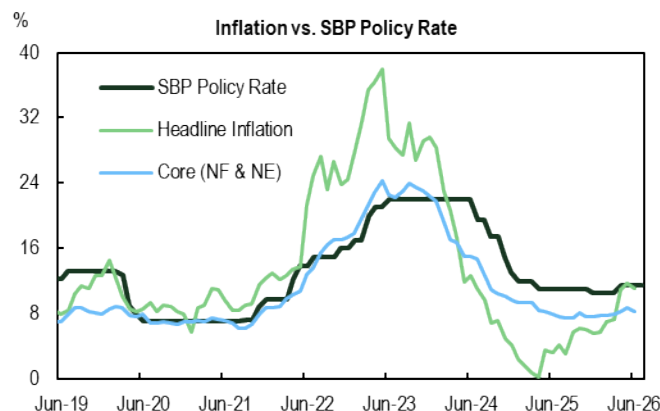
Source: CEIC Data Company Limited, IFS, IMF, Haver Analytics, Moody's, Citi Research Estimates, Positive net FDI refers to inflow of investment into an economy

Figure 66. Mongolia – Above target inflation near term would make it difficult for BoM to cut policy rate this year



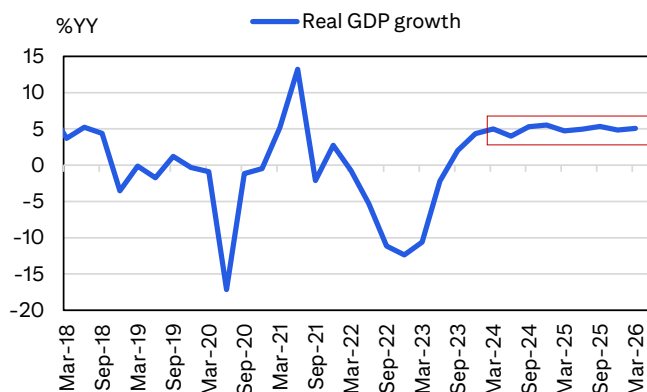
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Source: CEIC, Citi Research

Figure 68. Pakistan – SBP policy rate may now have peaked – we could see modest easing by 4QFY27 (Apr-Jun, '27)



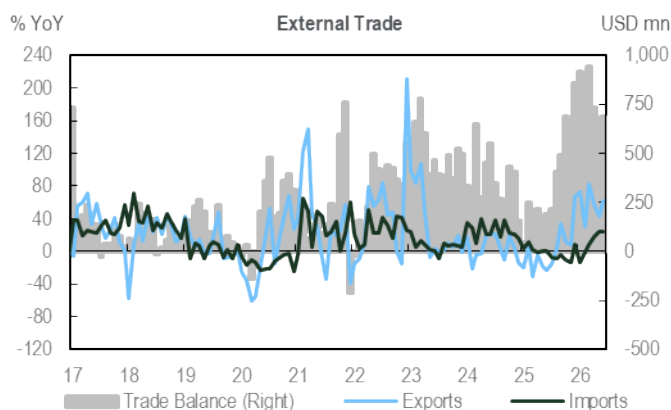
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Source: CEIC, SBP, Citi Research

Figure 70. Sri Lanka – Stable ~5% growth despite headwinds



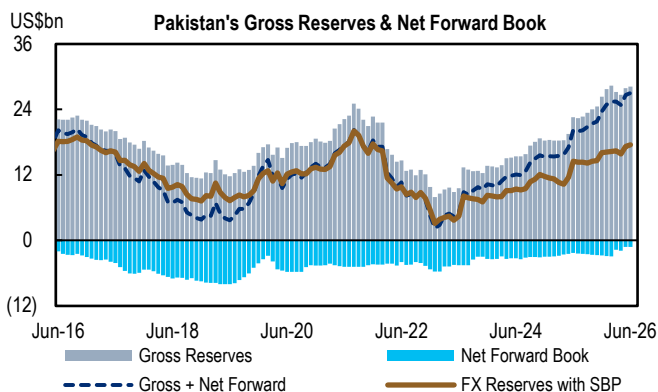
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Source: DCS, Citi Research

Figure 67. Mongolia – YTD trade surplus remains supportive to current account



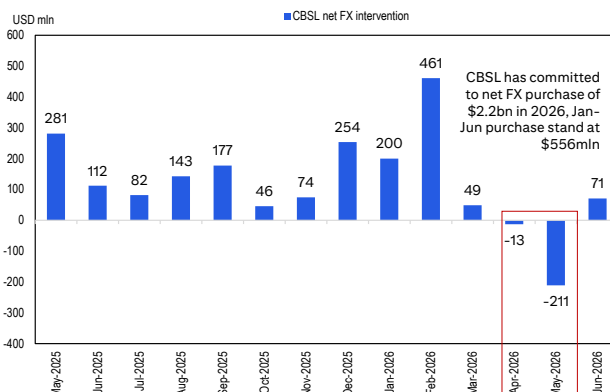
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Source: CEIC, Citi Research

Figure 69. Pakistan – Gross reserves continue to rebuild as external position improves



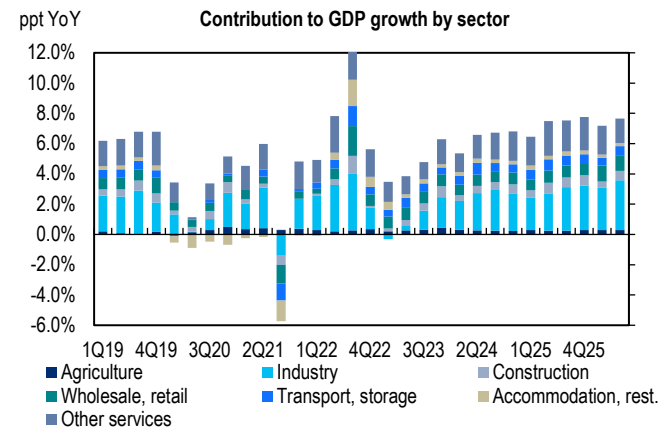
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Source: CEIC, Finance Ministry documents, Citi Research

Figure 71. Sri Lanka – CBSL to accelerate FX purchase in 2H26



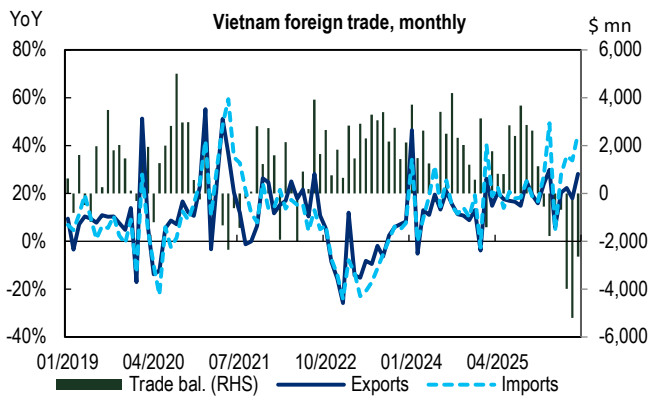
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Source: RBI, Citi Research

Figure 72. Vietnam – GDP growth surprisingly accelerated in 2Q26



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Source: Haver, Citi Research

Figure 73. Vietnam – Trade balance has tilted to deficit since Dec '25



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Source: CEIC, Citi Research

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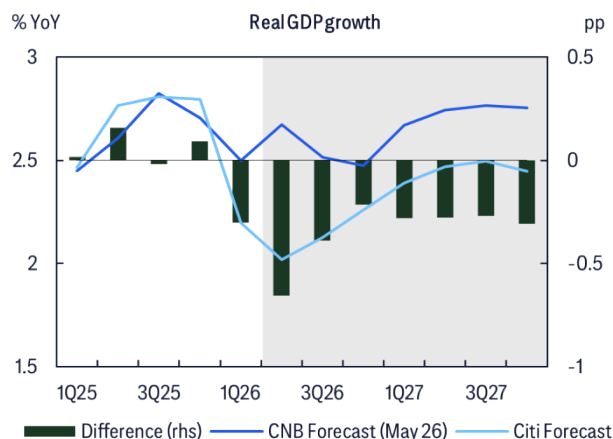
■ **Summary view** – Real economic activity continues to be supported by household consumption and investment, while weaker external demand is weighing on industry. The current low inflation largely reflects lower food and fuel prices, whose favorable impact is expected to fade gradually, according to our forecast. We expect the CNB to keep its policy rate unchanged at 3.75%, although risks stemming from energy prices, wage growth and credit dynamics remain tilted to the upside.

The Czech economy is entering the second half of 2026 with growth still running at a solid pace, although it is being driven primarily by domestic demand. Rising real wages, low unemployment and stronger credit growth are supporting household consumption, while firms continue to invest and construction activity remains resilient. The recovery in industry is less convincing: improving business surveys and new orders point to a gradual turnaround, but weakness in the automotive sector and uncertain external demand continue to prevent a more pronounced acceleration in production. Strong consumption and investment are also boosting imports, meaning that net exports are weighing on economic growth. This mix is consistent with [Citi's forecast](#) that full-year real GDP growth will slow to 2.2% in 2026. Domestic consumption and investment should prevent a more significant downturn, while weaker external demand, trade barriers and higher energy costs linked to the conflict in the Middle East will constrain growth. The expected acceleration to 2.5% in 2027, close to the economy's estimated potential growth rate, assumes a gradual improvement in the external environment and continued investment activity. However, a more prolonged energy shock or persistent weakness in European industry represent the main downside risks.

Annual headline inflation slowed sharply below the inflation target to 1.5% in June, while Czech HICP inflation, at 1.1%, was the second lowest in the EU. However, this largely reflected lower fuel and food prices, together with a continued decline in administered prices. By contrast, core inflation eased only marginally to 2.8% YoY. A more encouraging signal is the slowdown in short-term core inflation momentum, suggesting that these pressures are gradually moderating. Producer prices also send a mixed signal: falling agricultural and food producer prices continue to dampen consumer food inflation, while rising prices of intermediate goods, construction work and market services indicate that domestic cost pressures have not disappeared. According to our forecast, the disinflationary contribution from volatile components should gradually fade in the second half of the year. This will be partly reinforced by the termination of extraordinary fuel-price regulation and the diesel tax concession on 20 July, which will strengthen the pass-through from global oil prices to domestic fuel prices. Together with renewed increases in energy prices, a weaker domestic harvest and the fading impact of exceptionally low food prices, this should lead headline inflation to reaccelerate in the second half of 2026. We forecast average inflation will be at 2.1% in 2026, rising to 2.5% in 2027, while underlying inflation pressures are expected to ease only gradually.

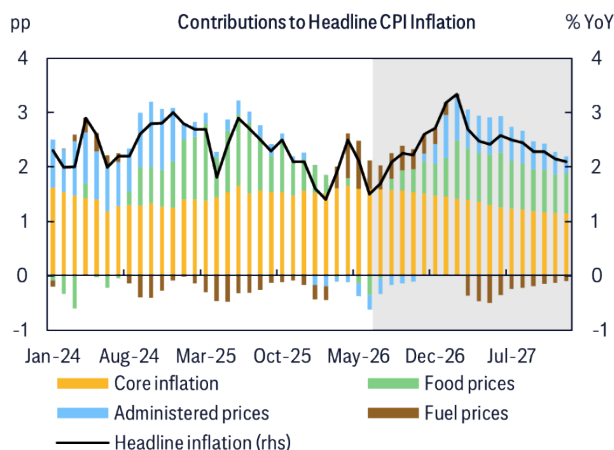
From a monetary policy perspective, we expect the CNB to keep its policy rate unchanged at the current level of 3.75%. In our view, the latest data reduce the urgency for further rate action. Although the sharp decline in headline inflation was driven by a short-term swing in volatile components, the June reading was significantly below the CNB's forecast, while core inflation momentum also declined markedly. Monetary conditions are now being tightened not only by the more restrictive policy-rate setting following June's first rate hike in four years, but also by the stronger CZK. The CNB Bank Board can therefore afford to wait and assess whether renewed increases in energy prices and the withdrawal of fuel-price support translate into broader price pressures and inflation expectations.

Figure 74. Following a slowdown in real GDP growth this year, we expect it to accelerate to 2.5% YoY thereafter



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Source: Citi Research Forecasts, CNB, CZSO

Figure 75. According to our forecast, headline inflation is set to reaccelerate following its current sharp slowdown



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Source: Citi Research, CNB, CZSO

Figure 76. Czech Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	257	251	291	302	345	347	390	413	444
Population, mn	10.7	10.7	10.5	10.8	10.9	10.9	10.9	10.9	10.9
Real GDP, yoy avg	3.5	-5.3	4.0	2.9	0.2	1.1	2.7	2.2	2.5
Private consumption growth % yoy	3.0	-6.6	4.1	0.4	-2.7	2.2	3.0	2.7	2.8
Real investment growth % yoy	5.6	-9.2	18.4	10.2	-6.0	-4.4	4.3	4.0	2.6
Real export growth, % yoy	1.1	-9.2	8.6	5.1	2.8	1.1	3.9	3.5	4.8
Real import growth, % yoy	1.1	-8.8	13.9	6.0	-0.9	0.2	5.0	4.5	4.9
Net export contribution to growth	0.1	-0.6	-2.8	-0.3	2.5	0.8	-0.6	-0.5	0.1
Unemployment, % of labour force	2.0	2.6	2.8	2.4	2.6	2.8	3.0	2.8	2.6
External (US\$bn)									
Current account	0.9	4.5	-6.0	-13.6	-0.4	6.1	2.8	-1.0	0.8
% of GDP	0.4	1.8	-2.0	-4.5	-0.1	1.7	0.7	-0.2	0.2
Trade balance	10.5	12.2	5.1	-0.9	13.0	18.0	23.3	28.1	23.0
FDI, net	6.0	6.4	1.3	3.5	3.4	1.9	3.1	3.4	3.5
External debt	193.8	202.0	209.3	206.2	215.0	217.5	245.2	232.6	234.9
Short-term debt	111.3	112.0	123.1	113.9	107.5	108.2	121.9	115.7	116.8
International reserves	149.9	166.1	173.6	140.0	148.4	146.3	159.8	166.3	172.8
Public Finances, % of GDP									
Consolidated government balance	0.3	-5.6	-5.0	-3.1	-3.7	-2.0	-2.0	-2.7	-2.8
Consolidated gov primary balance	1.0	-4.9	-4.2	-2.0	-2.4	-0.7	-0.9	-1.0	-1.1
Public debt	29.6	36.9	40.7	42.5	42.2	43.3	44.3	45.3	46.2
External public debt	4.0	4.0	3.6	3.3	3.0	2.8	2.7	2.6	2.4
Prices									
CPI, %yoy, eop	3.2	2.3	6.6	15.8	6.9	3.0	2.1	2.7	2.1
CPI, %yoy, avg	2.8	3.2	3.8	15.1	10.7	2.4	2.5	2.1	2.5
CZK/EUR, eop	25.4	26.2	24.9	24.2	24.7	25.2	24.2	24.3	24.2
CZK/EUR, avg	25.7	26.5	25.6	24.6	24.0	25.1	24.7	24.3	24.2
Policy Interest Rate, % eop	2.00	0.25	3.75	7.00	6.75	4.00	3.50	3.75	3.75
Long-term yield, % eop	1.63	1.30	2.86	5.10	3.82	4.22	4.66	4.90	4.95
Nominal wages, % yoy	7.9	4.6	5.8	4.3	7.2	7.2	7.2	7.1	5.7
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	2.8	2.2	2.0	2.1	2.3	2.4	2.5	2.5	2.4
CPI, %yoy, avg	2.2	1.6	2.0	2.0	2.5	3.1	2.5	2.4	2.2
CZK/EUR, eop	24.17	24.55	24.27	24.22	24.25	24.29	24.27	24.23	24.19
Policy interest rate, % eop	3.50	3.50	3.75	3.75	3.75	3.75	3.75	3.75	3.75

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Egypt

- Egypt is on the periphery of the current conflict in the Middle East, which means that the economic fallout is contained.

February and March were challenging months for the Central Bank of Egypt (CBE).

First, the inflation prints in both months were very high. In addition, concerns about the conflict led to a significant sell-off of foreign portfolio investment (FPI) positions which drove a large adjustment in the Egyptian pound (EGP). These two developments in turn changed our thinking on the macroeconomic outlook.

- First, the very high inflation prints fundamentally increased our forecast path of inflation over the course of 2026 and we now think that this, and the global macroeconomic backdrop, means that the CBE is unlikely to make further cuts to Overnight Deposit Rate (ODR) this year, instead waiting until 2027 when it potentially can act much more aggressively.
- Second, the CBE responded to FPI outflows by allowing the Egyptian pound (EGP) to move to levels of US\$54:US\$1 during March. We think this clearly indicates a stronger commitment to a flexible exchange rate than historically.

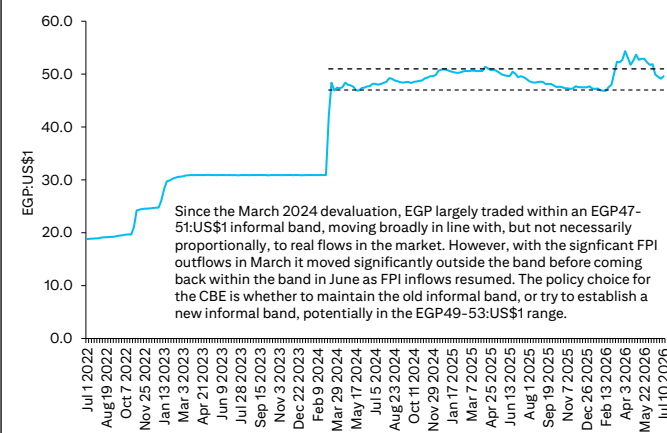
However, on a more positive note, the April to June inflation prints were much more subdued, while EGP has appreciated back to levels around EGP50:US\$1 on the back of new FPI inflows since June. What we now are looking to see is whether the CBE potentially seeks to re-anchor the exchange rate in a new informal band which could possibly range from EGP49–53:US\$1.

The conflict is also likely to reverse the narrowing of the current account deficit seen in 2025, in 2026. In this case, the main impact is through higher oil and gas imports, but at this point in time remittances, tourism arrivals and Suez Canal earnings all seem to be holding up well, while we are also seeing new FDI into the hydrocarbons sector. We also think the fiscal deficit will be marginally higher in 2026 than we had expected early this year even though the authorities quickly opted to raise the petrol price in March. However, it remains subsidized, while the slower rate of interest rate cuts has a fiscal cost, and revenue growth, although holding up well, is likely to be somewhat constrained.

What is less clear to us is whether the conflict changes the relationship with the IMF. We had expected that the current programme would not be renewed in October 2026, but the fallout from the conflict will highlight the need for ongoing economic reform and alternative sources of finance, such as from the planned privatization programme, which the authorities may feel is helped by remaining on a programme. The conflict may also influence the speed with which the private sector-driven GCC state supported land development projects move ahead, which in turn has an impact on the growth outlook.

Egypt has been through three clear growth cycles since 1980, with growth peaking in 1983, 1998 and 2008. It is now in the fourth, and although growth has bounced around in the 2020–23 period due to the Covid-19 pandemic, the fallout from the Russia-Ukraine war and economic policy indecisiveness, we still expect the current growth upswing appears to be resuming since 2025. To achieve this, however, it will be important that the government moves back on track with its reform efforts during 2024, under which the plan was to really push ahead with privatization to boost FDI and help finance the twin deficits. A bigger question, however, is whether a key element of the Egypt story going forward should also be export-led growth, which requires continuous exchange rate flexibility going forward? An important step in this direction was taken in the last month, which is a clear positive.

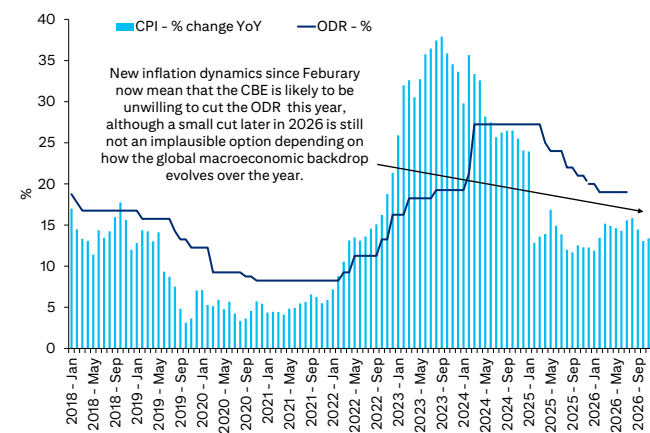
Figure 77. The CBE has allowed EGP to adjust to FPI outflows and inflows in 2026, a welcome move



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Source: Citi Research, Haver Analytics

Figure 78. Recent inflation prints mean we do not expect the CBE to ease monetary policy further in 2026



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Source: Citi Research, Haver Analytics

Figure 79. Egypt Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	393	446	505	487	417	375	407	473	534
Population, mn	105.6	107.5	109.5	111.6	113.7	115.8	117.8	119.8	121.9
Real GDP, yoy avg	5.6	1.4	7.2	4.2	2.9	3.1	5.1	5.0	6.1
Private consumption growth % yoy	3.9	8.7	6.7	0.8	5.8	2.2	0.7	4.1	5.2
Real investment growth % yoy	6.1	-28.3	26.2	2.7	-16.0	1.7	21.7	8.5	7.8
Real export growth, % yoy	-10.9	-35.5	32.4	45.4	8.5	7.3	10.6	5.3	6.4
Real import growth, % yoy	-12.1	-20.6	25.3	9.6	2.8	2.6	1.7	3.3	2.9
Net export contribution to growth	1.2	-1.0	-1.2	3.7	0.9	0.8	1.6	0.4	0.7
Unemployment, % of labour force	7.9	7.9	7.4	7.3	7.1	7.4	6.9	7.2	7.0
External (US\$bn)									
Current account	-10.2	-14.2	-18.6	-10.5	-12.6	-22.1	-13.9	-20.2	-20.4
% of GDP	-2.6	-3.2	-3.7	-2.2	-3.0	-5.9	-3.4	-4.3	-3.8
Trade balance	-37.5	-37.0	-44.6	-37.2	-34.3	-48.4	-55.3	-65.6	-65.3
FDI, net	8.6	5.5	4.8	11.1	9.5	46.1	14.8	15.2	15.7
External debt	112.7	129.2	145.5	162.9	168.2	152.3	148.5	161.0	176.0
Short-term debt	11.3	12.0	12.8	30.2	30.2	30.2	30.2	30.2	30.2
International reserves	45.4	40.1	40.9	34.0	35.2	44.9	48.9	49.9	50.7
Public Finances, % of GDP									
Consolidated government balance	-6.4	-6.5	-5.9	-4.8	-6.4	-6.2	-6.1	-5.5	-4.7
Consolidated gov primary balance	1.2	1.2	1.2	1.1	8.9	5.7	7.3	6.3	5.3
Public debt	72.6	72.3	74.0	74.0	75.5	74.5	74.7	66.3	61.5
External public debt	-	-	-	-	-	-	-	-	-
Prices									
CPI, %yoy, eop	7.0	5.4	5.9	21.3	33.6	24.1	12.3	13.5	6.8
CPI, %yoy, avg	9.2	5.1	5.2	13.9	33.9	28.3	14.1	14.2	7.7
EGP/US\$, eop	16.05	15.74	15.71	24.76	30.90	50.84	47.70	50.40	51.25
EGP/US\$, avg	16.80	15.81	15.70	18.85	30.66	44.02	49.23	50.52	50.90
Policy Interest Rate, % eop	12.25	8.25	8.25	16.25	19.25	27.25	20.00	19.00	11.00
Long-term yield, %, eop	14.02	14.03	14.09	18.33	25.41	24.71	20.80	20.85	20.00
Nominal wages, % yoy	16.21	-28.68	8.00	-15.00	-8.00	3.00	5.10	7.20	5.20
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	5.4	5.0	4.5	5.1	5.2	5.8	6.1	6.4	5.9
CPI, %yoy, avg	12.4	13.5	14.6	15.3	13.3	10.6	6.9	6.9	6.7
EGP/US\$, eop	47.70	54.53	49.72	-	-	-	-	-	-
Policy interest rate, %, eop	20.00	19.00	19.00	19.00	19.00	17.00	15.00	11.00	11.00

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Source: Citi Research, National Sources

Hungary

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■ **Summary view** – Hungarian economy is on a path to recovery, and recent EU fund breakthroughs will further strengthen the outlook for 2027. A more favorable inflation trend, lower oil prices, food price surprises, and a stronger HUF are paving the way for faster monetary easing.

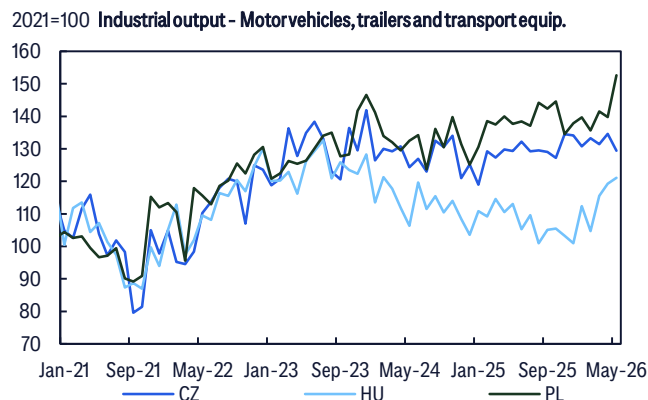
High frequency data published in July reinforces our view the economy is on a path to recovery. Industrial output rose by 5.4% YoY in May and it was the third consecutive month with year-on-year increases, a welcome change after two years of contraction. Despite unfavourable trends in the European manufacturing and strengthening of the HUF, the improvement was visible in particular in the production of motor vehicles and computers. Simultaneously, retail sales continued to grow at a robust pace, confirming that the private consumption is likely to be an important growth driver this year. We expect GDP to expand by around 2% in full 2026 and believe the growth will accelerate more significantly in 2027, when the impact of EU fund inflows will become more visible.

In the coming weeks the government is expected to present details of fiscal measures that will be taken to curb the 2026 deficit. According to Finance Minister Andras Karman ([investing.com](https://www.investing.com), 8th July), without additional measures the deficit could reach 8.3% of GDP, versus the previous government's official target of 5% (already revised up from 3.7%). The real focus will be, however, on the 2027 Budget Draft that will be presented only in 4Q26 as the document may serve as the first real test of euro adoption feasibility. Currently Hungary doesn't meet any of convergence criteria, and among those criteria the [fiscal adjustment seems the biggest challenge](#). We believe that to keep the 2030 target for meeting Maastricht criteria realistic, the government would need to demonstrate at least 1% of GDP reduction in the fiscal deficit in 2027 versus 2026. Regarding ERM II entry, we expect authorities to consider this step only when confident that other convergence criteria will be met. Hungary is required to spend at least two years in ERM II. Factoring in assessment time, the country would likely need to enter the mechanism at least 2.5, and possibly more, years before euro adoption.

In June the headline inflation reached 1.7% YoY and thus ran below the lower end of the 2–4% inflation target band. The data shows that apart from the disinflationary impact of food prices, also the core inflation remained under control. Despite the rise in fuel prices as a result of the renewed US-Iran war, the past currency appreciation means the core disinflation can continue. We expect the incumbent government to use this opportunity to remove some of price-controlling measures adopted by the previous cabinet. Even despite this assumption, our forecast shows the inflation staying relatively low, within the central bank's target.

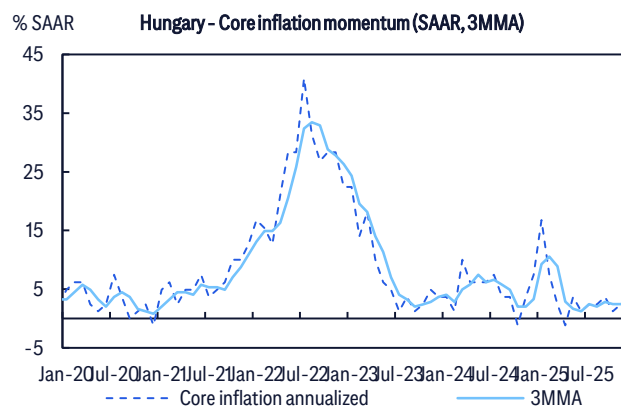
While in many economies the surge in oil prices has triggered or boosted expectations of rate hikes, the Hungarian central bank still has space to ease monetary policy. The current level of the policy rate is high, both when compared to other countries in the region and when compared to the current and expected inflation rate. Taking this into account we expect the NBH to continue with rate cuts, gradually lowering the policy rate towards 4.75%, the level we perceive as a broadly consistent with the neutral rate for the Hungarian economy.

Figure 80. The rise in motor vehicle production is one of factors standing behind manufacturing output recovery



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Source: Citi Research, Eurostat

Figure 81. Core inflation momentum remains low



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Source: Citi Research Estimates, Haver Analytics

Figure 82. Hungary Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	165	159	183	177	213	223	265	299	323
Population, mn	9.8	9.7	9.7	9.7	9.7	9.7	9.6	9.6	9.6
Real GDP, yoy avg	5.1	-4.3	7.2	4.2	-0.8	0.7	0.5	2.2	3.4
Private consumption growth % yoy	5.2	0.2	5.2	6.6	-2.2	7.3	3.1	4.4	2.7
Real investment growth % yoy	12.2	-7.7	13.1	1.6	-15.7	-11.4	0.5	8.9	5.2
Real export growth, % yoy	5.5	-6.1	8.2	10.7	1.8	-0.5	-1.1	-0.3	4.4
Real import growth, % yoy	8.2	-3.6	7.7	10.8	-3.4	-1.4	1.2	4.4	4.2
Net export contribution to growth	-1.7	-2.2	0.5	0.1	4.3	0.7	-1.9	-3.7	0.2
Unemployment, % of labour force	3.3	4.2	4.1	3.7	4.1	4.4	4.4	4.3	4.1
External (US\$bn)									
Current account	-1.0	-1.7	-8.0	-15.8	0.0	4.1	4.3	0.1	5.1
% of GDP	-0.6	-1.1	-4.4	-9.0	0.0	1.8	1.6	0.0	1.6
Trade balance	-4.3	-2.1	-6.0	-16.6	-1.2	-1.1	-2.1	-5.3	-1.2
FDI, net	0.8	2.4	4.0	4.7	0.6	0.0	1.2	1.1	2.3
External debt	107.5	112.1	133.7	155.3	169.9	176.7	192.8	193.2	195.7
Short-term debt	12.9	17.4	25.5	30.4	28.2	28.1	32.0	27.7	28.2
International reserves	31.3	40.9	40.4	38.4	39.5	38.0	49.3	-	-
Public Finances, % of GDP									
Consolidated government balance	-2.0	-7.5	-7.1	-6.2	-7.0	-5.1	-4.7	-7.0	-5.6
Consolidated gov primary balance	0.3	-5.1	-4.7	-3.4	-2.3	-0.2	-0.9	-3.3	-2.1
Public debt	65.0	78.7	76.2	74.1	73.3	73.5	74.6	73.2	73.4
External public debt	14.7	18.5	18.0	18.6	18.4	18.4	18.7	18.4	18.4
Prices									
CPI, %yoy, eop	4.1	2.8	7.4	25.0	5.5	4.8	3.3	2.4	3.1
CPI, %yoy, avg	3.4	3.4	5.2	15.3	17.0	3.7	4.4	2.0	3.0
HUF/EUR, eop	331	363	369	400	383	412	384	357	352
HUF/EUR, avg	325	351	359	391	382	395	398	364	354
Policy Interest Rate, % eop	0.90	0.60	2.40	13.00	10.75	6.50	6.50	5.00	4.75
Long-term yield, %, eop	2.01	2.08	4.51	8.98	5.86	6.55	6.79	5.10	4.90
Nominal wages, % yoy	11.8	9.1	8.6	17.6	14.1	13.1	9.0	10.4	7.0
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	0.8	1.7	1.8	2.2	2.9	3.1	3.3	3.6	3.6
CPI, %yoy, avg	3.8	1.8	1.9	1.9	2.4	2.7	3.2	3.1	3.2
HUF/EUR, eop	384	384	356	359	357	355	354	353	352
Policy interest rate, %, eop	6.50	6.25	6.00	5.25	5.00	4.75	4.75	4.75	4.75

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Israel

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■ **Summary view** – Despite being at the core of the conflict, Israel's economy seems to weather the shock reasonably well.

We assume growth of 3.3% in 2026, accelerating to 4.7% next year. Assuming, at the time of writing, that the conflict with Iran will not result in further large-scale disruption in Israel and that the scale of operations in Lebanon will be wound down, economic activity should continue to recover.

Inflation should remain in the lower half of the target range for the foreseeable future; we forecast 1.7% on average this year and 1.8% in 2027. Even though off peak appreciation for now, the strong shekel has helped produce a string of downside surprises to inflation. It's not that upside risks to inflation have entirely vanished; labour markets are still tight and the composition of the most recent inflation print serves as a reminder of the inflation potential from housing costs. In the coming months, however, the impact of the strong currency should outweigh most other dynamics for some time to come

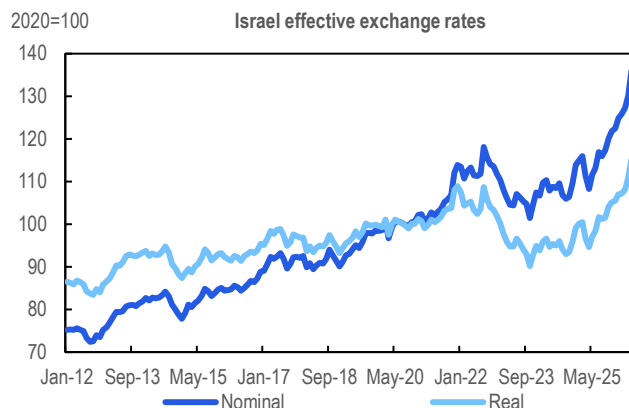
The Bank of Israel has resumed rate cuts and we assume more will follow.

Inflation is already below the mid-point of the target range and we expect it could further decline in the coming months, undershooting the target range, which is not our baseline scenario, but could be possible. Yet we think risks to economic activity from the significant currency appreciation are more important factors in BOI prioritizes the risks of currency appreciation to economic activity because of exports. Rate cuts can only do so much to address this dynamic and the BOI has already resumed fx purchases in May and June, albeit on a small scale. However, there is little reason to leave policy rates in arguably restrictive territory when inflation is in the lower half of the target range and risks undershooting it, and concerns about currency strength are piling up.

We expect two further rate reductions of 25bp each. In principle, a cut at the next meeting, the third consecutive one, is plausible, though we think the BOI will decide how to proceed based on the constellation of energy prices, the exchange rate and the persistence of domestic inflation at the time. Cuts below 3% are certainly also plausible, but we think the BOI will be cautious in moving into outright supportive territory; domestic inflation momentum remains robust and fuelling it only to offset it with lower imported inflation is not an ideal outcome either, particularly as some items in the non-tradable basket such as housing costs are already among the top concerns for many households.

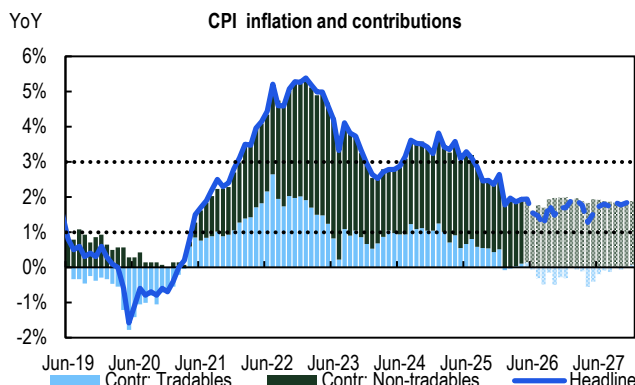
The deficit should be wider this year than anticipated, but we still see debt eventually on a declining trajectory. We pencil in a deficit of 5.5% of GDP for this year. With military operations now looking likely to be wound down or at least scaled back, risks are skewed towards a lower number, especially as Israel as revenue growth continues surprising to the upside. We also think the deficit's eventual size is of secondary importance for as long as markets (and rating agencies) remain of the view that the medium-term prospect is for the deficit to be around or below debt-stabilising level. The latter remains our base case, although confidence in that outlook is diminishing with the lack of resolution in medium-term geopolitical risk. Elections later this year further complicate the outlook, as the budget priorities of the next government could be the same or quite different than those of current policymakers.

Figure 83. The shekel has appreciated considerably



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Source: Citi Research

Figure 84. Inflation outlook is accordingly lower



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Source: Citi Research

Figure 85. Israel Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	399	411	490	525	511	542	617	697	758
Population, mn	9.1	9.2	9.4	9.6	9.8	9.9	10.1	10.3	10.5
Real GDP, yoy avg	3.6	-1.8	9.3	6.4	2.1	1.0	2.9	3.3	4.7
Private consumption growth % yoy	3.9	-7.3	11.1	7.3	-0.6	3.9	2.7	1.9	4.7
Real investment growth % yoy	3.5	-2.5	13.6	11.1	-2.1	-5.5	8.3	6.0	6.9
Real export growth, % yoy	3.1	-3.9	15.2	9.4	-1.1	-4.7	5.5	7.8	5.9
Real import growth, % yoy	3.2	-7.6	19.6	11.7	-7.4	-0.7	8.2	6.9	4.5
Net export contribution to growth	0.0	0.9	-0.6	-0.4	1.7	-1.2	-0.5	0.4	0.5
Unemployment, % of labour force	3.8	4.3	5.0	3.8	3.4	3.0	3.2	3.3	3.3
External (US\$bn)									
Current account	11.9	15.6	15.1	14.4	16.1	15.8	8.7	14.5	16.4
% of GDP	3.0	3.8	3.1	2.7	3.1	2.9	1.4	2.1	2.2
Trade balance	-15.3	-11.8	-21.9	-26.5	-20.6	-26.3	-28.6	-29.0	-30.1
FDI, net	8.7	16.4	8.6	11.9	8.5	4.9	14.0	13.0	11.0
External debt	103.2	129.9	160.3	155.2	144.5	147.3	167.5	189.2	205.9
Short-term debt	43.3	47.1	68.9	67.9	67.0	69.0	71.0	71.0	71.0
International reserves	126.0	173.3	213.0	194.2	204.7	214.6	231.0	243.8	256.5
Public Finances, % of GDP									
Consolidated government balance	-3.6	-11.3	-4.3	0.6	-4.1	-6.8	-4.8	-5.5	-4.4
Consolidated gov primary balance	-1.0	-8.6	-1.7	3.0	-1.9	-4.7	-2.7	-3.3	-2.0
Public debt	59.0	71.2	67.5	59.9	60.3	64.6	65.3	65.7	65.3
External public debt	7.9	11.4	12.6	10.9	11.6	12.4	12.9	12.6	12.4
Prices									
CPI, %yoy, eop	0.6	-0.7	2.8	5.3	3.0	3.2	2.6	1.7	1.9
CPI, %yoy, avg	0.8	-0.6	1.5	4.4	4.2	3.1	3.0	1.7	1.8
ILS/US\$, eop	3.45	3.21	3.11	3.52	3.61	3.64	3.18	2.90	2.84
ILS/US\$, avg	3.56	3.44	3.23	3.36	3.69	3.70	3.45	2.98	2.87
Policy Interest Rate, % eop	0.25	0.10	0.10	3.25	4.75	4.50	4.25	3.00	3.00
Long-term yield, % eop	0.84	0.77	1.01	3.59	3.98	4.48	3.91	3.73	3.73
Nominal wages, % yoy	2.9	6.9	2.2	2.8	6.1	5.8	3.0	3.3	3.0
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	3.3	1.7	4.4	3.4	3.8	5.7	5.0	4.2	4.2
CPI, %yoy, avg	2.5	1.9	1.8	1.5	1.6	1.9	1.5	1.8	1.8
ILS/US\$, eop	3.18	3.14	3.00	2.90	2.90	2.90	2.88	2.86	2.84
Policy interest rate, % eop	4.25	4.00	3.75	3.25	3.00	3.00	3.00	3.00	3.00

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Kazakhstan

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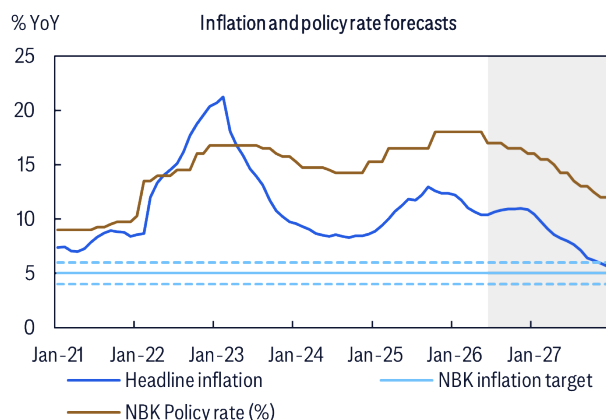
■ **Summary view** – Kazakhstan's economy is increasingly relying on construction, manufacturing and investment, while problems in the oil sector are likely to drive a gradual slowdown in growth. Inflation will ease only slowly, as strong domestic demand and deteriorating expectations continue to keep price pressures elevated. The NBK is therefore likely to remain cautious in cutting rates; we expect the policy rate to fall to 16% by end-2026 and to 12% only by end-2027.

Kazakhstan's economic growth remains solid, although its drivers are gradually shifting from the oil sector towards the domestic economy. Strong momentum is visible in construction, manufacturing and investment activity. June data reinforced this trend, with industrial production driven mainly by machinery and food processing, while the extractive sector continued to lag. The oil sector has become the main source of uncertainty. Production at Karachaganak remains constrained by damage to the Russian plant that processes its gas, while attacks on tankers temporarily disrupted loading at the CPC terminal, which handles most of Kazakhstan's oil exports. If these disruptions persist, production cuts could also become necessary at Tengiz and Kashagan, as alternative export routes currently lack sufficient capacity to offset the loss of the main corridor. The resilience of the non-oil economy and state-supported investment should continue to stabilise activity, but weaker oil production and more moderate consumer demand are likely to become increasingly dominant. We forecast real GDP growth to slow to 4.6% in 2026 and further to 4.0% in 2027.

Although Kazakhstan's headline inflation is gradually easing, its marginal decline to 10.3% YoY in June does not yet signal a convincing moderation in price pressures. Lower prices for some food items are helping to contain the headline index, but households continue to face pronounced increases in the prices of meat, fuel and a broad range of services. Short-term inflation momentum also remains elevated, while household inflation expectations have deteriorated again. Beyond supply-side shocks, price pressures are being reinforced by strong credit growth, domestic demand and the gradual pass-through of higher costs to consumer prices. These pressures are partly offset by the stronger tenge, high interest rates and the postponement of planned electricity tariff increases. However, the government's efforts to contain staple food prices through price caps and preferential tariffs are more likely to postpone inflation or shift it to other parts of the consumer basket than to address its underlying causes. Further risks stem from tight regional fuel markets, higher input costs from Russia, future adjustments to regulated prices and a potential weakening of the tenge following the relaxation of mandatory FX sales by quasi-sovereign entities. Citi therefore expects average inflation to remain around 11% in 2026. It should decline to 7.7% in 2027 as restrictive monetary policy cools demand and base effects become more favourable, although the return to the NBK's 5% target is likely to be slower and less straightforward than the recent decline in headline inflation might suggest.

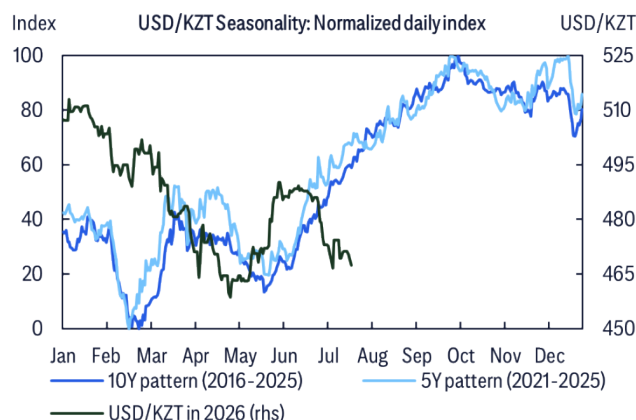
In our view, the NBK's sizeable 100bp policy rate cut in June, from 18% to 17%, does not mark the beginning of a rapid easing cycle. Although the move responded to the earlier decline in inflation and the appreciation of the tenge, inflation expectations have since deteriorated and risks associated with fuel prices and geopolitics have increased. [Governor Suleimenov's recent comments](#) reinforce our view, as he emphasised that the NBK is in no hurry to lower rates further. We expect the policy rate to decline to 16% by end-2026 and subsequently to 12% by end-2027. Risks are tilted towards a slower easing path: a prolonged disruption to oil exports would simultaneously weaken growth, public finances and the tenge, while stronger fiscal stimulus and unanchored inflation expectations would keep price pressures elevated for longer. Monetary conditions are therefore likely to remain firmly restrictive for an extended period.

Figure 86. Elevated headline inflation is likely to decline only gradually, as is the NBK policy rate



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Figure 87. Long-term seasonal patterns point to a weakening of the KZT over the remainder of this year



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Source: Citi Research Forecasts, Bloomberg

Figure 88. Kazakhstan Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	176	169	193	225	260	284	290	347	356
Population, mn	18.5	18.8	19.0	19.6	19.9	20.2	20.4	20.6	20.8
Real GDP, yoy avg	4.5	-2.5	4.0	3.2	5.1	4.9	6.5	4.6	4.0
Private consumption growth % yoy	6.1	-3.7	6.3	4.0	7.6	9.6	5.9	5.1	4.5
Real investment growth % yoy	12.2	-1.0	1.5	2.1	16.4	5.4	5.4	5.0	4.7
Real export growth, % yoy	2.0	-11.3	2.3	9.6	1.8	0.0	5.5	8.9	5.3
Real import growth, % yoy	14.9	-9.0	-0.3	13.1	15.6	5.8	5.0	6.5	5.9
Net export contribution to growth	-4.7	-0.2	0.8	-1.8	-5.5	-2.5	-0.5	0.0	-0.9
Unemployment, % of labour force	4.8	4.9	4.9	4.9	4.7	4.7	4.6	4.6	4.6
External (US\$bn)									
Current account	-7.0	-11.1	-2.7	6.4	-8.3	-6.8	-11.3	-6.2	-9.0
% of GDP	-4.0	-6.6	-1.4	2.9	-3.2	-2.4	-3.9	-1.8	-2.5
Trade balance	18.4	6.0	24.2	35.0	20.2	17.5	11.9	18.7	16.0
FDI, net	5.9	5.9	1.9	7.9	2.6	3.9	5.0	6.0	6.5
External debt	59.2	61.4	67.9	67.5	70.7	73.5	76.5	79.5	82.5
Short-term debt	8.8	9.5	12.0	16.3	19.4	19.5	19.5	19.5	19.5
International reserves	28.2	34.8	32.1	32.9	33.7	43.6	36.7	30.8	25.2
Public Finances, % of GDP									
Central government balance	-1.3	-2.5	-2.8	-1.8	-2.1	-2.6	-2.6	-1.6	-1.6
Central gov primary balance	-0.3	-1.4	-1.6	-0.5	-0.6	-1.0	-0.8	0.0	0.0
Public debt	19.0	23.9	22.8	21.3	21.0	22.6	22.6	21.5	21.0
External public debt	8.6	9.9	9.0	7.6	6.0	6.2	6.3	6.0	5.9
Prices									
CPI, %yoy, eop	5.4	7.5	8.4	20.3	9.8	8.6	12.3	10.9	5.7
CPI, %yoy, avg	5.2	6.8	8.0	14.9	14.8	8.7	11.4	11.0	7.7
KZT/US\$, eop	383	421	435	463	455	525	507	523	558
KZT/US\$, avg	383	413	427	460	456	468	521	500	542
Policy Interest Rate, % eop	9.25	9.00	9.75	16.75	15.75	15.25	18.00	16.00	12.00
Long-term yield, % eop	-	-	-	-	-	-	-	-	-
Nominal wages, % yoy	14.9	13.3	17.9	23.4	17.3	11.1	10.3	9.5	8.1
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	6.7	3.0	5.2	5.2	5.0	4.2	4.0	4.0	3.9
CPI, %yoy, avg	12.4	11.6	10.5	10.8	10.9	9.8	8.2	7.1	5.9
KZT/US\$, eop	507	477	480	503	523	520	540	551	558
Policy interest rate, % eop	18.00	18.00	17.00	16.50	16.00	15.50	14.25	13.00	12.00

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Nigeria

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■ **Summary view** — Nigeria is one of the least impacted countries by the ongoing conflict in Iran given it is an oil and gas exporter, and has both new refining capacity and a large fertilizer facility, both of which can meet domestic demand.

Nigeria experienced two very high inflation prints in February and March, which altered our thinking about inflation dynamics for much of the 2026. Moreover, inflation remained robust in the following months, something which we think will only change when the domestic harvest starts to hit the market over the June to August period, potentially helped by a fallback in the petrol price. Because of the ongoing importance of food prices in the CPI basket – around 40% – assuming that this year’s harvest is relatively good this should drive a fall in inflation in 2H 2026 (also see [Africa Weekly: Nigeria: Inflation and monetary policy dynamics](#)).

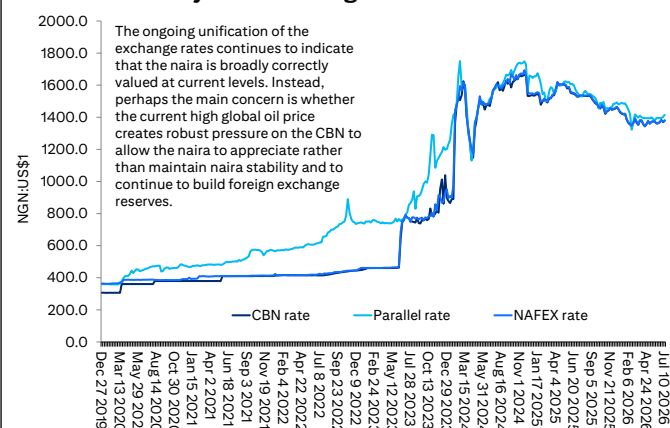
At this point in time, we think inflation dynamics and the global macroeconomic backdrop will make the Central Bank of Nigeria (CBN) reluctant to cut the Monetary Policy Rate (MPR) at its July meeting. However, if, as we expect, inflation starts to decline in 2H 2026 then we think it is possible that the CBN can continue with a cautious reduction of the MPR towards the end of this year, probably continuing its recent policy of making 50 basis points cuts to signal the overall direction of monetary policy. However, with a relatively high global oil price and with Nigeria continuing to run a large current account surplus we think ongoing concerns about excess domestic liquidity means that a cut in the very high Cash Reserve Ratio (CRR) is unlikely any time soon.

With a high global oil price a broad positive for the Nigerian naira (NGN) we are now increasingly confident that we will see considerable exchange rate stability this year. In fact, the more important policy concern for the CBN may be to limit appreciation. In addition, a range of other factors should help support the naira, notably market liquidity has improved with the introduction of the CBN’s B Match platform in late 2024 and the introduction of the 2026 foreign exchange manual which clarifies the status of many transactions. Moreover, the CBN has also moved closer to fully paying down its foreign exchange swaps, while the flow of foreign exchange through the NNPC to the CBN has also picked up following the ending of the petrol price subsidy and with modest rises in oil production (The Whistler, 1 Feb 2026). In the light of these broad trends, we expect the CBN to continue to actively build foreign exchange reserves in 2026.

Higher global oil prices should also boost Federal government revenue although overall we do not expect a significant narrowing of the Federal government fiscal deficit. However, it is also unlikely that the government has the capacity to embark on any major spending in a pre-election year given its substantial capacity constraint. Instead, rising revenue transfers to the states caused by the high global oil price will likely boost their financial position, and the CBN’s concerns about excess liquidity, and is probably the most likely area where spending is increased significantly in the run up to the polls.

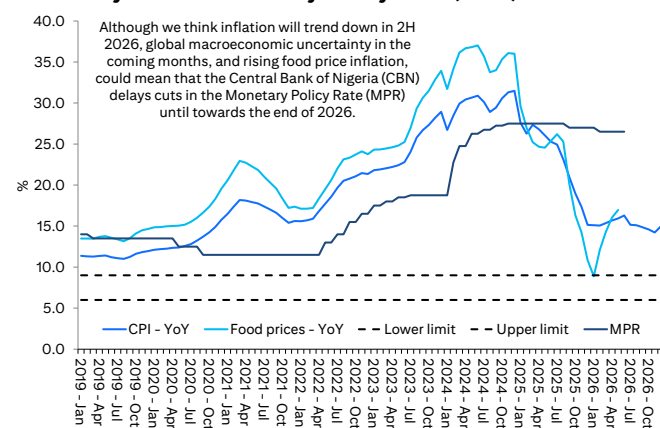
In addition to broad exchange rate stability and falling inflation, the recently revised GDP data now shows that economic growth has gained some momentum in 2023 and 2024 which seems to have been maintained into 2025. Arguably this combination creates a relatively positive economic backdrop for the incumbent president, Bola Tinubu, as Nigeria heads to national elections currently scheduled for February 2027. However, as politics becomes increasingly important, it also means that structural economic reform efforts are likely to wane, especially now the CBN has completed its current banking recapitalization exercise.

Figure 89. High global oil prices mean that the naira is likely to remain broadly stable during 2026



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Figure 90. It may be that the CBN now only opts to cautiously cut the Monetary Policy Rate (MPR) in late 2026



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Source: Citi Research, Haver Analytics

Figure 91. Nigeria Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	448	429	441	477	488	252	313	411	465
Population, mn	201.0	206.2	211.5	216.9	222.3	227.9	233.4	239.2	244.9
Real GDP, yoy avg	2.2	-1.8	3.6	3.3	3.3	4.1	4.3	4.6	5.2
Private consumption growth % yoy	-1.0	-1.7	26.4	-3.5	-10.2	-	-	-	-
Real investment growth % yoy	6.0	-14.0	4.5	3.5	5.0	-	-	-	-
Real export growth, % yoy	15.3	-31.4	-34.8	67.4	30.4	-	-	-	-
Real import growth, % yoy	27.6	-62.0	44.4	53.7	-18.4	-	-	-	-
Net export contribution to growth	1.4	-1.7	-9.9	5.5	8.7	-	-	-	-
Unemployment, % of labour force	-	-	-	-	-	-	-	-	-
External (US\$bn)									
Current account	-13.7	-16.0	-3.1	3.7	5.6	19.2	14.0	16.6	10.2
% of GDP	-3.1	-3.7	-0.7	0.8	1.2	7.6	4.5	4.0	2.2
Trade balance	2.9	-16.4	-4.6	6.0	8.1	13.2	14.5	18.3	12.5
FDI, net	2.0	0.9	1.5	-1.9	1.6	1.2	2.8	3.1	4.1
External debt	27.7	33.3	38.4	41.7	42.5	45.8	51.1	54.5	58.1
Short-term debt	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
International reserves	38.6	36.5	40.2	37.1	32.9	40.9	45.5	55.2	57.6
Public Finances, % of GDP									
Consolidated government balance	-2.4	-2.9	-3.7	-3.4	-3.8	-3.3	-2.9	-2.9	-2.8
Consolidated gov primary balance	-1.2	-1.4	-1.9	-1.4	-1.3	-0.5	-0.1	-0.2	-0.3
Public debt	9.9	12.1	13.1	13.5	19.1	29.1	27.2	23.0	22.8
External public debt	-	-	-	-	-	-	-	-	-
Prices									
CPI, %yoy, eop	12.0	15.8	15.6	21.3	28.9	15.4	15.2	15.0	9.4
CPI, %yoy, avg	11.4	13.2	17.0	18.8	24.7	31.4	23.0	15.2	11.9
NGN/US\$, eop	307	381	412	448	882	1,544	1,445	1,395	1,475
NGN/US\$, avg	307	356	400	423	593	1,439	1,519	1,383	1,432
Policy Interest Rate, % eop	13.50	11.50	11.50	16.50	18.75	27.50	27.00	25.50	17.50
Long-term yield, %, eop	11.75	5.59	12.47	14.28	15.05	21.44	16.34	16.00	13.50
Nominal wages, % yoy	-	-	-	-	-	-	-	-	-
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	4.0	4.5	4.8	4.5	4.6	5.1	5.5	5.0	5.2
CPI, %yoy, avg	20.1	15.2	16.0	15.0	14.6	17.2	11.4	9.6	9.4
NGN/US\$, eop	1,445	1,386	1,367	1,390	1,395	1,415	1,420	1,455	1,475
Policy interest rate, %, eop	27.00	26.50	26.50	26.00	25.50	25.50	23.50	19.00	17.50

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Poland

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■ **Summary view** – Inflation is likely to increase significantly over the coming months, possibly above 3.5% YoY by the year-end. The dovish tone from the July policy meeting is unlikely to be followed through with a rate cut, given renewed pressure from oil prices. We expect rates to remain steady in the near-term. Economic growth remains solid as we expect 3.5% growth in full year, with investments set to increase on the back of EU funds flow.

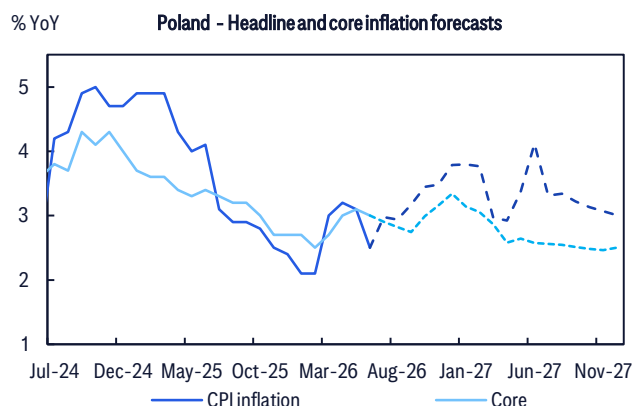
Headline inflation in Poland hit 2.5% target in June, but it is likely to rise significantly in the next couple of months. We see CPI hitting ~3% already in July owing to over 15% increase in fuel prices on a month-over-month basis. Headline inflation is likely to rise above 3.5% (upper band of permissible fluctuations around the target) by the year-end, though further rise in fuel prices could prompt the inflation rate to move even above 4%. However, we note that government may consider re-introduction of the mechanism to cap fuel prices (which comprised of lower excise duties and VAT tax as well as setting maximum price for diesel and gasoline), which would limit the extent of oil driven inflationary pressure. Nevertheless, the authorities may be hesitant to fully re-implement this solution, given the high cost impact on the central budget.

In our view the Monetary Policy Council is likely to remain in wait-and-see mode, preferring to keep rates on hold. The dovish tone presented by the Governor Glapinski in July has somewhat caught the market off-guard with FRA rates even temporarily beginning to price-in the possibility of a rate cut in 2026. The dovish sentiment, however, proved short-lived as the market-implied interest rate is some ~25bps above the money market rate in the 12-month horizon. We think that the Monetary Policy Council will be hesitant to raise rates and is unlikely to be significantly impacted by tightening of the monetary policy in the Eurozone. Majority of the rate setters seem to be convinced that the next move would be rather a cut than a hike. In our view, while a rate cut cannot be ruled out, we believe it would require the inflation outlook to improve considerably. ([link](#))

Despite several months of high oil and fuel prices, the Polish economy remains resilient, with GDP growth likely to hover around 3.5% in 2026. The monthly activity data in Q2 proved robust, especially ending on a strong footing in June. We expect that GDP growth in 2Q26 was close to 3.5% recorded in Q1, though we note that our proxy based on monthly data is suggesting even stronger growth, around 3.9%. The inflow of EU funds remains an important factor for Poland in 2026, especially in regards to investments. We estimate that Poland is set to receive further net transfers of roughly EUR 20bn before the year-end, which could also provide some support for the PLN vs. EUR. Despite still robust consumption, some weakening is noticeable in the labour market, as nominal wages growth is normalizing with trend edging closer to ~6%. ([link](#))

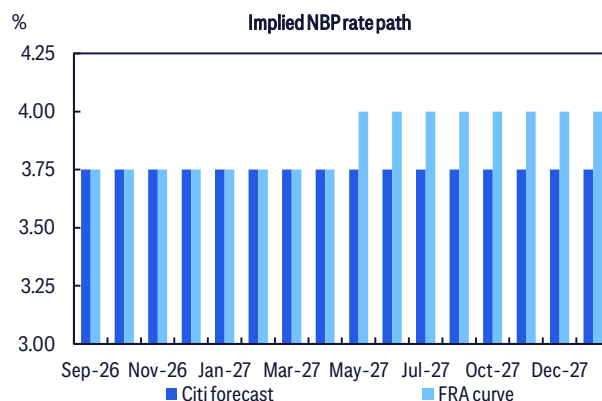
Fiscal outlook remains the key risk in near- and medium-term. The general government deficit is running close to 7% of GDP and the most recent data is providing little hope for significant improvement (other than stemming from nominal GDP growth or lack of increase in personal income tax brackets ([link](#))). The revenue side of the central budget is disappointing as VAT and excise proceeds declined as compared to last year by 2.2% and 6.4% respectively. The Prime Minister Tusk has already signaled that “*Poland cannot keep subsidizing low fuel prices from state budget indefinitely*”. Given the tense budget stance, we believe the room for fiscal stimuli ahead of parliamentary election next year is very small.

Figure 92. Inflation is likely to increase significantly over the coming months...



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Source: Citi Research Forecasts, Statistics Poland

Figure 93. ...which could prove problematic for monetary policy easing



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Source: Citi Research, LSEG

Figure 94. Poland Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	596	600	690	697	813	918	1,038	1,106	1,173
Population, mn	38.4	38.1	37.9	37.8	37.6	37.5	37.4	37.4	37.4
Real GDP, yoy avg	4.4	-2.0	6.9	5.3	0.2	3.0	3.6	3.5	2.9
Private consumption growth % yoy	3.5	-3.6	6.2	5.0	-0.3	2.9	3.7	2.9	3.5
Real investment growth % yoy	0.5	-7.5	19.4	7.7	-16.6	4.7	4.8	6.0	4.9
Real export growth, % yoy	5.3	-1.1	12.3	7.4	3.7	2.0	4.5	5.0	4.7
Real import growth, % yoy	3.2	-2.4	16.3	6.8	-1.5	4.5	5.6	5.8	6.9
Net export contribution to growth	1.7	0.8	-1.9	0.8	4.1	-1.7	-0.5	-0.3	-1.4
Unemployment, % of labour force	5.2	6.8	5.8	5.2	5.1	5.1	5.7	5.8	5.7
External (US\$bn)									
Current account	-1.6	14.4	-9.2	-15.7	12.5	2.8	-8.9	-17.1	-22.3
% of GDP	-0.3	2.4	-1.3	-2.2	1.5	0.3	-0.9	-1.5	-1.9
Trade balance	-4.9	7.9	-9.1	-23.2	5.1	-6.7	-15.2	-24.8	-28.9
FDI, net	13.7	14.8	27.3	29.3	23.3	10.6	12.6	13.0	13.0
External debt	355.8	378.1	367.0	375.2	432.1	461.4	544.2	590.3	635.3
Short-term debt	57.0	61.3	62.4	66.6	74.9	82.1	78.8	83.0	88.0
International reserves	128.4	154.2	166.0	166.7	193.8	223.1	271.1	287.4	301.7
Public Finances, % of GDP									
Consolidated government balance	-0.7	-6.9	-1.7	-3.4	-5.2	-6.5	-7.3	-6.9	-6.7
Consolidated gov primary balance	0.6	-5.6	-0.6	-1.8	-3.1	-4.3	-4.8	-4.1	-3.8
Public debt	42.8	47.1	43.2	39.0	38.9	44.1	49.1	52.9	56.7
External public debt	21.8	22.3	17.4	17.1	17.5	17.9	24.0	25.7	27.2
Prices									
CPI, %yoy, eop	3.4	2.4	8.6	16.6	6.2	4.7	2.4	3.8	3.0
CPI, %yoy, avg	2.3	3.4	5.1	14.3	11.5	3.6	3.6	3.0	3.3
PLN/EUR, eop	4.25	4.56	4.59	4.69	4.34	4.28	4.22	4.31	4.30
PLN/EUR, avg	4.30	4.44	4.57	4.68	4.54	4.31	4.24	4.31	4.30
Policy Interest Rate, % eop	1.50	0.10	1.75	6.75	5.75	5.75	4.00	3.75	3.75
Long-term yield, %, eop	2.07	1.25	3.71	6.88	5.25	5.89	5.18	5.30	4.90
Nominal wages, % yoy	6.5	4.7	8.8	13.0	11.9	11.0	8.1	6.3	5.7
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	4.1	3.5	3.5	3.4	3.4	3.3	3.1	2.8	2.5
CPI, %yoy, avg	2.6	2.4	2.9	3.0	3.6	3.5	3.5	3.3	3.1
PLN/EUR, eop	4.22	4.29	4.23	4.33	4.31	4.30	4.30	4.30	4.30
Policy interest rate, %, eop	4.00	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

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Romania

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■ **Summary view** — We believe that elevated inflation, coupled with the uncertain political backdrop, should reinforce the Bank's cautious stance, leading it to leave the policy rate unchanged for the rest of the year.

Amid a fragmented parliamentary structure, political turmoil in Romania continues. The leader of the PSD recently outlined four potential scenarios (Hotnews, July 2026): i) forming a government again with pro-European parties, ii) reintroducing the prime ministerial rotation formula, iii) establishing a technocratic government, and iv) calling for early elections. We believe a fifth scenario exists: maintaining the status quo with Bolojan remaining as prime minister. Given this complex backdrop, investors are likely to focus less on which scenario will materialize and more on which scenarios can be ruled out.

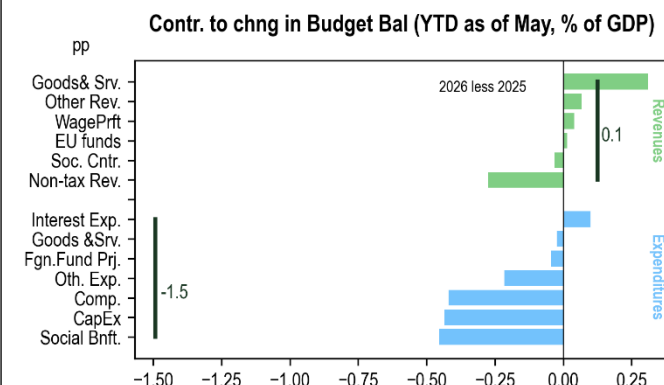
In this regard, we maintain our view that two scenarios can be largely discounted: the establishment of an anti-EU government and the prospect of early elections. Regarding the first, while there is [talk](#) of a potential PSD-AUR coalition (Romania Insider, July 17, 2026), recent [statements](#) from the PSD Vice Chair suggest this outcome is highly improbable (News.ro, July 18, 2026). Moreover, even if such a coalition were formed, we do not believe it would adopt anti-EU policies, a position echoed by the PSD leader's recent [comments](#) (Antenna 3, July 17, 2026). As for early elections, we view the growing discussion of this scenario as part of the negotiation process rather than a genuine possibility, particularly given recent polling results. In summary, since these two scenarios are unlikely, we do not anticipate a meaningful variation in fiscal policies or the absorption of EU funds at least in the next one year.

While high-frequency indicators point to a slight recovery in the second quarter, we expect consumption to remain subdued for the rest of the year. Retail sales and industrial production showed signs of recovery in the first two months of Q2, with growth for both rising to 0.4% (3m/3m) over April-May. This marks a turnaround from the first quarter, where they contracted by 1.8% and 2.8%, respectively. Nevertheless, the ongoing drop in both consumer confidence and net real wages, coupled with our expectation of continued fiscal consolidation, suggests that consumption should remain weak in the coming months. Given this backdrop, we maintain our forecast for a GDP contraction of about 0.5% in 2026.

Inflation decelerated from 10.85% in May to 10.42% YoY in June, slightly below our forecast of 10.44% and the consensus of 10.50%. Food inflation was recorded at 5.75% YoY, while non-food goods (12.29% YoY) and services (13.67% YoY) remained elevated. Meanwhile, core inflation (by the 'e' definition) edged down to 8.3% YoY from 8.4% YoY. Looking ahead, while favorable base effects and a negative output gap will likely push inflation lower in 2H, the pervasiveness of inflationary pressures—as suggested by [our diffusion index estimates](#)—indicates that disinflation is likely to be limited. Against this backdrop, we maintain our year-end inflation forecast at 5.8% YoY, with risks tilted to the upside.

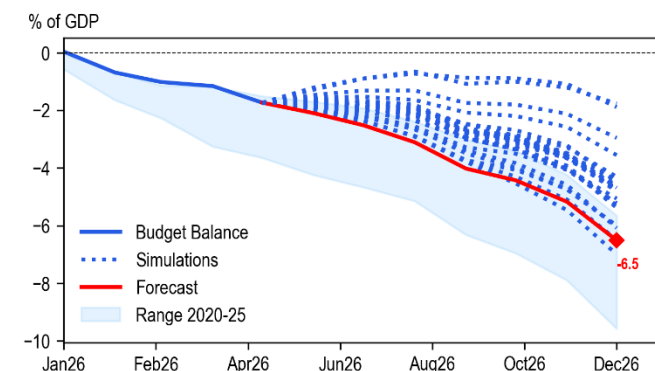
The cumulative budget deficit for the first five months of the year narrowed to 1.7% of GDP, a significant improvement from 3.4% of GDP over the same period in 2025. This was driven by a broad-based drop in expenditures, while strong tax revenues also provided support, benefiting from the lasting impact of the August 2025 VAT hike. Although our [simulations](#) indicate that a deficit below 6.0% of GDP this year is within reach, we believe some slippages are highly likely amid the current political backdrop. Accordingly, we maintain our budget deficit forecast at 6.5% of GDP.

Figure 95. YTD budget execution points to strong...



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Source: Citi Research, Haver Analytics

Figure 96.adjustment, contingent on political stability



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Source: Citi Research, Haver Analytics

Figure 97. Romania Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	250	251	285	295	349	381	435	453	473
Population, mn	19.5	19.4	19.4	19.2	19.0	19.1	19.1	19.0	18.9
Real GDP, yoy avg	4.0	-3.6	5.6	4.2	2.3	0.9	0.7	-0.5	2.7
Private consumption growth % yoy	3.1	-3.6	7.0	5.4	2.5	5.7	0.6	-0.9	2.6
Real investment growth % yoy	14.9	-0.5	4.0	5.4	12.3	-2.5	4.1	4.0	3.8
Real export growth, % yoy	5.4	-9.5	12.6	9.3	-1.3	-2.5	3.9	1.5	2.7
Real import growth, % yoy	8.8	-5.2	14.6	9.3	-1.5	4.0	4.8	1.8	2.5
Net export contribution to growth	-1.5	-1.5	-1.4	-0.5	0.2	-2.8	-0.6	-0.3	-0.1
Unemployment, % of labour force	4.9	6.0	5.6	5.6	5.6	5.5	6.1	6.5	6.5
External (US\$bn)									
Current account	-12.2	-12.8	-20.6	-28.2	-23.3	-31.1	-34.3	-33.5	-32.2
% of GDP	-4.9	-5.1	-7.2	-9.6	-6.7	-8.2	-7.9	-7.4	-6.8
Trade balance	-20.0	-21.6	-27.4	-33.7	-31.5	-35.5	-37.4	-36.7	-40.2
FDI, net	5.4	3.4	10.5	9.8	6.9	5.1	8.7	7.7	9.5
External debt	127.9	150.7	168.8	161.6	198.6	219.1	262.0	269.4	280.9
Short-term debt	40.8	40.9	44.2	48.0	51.4	49.2	56.6	51.7	49.4
International reserves	42.0	52.2	51.9	55.6	73.4	73.5	90.5	96.5	97.8
Public Finances, % of GDP									
Consolidated government balance	-4.4	-9.3	-7.2	-6.5	-6.6	-9.3	-7.9	-6.5	-5.8
Consolidated gov primary balance	-3.2	-7.9	-5.7	-4.4	-4.7	-7.2	-5.3	-4.0	-3.4
Public debt	35.1	46.7	48.5	47.5	48.8	56.2	58.4	61.1	63.2
External public debt	-	-	-	-	-	-	-	-	-
Prices									
CPI, %yoy, eop	4.0	2.1	8.2	16.4	6.6	5.1	9.7	5.8	3.5
CPI, %yoy, avg	3.8	2.6	5.0	13.7	10.5	5.6	7.3	8.3	4.0
RON/EUR, eop	4.79	4.86	4.95	4.94	4.97	4.97	5.10	5.27	5.37
RON/EUR, avg	4.75	4.84	4.92	4.93	4.95	4.97	5.04	5.21	5.33
Policy Interest Rate, % eop	2.50	1.50	1.75	6.75	7.00	6.50	6.50	6.50	5.25
Long-term yield, % eop	4.41	2.97	5.14	8.19	6.23	7.37	6.72	6.69	6.24
Nominal wages, % yoy	14.9	6.7	7.1	12.2	15.4	13.4	6.5	4.6	5.3
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	-1.2	-1.5	-1.6	-1.0	1.4	2.5	2.4	2.7	3.0
CPI, %yoy, avg	9.7	9.6	10.7	6.9	5.9	5.0	4.3	3.4	3.4
RON/EUR, eop	5.10	5.10	5.25	5.25	5.27	5.29	5.32	5.34	5.37
Policy interest rate, % eop	6.50	6.50	6.50	6.50	6.50	6.50	6.00	5.50	5.25

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Serbia

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■ **Summary view** — We expect the NBS to keep the policy rate on hold for the remainder of the year amid significant uncertainty surrounding both the domestic inflation outlook and global economic developments.

Following subdued growth of 0.2% QoQ in the first quarter, high-frequency indicators point to an acceleration in Q2. Retail trade growth (3m/3m) increased to 3.3% in the first two months of the second quarter, up from 1.7% QoQ in Q1. Similarly, industrial production accelerated by 5.2% (3m/3m) over April-May, compared to 4.1% in the first quarter. Despite this pickup, subdued employment growth and declining sentiment indicators suggest that growth will remain subpar in the coming quarters. Looking ahead, strong lending activity and the government's "Leap into the Future – Serbia Expo 2027" program are expected to bolster investment. Against this backdrop, we are maintaining our 2026 GDP growth forecast at 2.8% YoY.

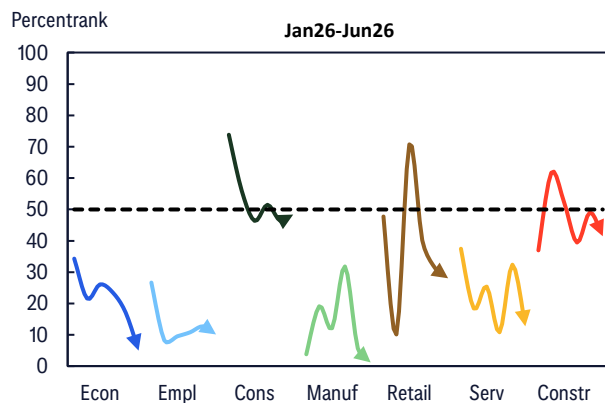
Inflation fell to 2.7% YoY in June from 3.5% YoY in May, coming in below both the consensus forecast (3.6% YoY) and our own (3.0% YoY). The decline was primarily driven by a sharp drop in food prices, which fell by 3.7% YoY in June compared to a 1.5% YoY decrease in the previous month. However, despite the fall in the headline rate, core inflation accelerated from 4.5% YoY to 4.6% YoY, indicating that underlying price pressures for both goods and services remain elevated. Furthermore, driven mainly by unfavorable base effects, inflation is projected to increase from 2.7% in 2025 to around 4.7%YoY by year-end.

The current account deficit improved significantly, narrowing to EUR 0.6 bn in the first five months of the year from EUR 1.8 bn during the same period in 2025. This adjustment was driven by a EUR 0.6 bn improvement in the goods balance, mainly from higher motor vehicle exports, supported by a EUR 0.4 bn increase in remittances and a EUR 0.3 bn improvement in the services balance. In light of this positive year-to-date performance, we revise our full-year current account deficit forecast down to 4.5% of GDP from 5.0%. On the financing side, the quality of financing has also improved since the beginning of the year, evidenced by the rise in FDI coverage of the deficit to about 80% in May (from a recent low of 53% in December 2025) and a concurrent increase in foreign exchange reserves.

We expect the NBS to keep its key policy rate on hold for the remainder of 2026, a view based on significant uncertainty surrounding both the domestic inflation outlook and global economic developments. This cautious stance is corroborated by the NBS's own statements, which note that "inflation could temporarily overshoot the upper bound of the target tolerance band by the end of this year or at the beginning of the next." The central bank has also signaled that a tighter policy could be considered if "the increase in global oil prices had stronger second-round effects on other prices through inflation expectations."

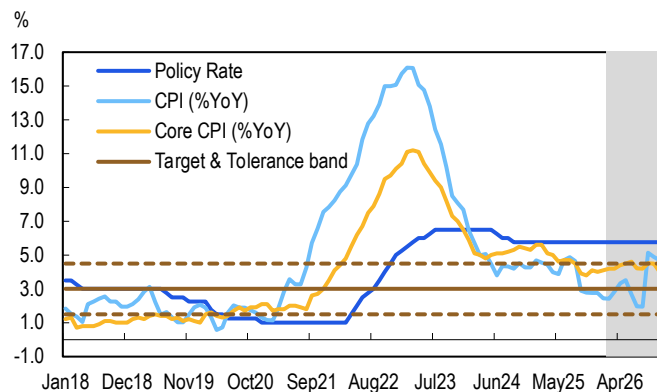
In the first five months of the year, the budget deficit expanded to RSD 107 billion, a significant increase from the RSD 57 billion recorded during the same period last year. The primary driver of this expansion was a rise in expenditures that outpaced revenue growth. For the remainder of the year, we expect ongoing energy support measures and elevated spending related to Expo 2027 to contribute to a further widening of the budget deficit from the 2.4% of GDP registered in 2025. However, stronger-than-expected fiscal performance year to date has led us to revise our full-year budget deficit forecast downward, from 3.3% to 3.0% of GDP.

Figure 98. While growth indicators point to a rebound in 2Q, sentiment indicators point to subpar growth ahead...



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Source: Haver Analytics, Citi Research

Figure 99. ...as the NBS is likely to hold rates steady this year



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Source: Haver Analytics, Citi Research

Figure 100. Serbia Economic Indicators

	2019	2020	2021	2022	2023	2024	2025F	2026F	2027F
Nominal GDP, USD bn	53.9	55.9	66.2	66.8	81.3	90.1	95.3	104.4	113.6
GDP per capita, USD	7,765	8,087	9,615	9,749	11,918	13,256	14,070	15,415	16,784
Real GDP, yoy avg	4.8	-1.0	7.9	2.7	3.7	4.0	2.0	2.8	3.4
CPI, %yoy, eop	1.9	1.3	7.8	15.1	7.7	4.3	2.8	4.7	3.1
CPI, %yoy, avg	1.9	1.5	4.1	11.9	12.5	4.7	3.9	3.4	4.0
Policy Interest Rate, % eop	2.25	1.00	1.00	5.00	6.50	5.75	5.75	5.75	5.00
RSD/EUR, eop	118	118	118	117	117	117	117	117	117
RSD/EUR, avg	118	118	118	117	117	117	117	117	117
Current account, US\$bn	-3.5	-2.2	-2.7	-4.4	-2.0	-4.1	-4.6	-4.7	-5.3
Current account, % of GDP	-6.6	-3.9	-4.1	-6.6	-2.4	-4.5	-4.9	-4.5	-4.7
Consolidated government balance (% of GDP)	-0.2	-7.7	-3.9	-3.0	-2.1	-2.0	-2.4	-3.0	-3.0

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Source: Citi Research, National Sources

South Africa

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■ **Summary view** – We retain a 1.3% 2026 real GDP growth forecast but with an inflation profile that remains high relative to target. At least one more hike is necessary, in our view.

It was necessary to downgrade our real GDP forecast after the Middle East conflict persisted, pushing inflation higher and causing lower confidence. We retain a growth forecast of 1.3%, rising into 2027. A key reason for this downgrade is higher inflation owing to first- and second-round effects from rising oil prices to date. As such, variables such as household consumption lose the cyclical tailwind it would otherwise have enjoyed in a lower inflation environment. We also believe that until geopolitical uncertainty subsides more, some structural factors will also likely take longer, which places the private sector investment environment on hold. This is despite the reform story in South Africa remaining constructive in our view.

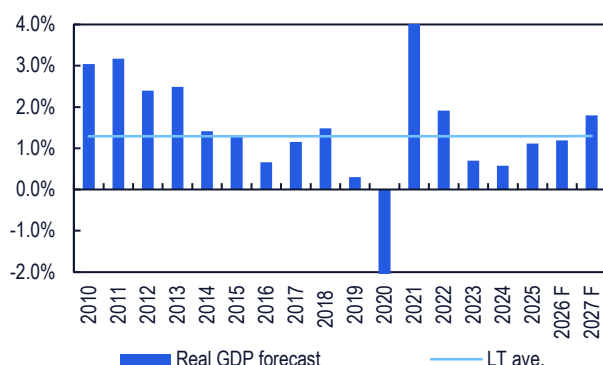
Oil prices have reduced but remain higher than at the start of the year, and continually volatile. This means that on top of the fuel inflation already experienced, CPI will still likely peak in H2 26, but at a lower level of around 4.2%. Nevertheless, second round effects are still expected to emerge given the persistence of oil prices from March which remains an upside risk to the inflation outlook regardless of whether or not prices passthrough quickly or not. An additional upside risk is food inflation from both the possibility of a harsh El Nino in Q4 26 and concerns from producers about meat supply. Nonetheless, a substantial maize crop carry-over together with significant economies of scale among domestic food retailers means that food prices are now only an upside risk to the outlook, and we have moderated our food inflation forecasts over the medium term. Overall, we forecast inflation averaging a lower 3.9% in 2026 (0.3pp), slowing 3.0%-3.5% by end-2027. This compares to a new lower inflation target of 3.0% with a +-1pp tolerance band and we don't believe the SARB is willing to tolerate a sustained breach of the new target without an established track record of attaining it. This is why the SARB hiked 25bp in May yet paused in July. We still retain a 25bp hike in September given underlying inflation pressures.

Treasury provided fuel price levy relief for three months, April – June. Yet this was a budget-neutral move given areas of revenue and expenditure that can compensate for the cost. National Treasury has built up significant credibility over the years, resulting in a recent S&P ratings upgrade and positive outlook, and Moody's positive outlook. Treasury maintains a continued focus on debt stabilization in FY25/26 with a fiscal anchor promised to be announced later this year. The objective to stabilize debt in FY25/26 is in the timing however, not the numbers, which means even if there is some fiscal slippage this year Treasury will retain fiscal discipline by ensuring debt stabilization occurs, even if at a higher ratio.

It is typical for investment to slow down when the global backdrop becomes significantly uncertain. As a result, the structural growth factors that we expected to emerge this year via private investment may take a bit longer. We remain upbeat however, about South Africa's domestic prospects, thanks to structural reforms, monetary policy reform and fiscal policy reforms.

Year-end municipal elections are coming into focus. That said, we are not overly concerned that the election will result in any credibility issues around the GNU. Instead, the outcome will be important for the 2027 year-end ANC leadership election and ultimately, the 2029 national elections.

Figure 101. Real GDP growth held by domestic reforms

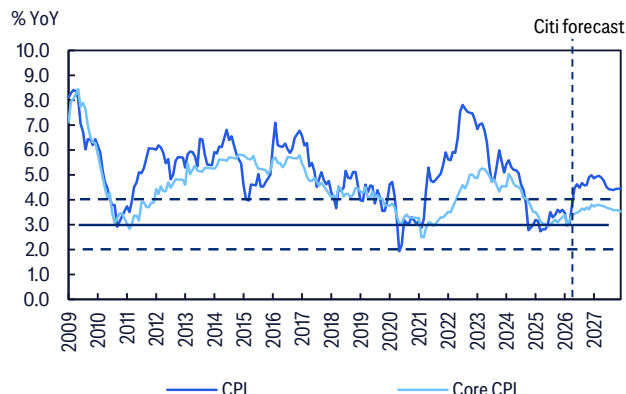


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2020: -6.2%; 2021: +5.0%

Source: Citi Research, StatsSA

Figure 102. Inflation will rise owing to oil prices



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Source: Citi Research, National Treasury

Figure 103. South Africa Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	389	338	420	407	381	401	425	440	463
Population, mn	59.6	60.6	61.5	62.4	63.2	64.0	64.7	65.1	66.1
Real GDP, yoy avg	0.3	-6.2	4.9	2.1	0.8	0.5	1.1	1.3	1.6
Private consumption growth % yoy	1.3	-6.1	6.0	2.6	0.2	1.0	3.6	1.9	1.4
Real investment growth % yoy	-0.2	-25.8	8.3	17.9	-1.8	-9.3	0.7	-0.7	5.2
Real export growth, % yoy	-3.3	-12.0	9.7	7.8	5.1	-2.8	-2.5	0.1	2.0
Real import growth, % yoy	0.6	-17.6	9.7	15.0	3.9	-6.4	1.1	1.2	2.3
Net export contribution to growth	-1.1	1.8	0.0	-1.9	0.3	1.1	-1.0	-0.3	-0.1
Unemployment, % of labour force	28.7	29.2	34.3	33.5	32.4	32.6	32.4	32.0	32.0
External (US\$bn)									
Current account	-10.1	6.7	15.7	-1.3	-4.1	-2.6	-0.7	-1.2	-2.3
% of GDP	-2.6	2.0	3.7	-0.3	-1.1	-0.7	-0.2	-0.3	-0.5
Trade balance	2.5	17.6	30.5	14.2	7.6	11.7	9.1	7.7	5.9
FDI, net	2.0	5.0	40.0	6.9	6.7	3.6	4.2	-	-
External debt	153.9	145.6	136.1	140.6	134.1	145.1	173.3	178.9	187.4
Short-term debt	34.5	27.8	27.2	34.1	31.9	36.7	34.5	35.9	37.6
International reserves	48.9	47.4	50.3	53.3	54.2	54.9	56.7	58.4	60.1
Public Finances, % of GDP									
Consolidated government balance	-6.1	-9.8	-5.1	-4.6	-4.5	-4.5	-4.5	-4.5	-4.4
Consolidated gov primary balance	-2.7	-5.9	-1.2	-0.3	0.3	0.5	0.7	0.9	1.2
Public debt	58.0	70.8	68.9	71.5	74.7	77.4	74.9	76.0	80.1
External public debt	6.9	7.1	6.6	8.3	8.4	8.2	8.2	8.2	8.8
Prices									
CPI, %yoy, eop	4.0	3.0	5.9	7.6	5.2	2.9	3.6	4.0	3.4
CPI, %yoy, avg	4.1	3.2	4.6	7.0	6.1	4.4	3.2	3.9	3.6
ZAR/US\$, eop	14.00	14.70	16.00	17.01	18.30	18.87	16.57	16.29	15.79
ZAR/US\$, avg	14.45	16.46	14.79	16.37	18.45	18.33	17.88	16.51	15.99
Policy Interest Rate, % eop	6.50	3.50	3.75	7.00	8.25	7.75	6.75	7.25	6.50
Long-term yield, % eop	8.26	8.74	9.35	10.19	9.77	9.05	8.21	8.80	8.80
Nominal wages, % yoy	4.0	0.7	7.5	4.0	4.5	4.5	104.5	4.5	4.5
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	0.8	1.9	1.0	0.9	1.3	2.1	1.1	1.2	1.9
CPI, %yoy, avg	3.6	3.2	4.4	4.1	4.0	3.8	3.7	3.6	3.4
ZAR/US\$, eop	16.57	16.94	16.54	16.40	16.29	16.18	16.05	15.92	15.79
Policy interest rate, %, eop	6.75	6.75	7.00	7.25	7.25	7.25	7.25	6.75	6.50

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Source: Citi Research, National Sources

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■ **Summary view** — The pace of inflows and dollarization dynamics will be among the primary factors influencing the CBT's decision to align its average funding rate with the policy rate in the near term.

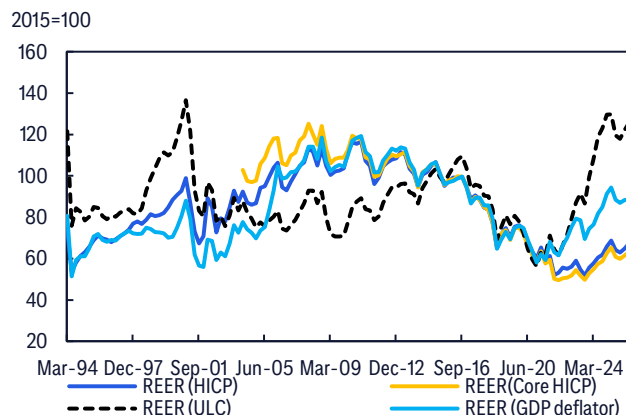
Following a visible [slowdown in Q1](#), incoming indicators for Q2 do not point to a meaningful rebound in activity. The PMI softened further, averaging 47.5 in Q2 versus 48.4 in Q1, while industrial production fell nearly 3% MoM in May after expanding by 3.8% in April, suggesting that the manufacturing sector has yet to establish a sustained recovery. Labor market conditions also remain subdued: with little to no net job creation, the stability of the unemployment rate has been driven largely by a declining labor force participation rate rather than robust job growth. Looking ahead, we remain cautious about the growth outlook as prospects for both domestic and external demand remain subdued. We view the slowdown in private consumption, which has been a key driver of growth since the pandemic, as largely structural. At the same time, subdued credit growth and still-elevated interest rates are unlikely to support a meaningful recovery in investment. Nor do we expect a significant boost from external demand amid [mounting competitiveness concerns](#). Against this backdrop, we forecast GDP growth of 2.3% this year, down from 3.6% in 2025.

At 32.1% YoY, [June inflation](#) came in broadly in line with expectations. A 2.8% MoM decline in unprocessed food prices helped contain overall food inflation, though the headline outturn was modestly above the CBT's forecast (around 31.7% YoY, based on our reading) underlined in the [latest IR](#). Core and services inflation remain elevated at around 30% YoY and 40% YoY, respectively, while the monthly pace of disinflation shows little sign of meaningful improvement. Looking ahead, we see three factors as particularly important for the near-term inflation outlook: (i) mixed food price dynamics; (ii) upside risks to clothing inflation during the September–October repricing period; and (iii) the degree to which weakening domestic demand weighs on services inflation. Against this backdrop, we project inflation to rise modestly to 31.8% in 2026, from 30.9% in 2025.

In our view, price developments point to a more challenging inflation outlook than envisaged by the [latest IR](#). The broader economic impact from the Middle East conflict has prompted the CBT not only to raise its interim targets, but also to signal that policy would stay tighter for longer than envisaged in the [previous IR](#). We believe that the pace of inflows and dollarization dynamics will be among key factors in determining whether the CBT aligns its average funding rate (40%) with the policy rate (37%) in the near term. Looking ahead, we see limited room for easing in 2H and expect the policy rate to reach 35% by year-end.

As investors increasingly look further along the curve for lira carry opportunities, two-year bonds offer an opportunity to lock in elevated yields ahead of possible, if limited, easing should price developments permit. Against this backdrop, [we estimated](#) the compensation investors require, over and above expected depreciation, for holding two-year lira government bonds. Drawing on the yield gap between Turkey's lira and dollar bonds, the [framework](#) relies only on observable market data and published inflation expectations, providing a transparent monthly gauge of lira risk pricing. The premium averages about 1% over 2010–17, turns deeply negative under the low-rate policy of 2021–23 before rebuilding sharply with policy normalization. It stands at 12.6% as of June 2026, among the widest readings since 2010. This premium has widened under the current managed crawl despite its largely predictable trajectory: what the market prices is not the volatility of the path but the [durability of the regime itself](#).

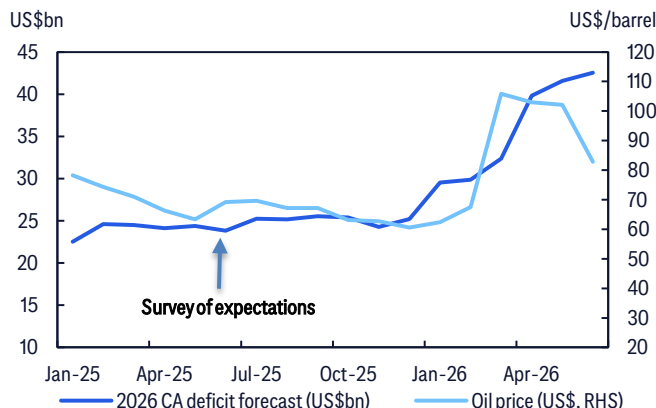
Figure 104. Competitiveness concerns cloud...



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Source: Citi Research, Haver Analytics

Figure 105... the external outlook amid higher oil prices



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Source: Citi Research, Haver Analytics

Figure 106. Turkey Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	775	733	838	925	1,141	1,359	1,596	1,803	1,924
Population, mn	82.6	83.4	84.1	85.0	85.3	85.5	85.8	86.4	87.0
Real GDP, yoy avg	1.3	1.8	11.8	5.4	5.0	3.3	3.6	2.3	3.2
Private consumption growth % yoy	1.4	3.6	15.6	16.2	10.5	4.3	4.0	4.3	2.9
Real investment growth % yoy	-12.1	6.9	7.2	4.4	7.3	2.7	7.0	1.1	3.5
Real export growth, % yoy	4.7	-16.4	25.1	10.5	-2.3	0.1	-0.3	-8.8	3.3
Real import growth, % yoy	-5.4	6.8	2.1	8.3	12.1	-4.4	4.9	-3.2	1.6
Net export contribution to growth	2.4	-5.8	5.0	0.9	-3.0	1.0	-1.1	-1.3	0.3
Unemployment, % of labour force	13.8	13.2	12.0	10.5	9.4	8.7	8.4	8.9	8.9
External (US\$bn)									
Current account	15.0	-31.0	-7.1	-46.7	-41.8	-13.0	-30.3	-56.7	-65.9
% of GDP	1.9	-4.2	-0.8	-5.0	-3.7	-1.0	-1.9	-3.1	-3.4
Trade balance	-31.2	-48.9	-47.1	-107.0	-106.9	-83.9	-95.5	-110.9	-122.7
FDI, net	6.5	4.3	6.5	9.8	4.5	5.1	3.2	5.3	7.5
External debt	398.1	390.3	377.9	388.1	432.1	460.8	520.5	536.3	552.9
Short-term debt	95.5	111.5	118.4	148.5	175.0	173.0	167.5	172.3	191.5
International reserves	105.7	93.6	111.2	128.7	140.9	155.2	184.0	154.0	143.5
Public Finances, % of GDP									
Consolidated government balance	-2.8	-3.4	-2.7	-0.9	-5.1	-4.7	-2.9	-3.7	-4.4
Consolidated gov primary balance	-0.6	-0.8	-0.3	1.1	-2.6	-1.9	0.4	-0.2	-1.0
Public debt	31.2	38.3	38.9	29.4	28.3	23.6	23.7	22.6	23.4
External public debt	13.0	14.6	19.2	13.9	13.0	9.6	8.7	7.5	7.2
Prices									
CPI, %yoy, eop	11.8	14.6	36.1	64.3	64.8	44.4	30.9	31.8	22.5
CPI, %yoy, avg	15.2	12.3	19.6	72.3	53.9	58.5	34.9	31.2	25.1
TRY/US\$, eop	5.95	7.44	13.32	18.69	29.48	35.34	42.96	52.00	60.65
TRY/US\$, avg	5.68	7.02	8.90	16.57	23.78	32.85	39.55	48.11	57.67
Policy Interest Rate, % eop	11.43	17.03	14.00	9.04	42.50	48.13	38.00	35.00	27.00
Long-term yield, % eop	12.21	12.90	24.32	9.83	26.75	29.04	28.96	30.00	24.00
Nominal wages, % yoy	18.4	6.9	39.5	88.1	113.5	91.2	41.2	33.7	28.6
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	3.4	2.5	2.2	1.8	2.6	3.1	3.1	3.1	3.5
CPI, %yoy, avg	31.6	31.0	32.4	30.4	30.9	27.7	25.1	24.5	23.0
TRY/US\$, eop	42.96	44.45	46.49	49.33	52.00	54.61	56.72	58.68	60.65
Policy interest rate, % eop	38.00	40.00	40.00	36.00	35.00	33.00	31.00	29.00	27.00

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Source: Citi Research, National Sources

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■ **Summary view** — Higher inflation outlook means the central bank will likely keep rates on hold throughout 2026 ([link](#)). Inflow of international aid allows the central bank to be active in the foreign exchange market, thus smoothing the currency adjustment.

Economic activity remains heavily affected by the ongoing war. Business sentiment deteriorated in June, partly affected by Russia's increased aerial strikes on infrastructure and business facilities. However, the consumer demand remains resilient and according to the NBU the retail trade in Ukraine accelerated in both May and June. We expect full-year GDP growth to reach approximately 1.2% in 2026. ([link](#))

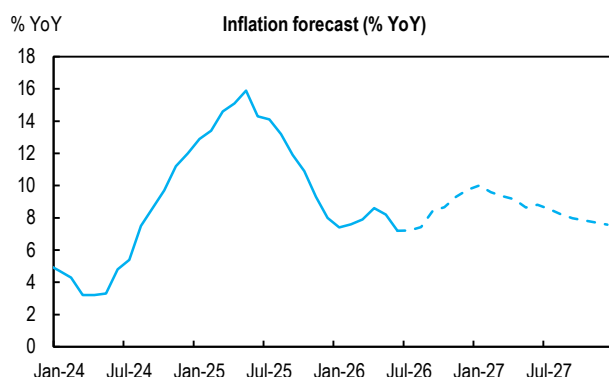
In June the headline inflation surprised to the downside and fell to 7.2% YoY from 8.2% in May. The key driver of the surprise was a drop in food prices, where the official data showed a fall by 0.8% MoM, below the usual seasonal pattern and significantly less than in the corresponding period of 2025 (+1.4% MoM). Simultaneously fuel prices declined 1.6% MoM, reflecting global oil price trends in June. In contrast to the improvement in food and fuels components, the core inflation, which excludes these categories, rose slightly to 8.1% from 7.9%.

Looking ahead, we expect headline CPI to move higher. Our base case assumes acceleration in food prices, reflecting higher costs related to energy, logistics and labour. Weaker currency may also play an important role in sustaining inflation above the central bank's target. However, the actual inflation path seems highly dependent on external factors, especially developments in the Middle East. If the resolution of US-Iran war leads to a sharp drop in oil prices, the rise in inflation in Ukraine can be shallower than currently assumed. ([link](#))

We continue to expect the central bank to keep interest rates on hold in the coming months. ([link](#)). In June the National Bank of Ukraine (NBU) maintained its policy rate at 15%. The NBU believes that inflation “*will stay close to the current level in the coming months*” but “*will accelerate at the end of the year*”. In our view as long as inflation forecasts point to its increase in the coming months, the policymakers will stick to cautious rhetoric and will keep rates at an elevated level to ensure high positive real interest rate and thus minimize the risk of savings dollarization. Our base case assumes stabilization of the policy rate at the current level for next twelve months. While rate hikes cannot be entirely ruled out, we believe such a scenario would likely require a further increase in oil prices beyond what is already factored into our base case projections.

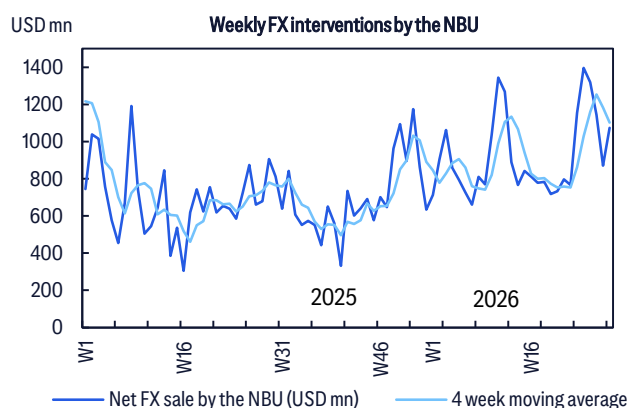
The currency depreciation trend that started in 4Q25 continued also in June-July. The overall FX adjustment was gradual but the FX move between September and July implies approximately 11% weakening in annualized terms. In our view, the gradual and orderly currency depreciation is a welcome phenomenon, given the large current account deficit. The continued inflow of international aid allows the NBU to be active in the FX market. Over last four weeks the average weekly net sale of hard currencies by the central bank exceeded USD 1.1bn vs. less than 0.8bn in the corresponding period of 2025.

Figure 107. Inflation is likely to rise in the coming months



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Source: Haver Analytics, Citi Research Forecasts

Figure 108. In recent months the central bank has become more active in the FX market



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Source: Citi Research, Haver Analytics

Figure 109. Ukraine Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	154	157	200	162	181	191	214	223	234
Population, mn	41.7	41.4	41.0	34.5	34.0	33.3	33.3	33.3	33.3
Real GDP, yoy avg	3.2	-3.8	3.4	-28.8	5.5	3.2	1.8	1.2	3.7
Private consumption growth % yoy	10.9	1.7	6.7	-27.5	4.3	8.5	7.5	3.0	4.0
Real investment growth % yoy	-6.9	-34.3	64.4	-38.3	45.8	16.8	15.5	10.0	14.0
Real export growth, % yoy	7.3	-5.8	-8.6	-42.0	-5.9	10.3	-12.8	4.0	7.0
Real import growth, % yoy	5.7	-6.4	14.2	-17.4	8.9	12.5	8.3	7.2	7.2
Net export contribution to growth	1.1	-0.2	-9.3	-9.8	-6.3	-3.2	-8.6	-3.1	-2.5
Unemployment, % of labour force	8.2	9.5	9.8	20.6	18.2	13.1	11.5	10.0	9.5
External (US\$bn)									
Current account	-4.1	4.2	-5.5	6.2	-10.8	-16.9	-34.2	-47.0	-43.3
% of GDP	-2.7	2.7	-2.7	3.8	-5.9	-8.9	-16.0	-21.0	-18.5
Trade balance	-14.3	-7.8	-8.2	-15.3	-30.3	-33.0	-51.3	-46.6	-44.0
FDI, net	5.2	-0.1	7.5	0.0	4.4	3.7	1.7	9.8	13.8
External debt	121.7	125.7	129.7	131.1	161.6	180.6	236.7	327.0	0.0
Short-term debt	15.9	16.5	16.3	8.1	9.5	10.9	13.6	19.5	0.0
International reserves	25.3	29.1	30.9	28.5	40.5	43.4	49.3	38.3	38.3
Public Finances, % of GDP									
Consolidated government balance	-2.2	-5.3	-3.4	-16.1	-20.1	-17.6	-18.6	-15.1	-7.7
Consolidated gov primary balance	0.8	-2.4	-0.6	-13.0	-16.3	-13.7	-14.6	-10.7	-3.1
Public debt	50.2	60.4	49.0	77.7	83.3	91.1	101.3	112.5	113.6
External public debt	29.2	36.0	28.6	49.8	58.3	65.9	77.4	88.9	91.3
Prices									
CPI, %yoy, eop	4.1	5.0	10.0	26.6	5.1	12.0	8.0	9.3	7.6
CPI, %yoy, avg	7.9	2.7	9.4	20.2	13.2	6.4	12.8	8.0	8.3
UAH/US\$, eop	23.70	28.34	27.28	36.92	38.15	42.01	42.18	46.46	50.29
UAH/US\$, avg	25.75	26.91	27.26	32.19	36.82	40.14	41.69	44.57	48.30
Policy Interest Rate, % eop	13.50	6.00	9.00	25.00	15.00	13.50	15.50	15.00	13.00
Long-term yield, % eop	-	-	-	-	-	-	-	-	-
Nominal wages, % yoy	18.5	10.4	20.9	6.0	17.1	15.6	12.4	9.0	-
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	2.8	-0.6	1.0	1.2	1.7	3.4	4.0	3.8	3.5
CPI, %yoy, avg	9.3	7.6	8.1	7.5	8.8	9.2	8.3	8.0	7.7
UAH/US\$, eop	42.18	43.78	44.84	45.55	46.46	47.39	48.34	49.31	50.29
Policy interest rate, % eop	15.50	15.00	15.00	15.00	15.00	15.00	15.00	14.00	13.00

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Note: Forecasts for many variables have been suspended due to the military conflict.

Source: Citi Research, National Sources

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Four and a half months into the conflict, the diplomatic framework that ended full-scale hostilities in June is under its most severe strain yet. The Islamabad Memorandum of Understanding established a 60-day ceasefire. It also provided for reopening the Strait of Hormuz, the lifting of the US naval blockade, the resumption of Iranian oil sales and the phased release frozen Iranian assets in stages, while a permanent settlement covering Iran's nuclear program was negotiated. That framework held only briefly. Attacks on commercial vessels in early July prompted successive rounds of US strikes, leading President Trump on 8 July to declare the memorandum over ([ABC News](#)). The Revolutionary Guard declared the Strait closed until further notice and Washington reinstated its naval blockade on 14 July ([NPR](#)). Tehran responded by declaring that it no longer considers itself bound by the agreement, citing what its Foreign Ministry called open US violations ([CBS News](#), 15 July). The fighting has since widened on both sides. The US has mounted a sustained air campaign, framed as an effort to degrade Iran's capacity to target shipping, which President Trump has pledged to intensify until the Strait reopens ([Bloomberg](#), 16 July). Iranian missile and drone attacks has reached Qatar, Kuwait, Jordan and Bahrain, drawing Gulf air defenses into action over their own capitals ([ABC News](#), 20 July). While channels of engagement appear to remain open, recent developments suggest to us the balance of risk has shifted toward a longer disruption than seemed likely at end-June.

Our commodities colleagues characterize the current phase as "[escalating to de-escalate](#)". [They maintain the base case](#) that the confrontation resolves as its predecessors did, through a diplomatic settlement and a normalization of the Strait of Hormuz flows, with a successor understanding expected, as of mid-July, within one to two weeks. Their Brent forecasts are unchanged: from USD96.7/bbl in June, they see USD75 by September 2026 and USD70 by year-end, easing to USD65 across 2027. This profile is below both the consensus forecast and the forward curve. Consensus expectations are for Brent to average USD 80/bbl in 3Q26 and USD 75/bbl in 4Q26, remaining at USD 75/bbl through mid-2027 before gradually easing to USD 70/bbl. By comparison, the forward curve, as of 17 July, ranges from USD 83/bbl for 3Q26 to USD 74.1/bbl by 4Q27.

The renewed escalation has put the [Strait of Hormuz back at the center of attention](#). Bidirectional commercial crossings of the strait averaged 112 vessels per day over January and February, of which 63 were tankers and 50 dry cargo carriers. Traffic collapsed to negligible levels in early March and stayed minimal through May. Crossings then rebuilt steadily after the ceasefire, reaching 57 on June 24 and running close to 30 per day around the turn of the month. The recovery faded as hostilities resumed: *crossings fell to single digits after Iran's closure order of 12 July and declined to 5 on July 16 and just 2 on July 17, below 2% of the pre-conflict average*. The risks may also be spreading beyond the strait itself. There are reports suggesting that Iran's Houthi allies in Yemen may close the Bab el-Mandeb should the US strike Iranian power infrastructure ([TIME](#), 15 July). In our view, this possibility warrants concern for the Gulf. With Hormuz restricted, the Red Sea has become the main remaining outlet and KSA now routes around 70% its energy exports through Yanbu on its Red Sea coast ([Newsweek](#), 16 July). A simultaneous disruption of both waterways would close the region's two principal export routes at once.

Turning to recent economic developments in the region, the June crude production data point to a partial and uneven recovery in oil-sector activity. On OPEC secondary-source estimates, Saudi Arabia produced 6.9mb/d, still 32% below February's 10.1mb/d and broadly in line with East-West pipeline throughput plus domestic refining; Kuwait, with no alternative export route, doubled from May

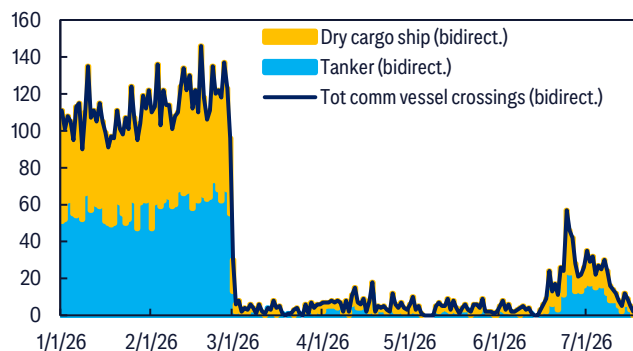
to 1.45mb/d yet remains 44% below its pre-war 2.6mb/d; and Bahrain, at 0.06mb/d, is largely shut in. Producers with access to open water tell the opposite story: UAE output, at 3.8mb/d, now exceeds its pre-crisis 3.4mb/d, helped by maximized Fujairah loadings and by Abu Dhabi's departure from OPEC in May; Oman has lifted production to 0.93mb/d from 0.81mb/d. The pattern since February is clear: *regional output fell by roughly a third to the April trough and the recovery has been confined to barrels with a physical route out*. In our view, June production is therefore a function of export logistics rather than upstream capacity, leaving the month's gains directly exposed to the renewed closure of the Strait.

We next examine the June PMI readings to assess the state of non-oil activity in the region. Saudi Arabia, at 53.3, is the only economy in solid expansion; the UAE, at 50.8, sits barely above the neutral mark; Qatar (47.6) and Kuwait (46.4) remain in contraction. That ranking is broadly in line with the [framework we set out previously](#). The UAE, the most exposed economy in the region on every dimension we examined, has eroded month after month from 55.0 in February despite the most resilient oil exports. Saudi Arabia's conflict-sensitive sector share is only eight points lower, but its insulation runs through demand: predominantly domestic retail activity, government consumption above a quarter of GDP, and the region's lowest import intensity. The index accordingly dipped only to 48.8 in March and was back in expansion by April. Qatar's plunge to 38.7 in March reflected the LNG income shock rather than its non-oil structure and its construction-heavy, low-consumption economy has ground back gradually since. Kuwait, near 46 for four consecutive months, illustrates the income channel: the lowest conflict-sensitive share in the GCC, but the deepest export shock. Bahrain's Business Confidence Index fell from 96.1 in 4Q'25 to 83.1 in 1Q'26, within sight of its pandemic trough and recovered only to 85.3 in 2Q'26, consistent with the [framework's identification of Bahrain](#), with the region's second-highest tourism contribution and limited fiscal room, as the economy where perceived and actual vulnerability diverge most.

While the activity data show where the shock has so far landed, consensus projections indicate where forecasters expect it to settle. With this in mind, we focus on the revisions of forecasts between February and July. The growth downgrades scale with dependence on the Strait. Qatar, whose LNG exports transit Hormuz in their entirety, has swung from projected growth of 5.0% to a contraction of 9.6%, the deepest revision in the region. Kuwait, with no alternative export route, has moved from 3.2% to a contraction of 6.1% and Bahrain from 2.9% to a contraction of 3.3%. At the other end, the two producers with substantial export routes outside the Strait retain positive growth: Oman's downgrade, from 3.1% to 2.5%, is the mildest in the region and KSA is still expected to expand by 1.5%, down from 4.3%. The UAE is the instructive case in between. Despite the most resilient oil exports in the region, its forecast has been cut from 4.8% to broadly zero, the pattern the [non-oil framework](#) would predict, with tourism, trade and logistics absorbing the shock even as barrels keep moving. World growth, trimmed only from 2.9% to 2.7%, confirms that the real shock is regionally concentrated even as its price effects are global.

Our central scenario envisions a significant deceleration in 2026 growth, with the region's overall GDP flat this year, after expanding by 4.5% in 2025. Oil GDP growth is projected to swing from 4.3% in 2025 to a contraction of 5.8% this year due mainly to supply disruptions associated with the conflict. Concurrently, non-oil growth is forecast at 2.4%, down from 4.3% last year, as regional tensions weigh on conflict-sensitive service sectors. The risks around the outlook run chiefly through the strait: our forecasts incorporate the commodities team's [base case of an eventual settlement and normalizing flows](#). A longer closure or a spread of the conflict to the Red Sea represents a significant downside risk to our forecasts.

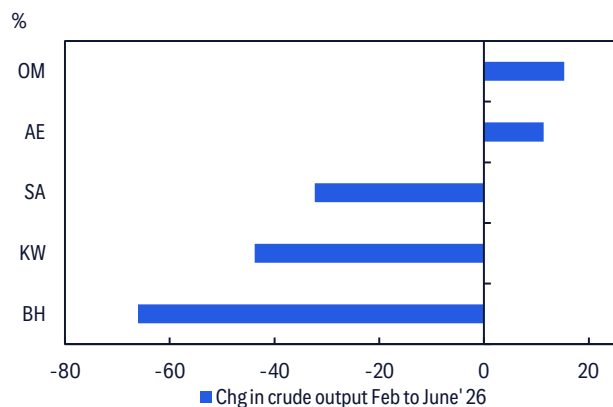
Figure 110. All eyes are back on the Strait of Hormuz ...



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Source: Citi Research, Bloomberg

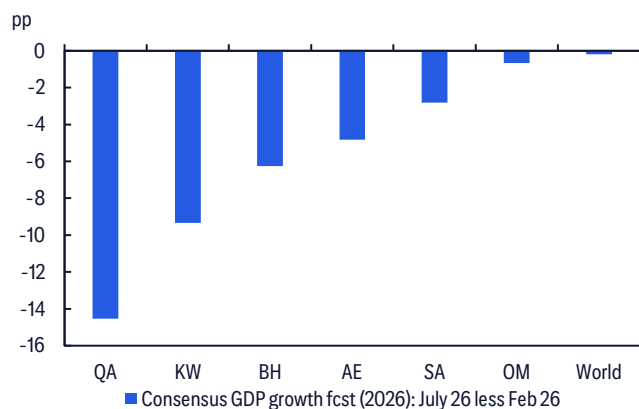
Figure 112. A partial, uneven recovery in crude output...



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Source: Citi Research, Haver Analytics

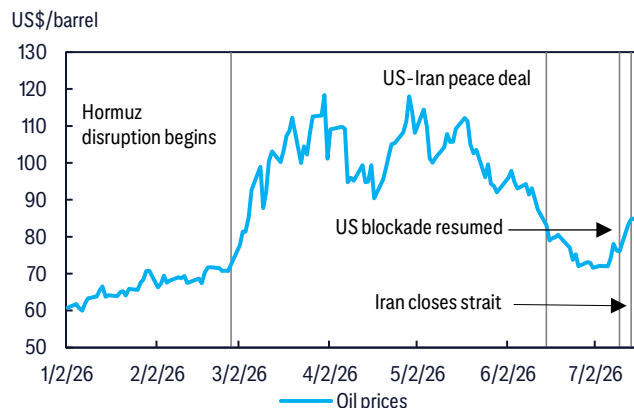
Figure 113. Growth downgrades track SoH dependence...



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Source: Citi Research, FocusEconomics

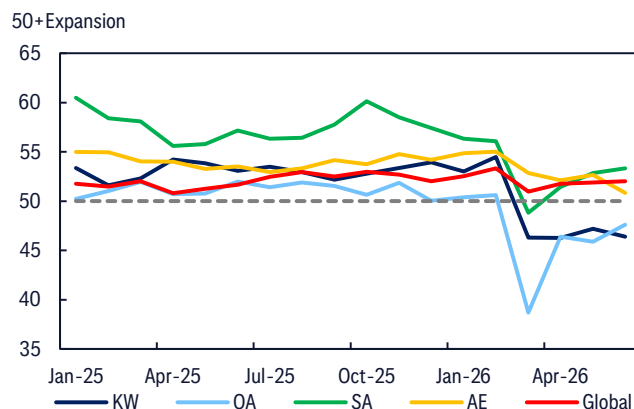
Figure 111. ...and oil prices have turned higher.



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Source: Citi Research, Bloomberg

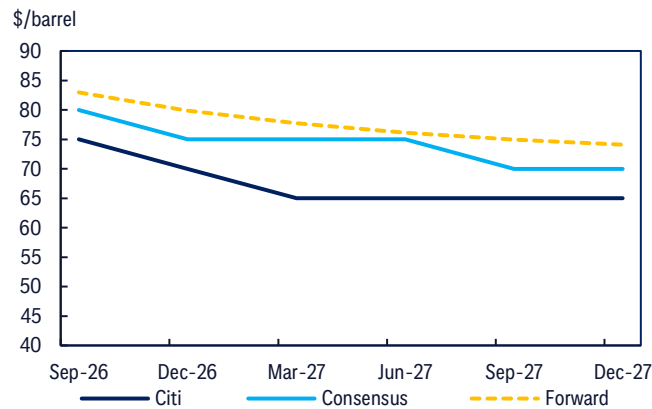
Figure 114. ...while non-oil activity finds its footing.



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Source: Citi Research, Haver Analytics

Figure 114. ... and oil forecasts assume de-escalation



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Source: Citi Research, Bloomberg

Figure 115. GCC Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
BAHRAIN									
Nominal GDP, USD bn	40.4	35.8	40.8	46.5	46.2	47.2	49.0	50.4	51.4
GDP per capita, USD	27,260	24,343	27,148	30,471	29,290	29,717	30,541	30,852	30,949
Real GDP, yoy avg	2.1	-5.9	4.4	6.2	3.9	2.9	3.5	-1.6	4.8
CPI, %yoy, avg	1.0	-2.3	-0.6	3.6	0.1	0.9	-0.1	1.6	2.1
BHD/US\$, avg	0.38	0.38	0.38	0.38	0.38	0.38	0.38	0.38	0.38
Current account	-0.8	-3.2	2.6	6.8	2.7	2.3	2.8	-3.4	2.4
% of GDP	-2.0	-9.1	6.4	14.7	5.8	4.8	5.8	-6.7	4.7
Consolidated government balance	-4.5	-12.4	-6.2	-1.1	-4.5	-5.8	-8.8	-9.7	-8.4
KUWAIT									
Nominal GDP, USD bn	140.9	111.0	148.3	183.5	165.5	160.9	157.2	156.7	163.7
GDP per capita, USD	29,490	23,774	32,054	38,746	34,048	32,258	30,017	29,471	30,406
Real GDP, yoy avg	2.3	-4.8	1.7	6.8	-1.6	-1.5	2.7	-8.3	14.6
CPI, %yoy, avg	1.1	2.1	3.4	4.0	3.6	2.9	2.4	2.6	2.5
KWD/US\$, avg	0.30	0.31	0.30	0.31	0.31	0.31	0.31	0.31	0.31
Current account	17.9	4.8	37.4	63.1	51.4	46.7	35.7	21.1	28.7
% of GDP	12.7	4.4	25.2	34.4	31.1	29.0	22.7	13.5	17.5
Consolidated government balance	-9.2	-31.7	-6.7	11.4	-3.1	-2.1	-15.1	-21.1	-18.1
OMAN									
Nominal GDP, USD bn	88.1	75.9	87.3	109.9	106.2	107.1	109.6	122.6	117.9
GDP per capita, USD	19,069	16,940	19,290	22,264	20,553	20,337	20,449	22,162	20,789
Real GDP, yoy avg	-1.1	-3.4	2.6	8.0	1.4	1.6	2.4	3.4	2.2
CPI, %yoy, avg	0.5	-0.4	1.7	2.5	1.0	0.6	1.0	2.8	1.8
OMR/US\$, avg	0.38	0.38	0.38	0.38	0.38	0.38	0.38	0.38	0.38
Current account	-4.3	-12.6	-4.8	4.0	2.4	3.1	-1.5	9.7	0.2
% of GDP	-4.9	-16.5	-5.5	3.7	2.3	2.9	-1.4	7.9	0.2
Consolidated government balance	-7.7	-15.2	-3.6	2.7	2.3	1.3	-1.6	1.9	-1.7
QATAR									
Nominal GDP, USD bn	176.4	145.8	181.3	237.8	218.8	218.4	215.6	217.6	223.8
GDP per capita, USD	63,008	51,464	65,988	81,089	71,439	69,492	67,089	66,486	67,377
Real GDP, yoy avg	0.7	-2.7	1.7	4.2	1.5	2.9	1.8	-6.5	11.5
CPI, %yoy, avg	-0.9	-2.5	2.3	5.0	3.1	1.2	0.6	2.3	2.0
QAR/US\$, avg	3.64	3.65	3.65	3.66	3.65	3.65	3.65	3.64	3.64
Current account	4.3	-3.0	26.3	63.1	36.5	37.9	31.9	13.7	16.6
% of GDP	2.4	-2.0	14.5	26.5	16.7	17.3	14.8	6.3	7.4
Consolidated government balance	1.1	-2.0	0.2	10.3	5.4	0.7	-1.0	-5.9	-1.8
SAUDI ARABIA									
Nominal GDP, USD bn	888.9	768.0	982.7	1,239.1	1,218.6	1,254.1	1,273.6	1,396.3	1,470.1
GDP per capita, USD	29,567	24,339	31,921	38,510	36,157	35,528	35,448	38,201	39,552
Real GDP, yoy avg	1.7	-3.8	6.5	12.0	0.5	2.6	4.6	0.9	7.0
CPI, %yoy, avg	-2.0	3.2	3.1	2.5	2.5	1.5	2.0	2.0	2.3
SAR/US\$, avg	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75
Current account	32.4	-34.7	44.9	145.3	25.9	-16.3	-32.7	-14.2	-15.8
% of GDP	3.6	-4.5	4.6	11.7	2.1	-1.3	-2.6	-1.0	-1.1
Consolidated government balance	-4.0	-10.2	-2.0	2.2	-1.8	-2.5	-5.8	-6.6	-5.0
UNITED ARAB EMIRATES									
Nominal GDP, USD bn	433.9	357.2	422.4	511.4	522.6	581.0	614.4	690.3	712.8
GDP per capita, USD	45,615	38,449	42,840	49,704	48,941	51,439	52,870	58,230	59,205
Real GDP, yoy avg	1.3	-8.7	4.6	7.5	4.3	6.6	6.2	1.7	6.5
CPI, %yoy, avg	-1.9	-2.1	0.2	4.8	1.6	1.7	1.3	3.2	2.2
AED/US\$, avg	3.67	3.67	3.67	3.67	3.67	3.67	3.67	3.67	3.67
Current account	37.3	21.1	48.0	66.5	72.8	86.9	81.7	49.0	63.1
% of GDP	8.6	5.9	11.4	13.0	13.9	15.0	13.3	7.1	8.8

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Other Africa

Ghana

The overall macroeconomic picture improved markedly in Ghana in 2025 helped by major positive external terms of trade boost, notably from high global gold prices. Moreover, despite ongoing global economic uncertainty, growth seems set to remain robust, the current account in a large surplus and as highlighted in the November 13, 2026 budget presentation, the fiscal deficit now seems under control. As such, the policy focus in 2026 is likely to be on monetary policy, and whether the Bank of Ghana has now largely completed its current cutting cycle with the Prime Lending Rate (PLR) now having been reduced to 14% at the March MPC meeting. This is because although inflation looks set to remain at very low levels in 1H 2026, further cuts in the PLR will have to focus on the expected pick-up -normalisation - in inflation in 2H 2026.

In addition, there is likely to be considerable focus on the BoG's new exchange rate regime. The goal of this is to engage in "market-neutral intermediation", or to channel foreign exchange inflows to the central bank, critically from the Gold Purchase Programme, into the market in a transparent way without influencing the currency's fundamental directional trend. At this point in time, we think the directional trend is still one of depreciation to levels of around GHS12:US\$1.

Kenya

We think that given its current range of financing options, the government is unlikely to agree a new IMF programme prior to the August 2027 elections. This is because it is unlikely to be willing to make significant concessions to the IMF over the securitized lending arrangements which it is developing to build out new infrastructure given that it has struggled to cut the fiscal deficit in recent years and this is unlikely to change with the elections looming.

Kenya is exposed to higher global oil and fertilizer prices, with oil accounting for around 25% of the country's import bill. Moreover, tourist arrivals, exports and remittances can potentially be impacted by events in the Middle East. Although the government delayed raising the petrol price initially, it has now started to act, which we think reinforces our view that inflation will pick up into 2H 2026, in fact close to the upper end of the CBK target range of 2.5% to 7.5%. Coupled with the uncertain global macroeconomic backdrop we think this means that the Central Bank of Kenya (CBK) will make no further cuts to Central Bank Rate (CBR) in 2026, but it is also unlikely to be forced into raising the CBR. However, this may also depend on whether the Kenyan shilling (KES) comes under some pressure as the year progresses as the current account deficit widens, but at this point in time it has continued to remain stable.

Tanzania

After further depreciation in Q1 2026, we are now seeing signs of the Tanzanian shilling stabilizing at levels of just over TZS2,600:US\$1. Moreover, further weakness this year should be limited by a constrained post-election fiscal deficit, while the high global gold price should support the current narrowing of the current account deficit that has started to emerge even with a higher oil price. Perhaps the bigger question is whether we will see some appreciation towards the end of 2026 as the increasingly important cashew nut harvest earnings hit the foreign exchange market (see [Africa Weekly: Tanzania: The re-emergence of shilling seasonality and unanswered questions](#)).

Although inflation remains low in Tanzania, we may see the Bank of Tanzania (BoT) change its current monetary policy stance. Having introduced its new policy rate, the Central Bank Rate (CBR) in January 2024, the last move was a modest cut to 5.75% in July 2025. This could be reversed in 2H 2026 as the BoT seeks to reverse an overly loose monetary policy in recent years, although a modest rise in inflation in 2H 2026 may also act as the likely justification for the move.

Uganda

Having seen outflows of foreign portfolio investment in mid-2026 due to the conflict in the Middle East these have now started to reverse. This initially drove some Uganda shilling (UGX) depreciation, but it now seems to be appreciating towards levels of UGX3,650:US\$1. The Bank of Uganda (BoU) did not intervene in the market despite the outflows, and the authorities have also allowed the petrol price to partially adjust upwards. This may be perfectly logical given the current low level of inflation, notably food price inflation, and the current tight monetary policy stance, and we expect no quick response from the BoU. The Central Bank Rate (CBR) is currently 9.75% although inflation has consistently been under 4% YoY since early 2025.

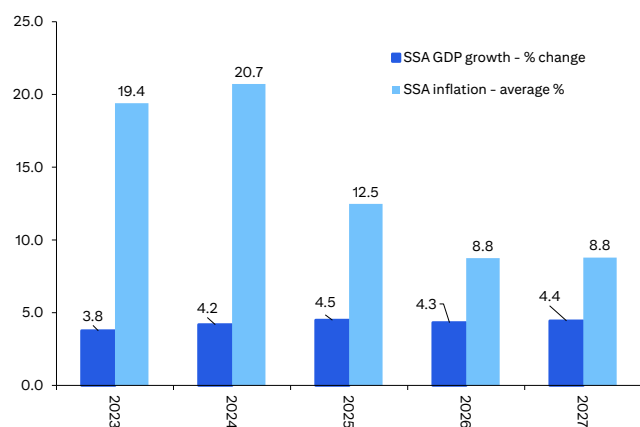
Whether the fallout from the conflict pushes the government to reach a new agreement more quickly with the IMF is less clear. We still think the current government will seek to move onto a new programme with the IMF based on some fiscal consolidation. This it hopes will crowd in new external finance, notably from multilateral lenders, which should mean that the government can significantly reduce domestic borrowing levels which should help drive down its current high interest bill and help reinforce fiscal consolidation. However, the likely start of oil production in late 2026 or early 2027 could complicate the negotiations given the potential boost revenue and the significant impact it will have on real GDP growth this year and next.

Zambia

The passing of a supplementary budget in early May means that the original plan to run a 2.1% of GDP fiscal deficit in 2026 is now unlikely. However, we still think the deficit will not be huge, even with national elections scheduled to be held in August. Moreover, we also think that ongoing rises in copper production and high copper prices will more than offset the recent rises in the oil price, meaning that the current account will still move into a surplus over the next few years. Coupled with good rains, and a likely record harvest this year, these two factors will also help to push up GDP growth, significantly helped by the normalization of hydroelectricity production with the filling of key dams happening much faster after the 2024 drought than expected due to the high rainfall levels.

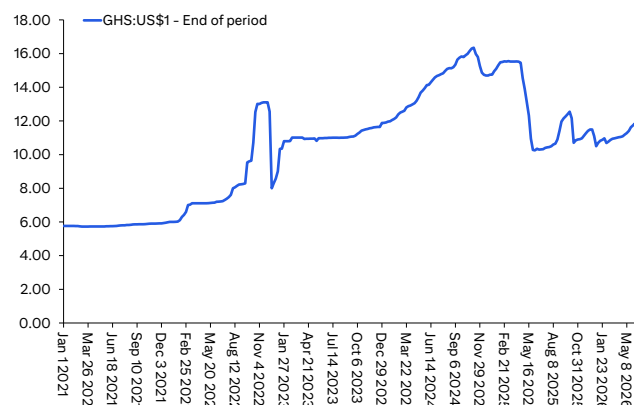
The Bank of Zambia (BoZ) has cut its Monetary Policy Rate (MPR) twice in 2026 from 14.25% to 13.25%. However, it is now likely to delay further cuts until later this year with the looming elections and the uncertain global economic backdrop. At this point in time, we think that inflation will largely remain in the 6-8% range in 2H 2026. Given the fiscal and current account backdrop, notably the high global copper price and rising production continuing to offset the higher oil price, and the rise in foreign exchange reserves in recent years, we do not expect to see significant pressure on the kwacha, which we now think could be in a prolonged period of broad stability, with volatility, somewhat similar to that last seen in 2016-18.

Figure 116. We expect SSA growth to remain relatively robust in 2026, while inflation continues to fall back



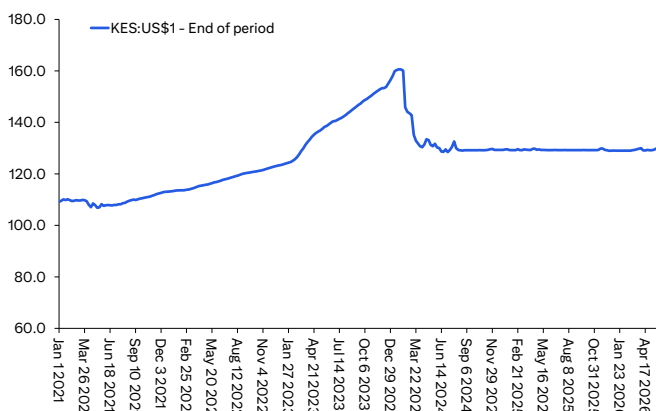
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Source: Citi Research, Haver Analytics

Figure 117. We think the cedi appreciation in 2025 was too aggressive, as shown by ongoing pressure to depreciate



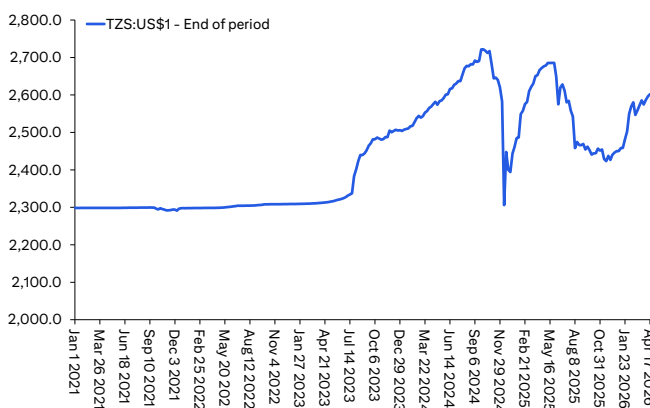
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Source: Citi Research, Haver Analytics

Figure 118. We expect broad Kenyan shilling stability in 2H 2026



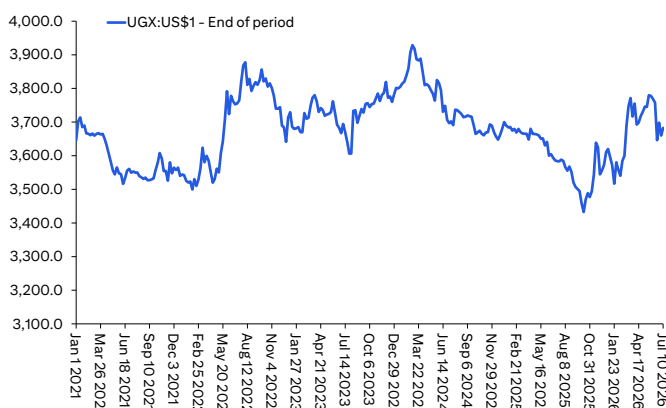
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Source: Citi Research, Haver Analytics

Figure 119. Despite recent Tanzanian shilling volatility, we expect more stability in 2H 2026 after initial weakening



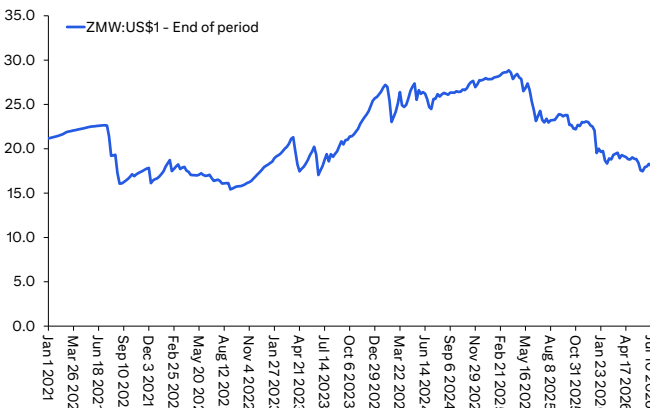
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Figure 120. The Uganda shilling adjustment in March reflects outflows of FPI, but flows are now stabilising



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Figure 121. Moving into a current account surplus should be kwacha supportive in 2H 2026 despite August elections



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Source: Citi Research, Haver Analytics

Figure 122. Other Africa Economic Indicators

	2019	2020	2021	2022	2023	2024	2025F	2026F	2027F
GHANA									
Nominal GDP, USD bn	68.3	70.0	79.5	73.8	76.1	8.3	11.4	14.0	14.6
GDP per capita, USD	2,168	2,177	2,422	2,204	2,231	240	322	387	-
Real GDP, yoy avg	6.5	0.5	5.1	3.1	3.1	6.0	6.0	5.6	5.8
CPI, %yoy, avg	7.1	9.9	10.0	31.3	38.1	22.9	14.6	4.9	9.1
Policy Interest Rate, % eop	16.00	14.50	14.50	27.00	30.00	27.00	18.00	13.00	13.00
GHS/US\$, avg	5.34	5.73	5.92	8.47	11.66	14.34	12.24	11.35	12.48
Current account	-1.9	-2.1	-2.5	-1.5	-0.7	1.6	9.4	6.5	3.9
% of GDP	-2.7	-3.0	-3.2	-2.1	-1.0	19.2	82.2	46.5	26.7
Consolidated government balance	-4.3	-10.9	-9.2	11.8	-3.4	-6.2	-1.4	-2.2	-3.2
KENYA									
Nominal GDP, USD bn	100.4	100.7	109.7	113.4	107.3	120.4	136.0	150.1	164.3
GDP per capita, USD	1,970	1,936	2,070	2,099	1,947	2,142	2,372	2,568	2,757
Real GDP, yoy avg	5.1	-0.3	7.6	4.8	5.7	4.7	4.6	4.9	5.2
CPI, %yoy, avg	5.9	5.3	6.1	7.7	7.7	4.5	4.1	6.0	6.3
Policy Interest Rate, % eop	8.50	7.00	7.00	8.75	12.50	11.25	9.00	8.75	8.75
KES/US\$, avg	102.0	106.4	109.6	117.8	139.3	134.1	129.3	129.8	132.2
Current account	-5.0	-4.6	-6.0	-5.8	-3.3	-1.6	-3.2	-5.3	-4.8
% of GDP	-5.0	-4.6	-5.5	-5.1	-3.1	-1.3	-2.4	-3.5	-2.9
Consolidated government balance	-7.4	-8.1	-7.2	-5.8	-5.5	-5.5	-6.2	-6.0	-5.7
TANZANIA									
Nominal GDP, USD bn	58.2	62.8	67.5	73.2	77.0	79.2	90.7	97.7	105.6
GDP per capita, USD	973	1,018	1,062	1,118	1,142	1,141	1,270	1,330	1,398
Real GDP, yoy avg	7.0	4.8	4.9	4.7	5.2	5.5	5.9	6.0	5.9
CPI, %yoy, avg	3.5	3.3	3.7	4.4	3.8	3.1	3.3	4.3	4.1
Policy Interest Rate, % eop	7.00	5.00	5.00	5.00	5.00	6.00	5.75	6.50	6.00
TZS/US\$, avg	2,307	2,315	2,315	2,326	2,420	2,612	2,557	2,598	2,643
Current account	-1.3	-1.5	-2.4	-5.4	-3.0	-2.4	-2.0	-2.7	-2.4
% of GDP	-2.3	-2.3	-3.5	-7.4	-3.8	-3.0	-2.2	-2.8	-2.3
Consolidated government balance	-1.5	-4.1	-3.6	-4.7	-4.2	-3.5	-3.2	-3.3	-3.5
UGANDA									
Nominal GDP, USD bn	37.9	38.1	42.7	48.2	52.0	57.2	66.2	71.6	79.9
GDP per capita, USD	881	858	931	1,019	1,071	1,146	1,291	1,360	1,479
Real GDP, yoy avg	7.6	-1.2	5.6	6.3	4.9	6.0	6.8	7.1	7.0
CPI, %yoy, avg	2.1	2.8	2.2	7.2	5.4	3.3	3.6	3.7	5.2
Policy Interest Rate, % eop	9.00	7.00	6.50	10.00	9.50	9.75	9.75	9.75	9.00
UGX/US\$, avg	3,705	3,717	3,585	3,687	3,725	3,756	3,601	3,684	3,702
Current account	-2.6	-3.6	-3.6	-4.1	-3.6	-4.6	-4.3	-4.1	-3.5
% of GDP	-7.0	-9.4	-8.5	-8.4	-7.0	-8.0	-6.5	-5.7	-4.4
Consolidated government balance	-5.8	-8.3	-8.2	-6.0	-5.1	-4.2	-6.9	-5.8	-4.6
ZAMBIA									
Nominal GDP, USD bn	23.3	18.2	22.2	29.2	27.6	25.3	28.7	43.6	50.1
GDP per capita, USD	1,266	960	1,141	1,459	1,341	1,197	1,323	1,956	2,191
Real GDP, yoy avg	1.4	-2.8	4.6	4.7	5.3	3.7	3.8	4.3	4.7
CPI, %yoy, avg	9.2	15.7	22.0	11.0	10.9	15.0	14.0	7.1	9.6
Policy Interest Rate, % eop	11.50	8.00	9.00	9.00	11.00	14.00	14.25	12.50	12.50
ZMK/US\$, avg	13	18	20	17	20	26	25.05	18.55	18.44
Current account	0.2	2.1	2.6	1.1	-0.8	-1.1	-1.0	0.8	1.8
% of GDP	0.6	11.8	11.8	3.7	-3.0	-4.4	-3.5	1.8	3.6
Consolidated government balance	-9.4	-13.8	-8.1	-7.7	-5.5	-3.5	-3.9	-4.4	-3.2
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GHS/US\$, eop	10.50	10.97	11.33	11.60	11.80	12.20	12.60	12.70	12.75
KES/US\$, eop	129.00	129.95	129.40	130.50	130.75	131.50	132.00	133.00	133.25
TZS/US\$, eop	2,460	2,595	2,630	2,640	2,610	2,640	2,645	2,650	2,650
UGX/US\$, eop	3,620	3,756	3,702	3,700	3,715	3,750	3,700	3,685	3,685
ZMK/US\$, eop	22	19	18.24	18.05	18.20	18.30	18.50	18.50	18.55

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Source: Citi Research, National Sources

Latin America

Argentina

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■ **Summary view** – Despite positive domestic trends (including fiscal consolidation, falling inflation, rising export and reserves) Argentina faces significant exogenous risks, as global conflicts could raise interest rates and restrict capital market access for upcoming debt maturities and energy investments. Politically, while the government builds alliances with governors ahead of the 2027 elections, analysts warn that securing re-election will ultimately depend on a swift recovery in consumption and labor-intensive sectors.

According to INDEC, monthly activity estimator (EMAE) fell 1.5% MoM in April, breaking its recovery streak despite a 1.6% YoY increase. The most concerning note was the monthly decline, as it broke a streak of positive recovery in economic activity. This decline highlights a sharp sector asymmetry: while primary sectors like mining (+17.1% YoY) and agriculture (+10.9% YoY) show double-digit growth, employment-intensive sectors like manufacturing (-2.9% YoY) and trade (-3.2% YoY) continue to contract due to weak household consumption. Nevertheless, government officials remain confident that recovering real wages due to lower inflation, renewed credit, and public works will drive a consumption rebound starting in 3Q26.

In June, the National Public Sector recorded a primary deficit of ARS 696.8MM and a financial deficit of ARS 1.024MM, driven by mid-year bonus (aguinaldo) payments and postponed income tax deadlines. While private analysts estimate that June performance missed IMF targets when excluding extraordinary privatization revenues, the first half of the year still closed with a primary surplus of 0.6% of GDP and a financial surplus of 0.1% of GDP.

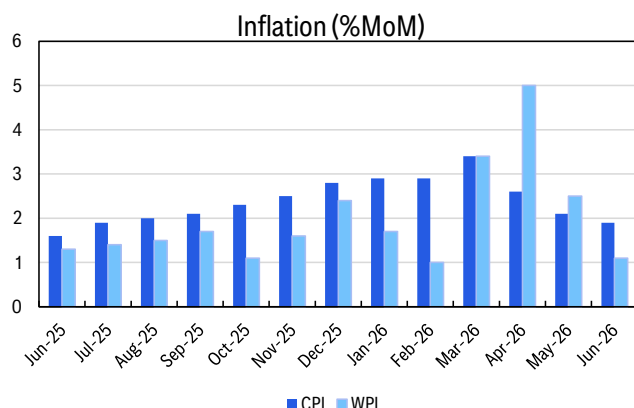
June inflation slowed for the third consecutive month to 1.9% (the lowest rate since August 2025) bringing year-to-date inflation for the first half of the year to 16.8%, while May wholesale prices stood at 1.1%. Core inflation dropped to 1.6%, with Tourism and Culture showing the sharpest monthly increase (4.2%) and Clothing and Footwear the smallest (0.4%). With year-over-year inflation at 33.5%, this continuing downward trajectory will continue in the near term, so we maintain our CPI forecast of 30% by year-end 2026.

The trade balance is projected to be positive by more than US\$ 20 billion in 2026. (Buenos Aires Herald, 21 July). According to analysts' projections, exports of goods and services are expected to reach a historic record, exceeding US\$100 Bn. We must not fail to note that by 2030, energy and mining exports are expected to exceed US\$45, surpassing agriculture as the main export sector. The important thing is that not only does the generation of foreign exchange increase, but energy exports contribute to greater stability in exports by reducing dependence and elasticity on agricultural prices, harvest periods, and exchange rate fluctuations. ([link](#), 21 July)

To clear doubts over upcoming debt maturities, the government announced a dollar financing program for 2026/27 boosting sovereign bonds (Reuters, 6 July). The plan assumes refinances principal with new debt and covers interest via fiscal surpluses. For 2026, expected funding of US\$ 22.9Bn exceeds needs of US\$ 19.2Bn (US\$ 9.3Bn principal, US\$ 8.9Bn interest, US\$ 1Bn BCRA capitalization), leaving a US\$ 3.7Bn surplus, while 2027 needs total US\$ 24.9Bn (US\$ 15.7Bn principal, US\$ 9.2Bn interest). Incorporating assumptions like privatization revenues (US\$ 0.8Bn in 2026; US\$ 1.5Bn in 2027) and excluding potential alternative financing, the program strategically targets achieving investment grade status in a not distant future (Fitch Ratings, 21 July).

Press reports indicate the federal government is seeking agreements with provincial governors to pass congressional reforms and secure electoral alliances for the 2027 re-election, aiming to reinforce governability after recent political noise (Buenos Aires Times, 19 May). Because the potential economic growth generated by these reforms will primarily benefit the provinces, governors are positioned as key stakeholder partners in the national economic program.

Figure 123. Inflation slowed for the third consecutive month



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Source: Citi Research, INDEC, Haver Analytics

Figure 124. Energy exports contribute to stability in exports.



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Source: Citi Research, Ministerio de Economía, Secretaría de Energía y Minería

Figure 125. Argentina Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	446	386	486	633	652	638	681	751	758
Population, mn	44.4	44.9	45.4	45.9	46.4	46.9	47.4	47.9	48.4
Real GDP, yoy avg	-2.0	-9.6	10.5	6.0	-1.8	-1.3	4.0	2.9	3.1
Unemployment, % of labour force	9.8	11.5	8.8	6.8	6.1	7.1	0.0	0.0	0.0
External (US\$bn)									
Current account	-3.5	2.7	6.6	-4.0	-20.8	5.7	-9.6	-4.0	-5.3
% of GDP	-0.8	0.7	1.4	-0.6	-3.2	0.9	-1.4	-0.5	-0.7
Trade balance	18.2	14.6	18.7	12.4	-2.8	22.4	11.3	16.5	14.9
External debt	278.5	270.7	266.5	276.2	287.8	276.1	320.0	308.0	314.0
International reserves	45.2	39.3	39.1	44.2	23.1	31.5	-	-	-
Public Finances, % of GDP									
Consolidated government balance	-4.9	-8.0	-3.6	-3.8	-4.4	0.3	0.2	0.1	0.1
Consolidated gov primary balance	-3.5	-6.4	-2.1	-2.0	-2.7	1.8	1.5	1.4	1.2
Public debt	71.9	87.1	75.0	62.9	56.9	73.7	72.0	75.0	73.5
Prices									
CPI, %yoy, eop	53.8	36.1	50.9	94.8	211.4	117.8	31.5	29.5	25.5
CPI, %yoy, avg	52.2	36.4	51.4	91.8	172.8	154.4	41.9	30.5	27.0
ARS/US\$, eop	59.87	84.09	102.69	176.75	808.48	1031.00	1451.50	1676.00	1977.00
ARS/US\$, avg	46.58	69.92	94.90	127.34	261.41	910.82	1226.35	1550.00	1753.00
Quarterly Economic Indicators									
GDP, % yoy	4.4	1.1	1.8	2.2	2.9	2.0	1.8	2.5	3.1
ARS/US\$, eop	1451.50	1382.50	1481.25	15235.00	1676.00	1720.00	1840.00	1900.00	1977.00

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■ **Summary view** – We maintain a hawkish view that the Copom will keep the Selic rate unchanged in August, diverging from market expectations of another rate cut. Further de-anchoring in medium/long term inflation expectations, fiscal expansion ahead of elections, and resilient economic activity support a cautious stance on monetary policy.

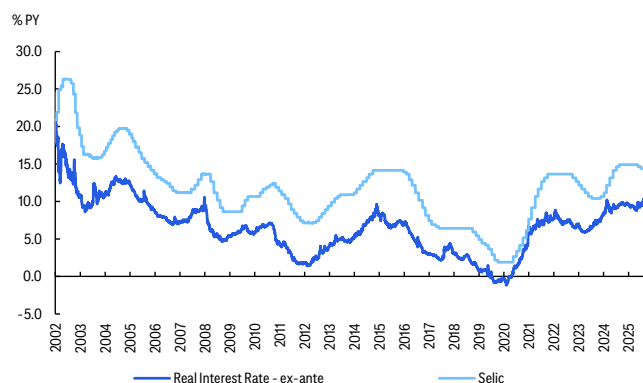
We maintain our more hawkish and out of consensus MoP call of Copom on hold in Aug-26. Median consensus among economists still expects one more 25bps Selic rate cut next meeting, as priced-in in the yield curve. Our call is based on the worrisome dynamic of inflation expectations, which continue to [de-anchor from the 3.0% target for longer horizons \(2027-28YE\)](#), despite the recent lower-than-expected inflation prints. In the meantime, the [recent upward revisions of BCB's 2026 GDP growth forecast and output gap estimate](#) point to no inflationary relief from the activity side. Finally, as [Copom's current communication refuses to indicate a forward guidance for the next MoP meeting](#), we see very limited reasons/incentives for them not to interrupt the current interest rate “calibration cycle” already on August 5th. Looking ahead, the perspective of a less inflationary global outlook combined with some strengthening in the fiscal anchors by the to-be-elected government in Oct-26 point to a resumption of the interest rate cutting cycle in 2H27, driving the Selic rate to 12.50% at 2027YE.

We maintain our lower-than-consensus CPI inflation forecast at 4.8% YoY in 2026YE. Median consensus for 2026YE CPI inflation is at 5.15% and our lower than consensus estimate is mainly related to food prices perspective, given the favorable dynamics [of wholesale prices](#) and also in [BCB's commodity price index](#) (the agricultural subcomponent is at -2.1% YTD). For 2027YE, we maintain our 4.0% forecast (consensus at 4.2%), based on the assumption that the expected Copom's more hawkish posture in the near term will likely interrupt the rising path of inflation expectations.

As the election approaches, the administration continues announcing fiscal and credit measures. The latest large-scale ones were: 1) [“Desenrola 2.0”, a credit](#) program in which the government becomes guarantor of household loans and thus allows debtors to renegotiate with banks for lower interest rates (0.2% of GDP); 2) [the extension of fuels subsidies \(0.2% of GDP in 6 months\)](#); 3) subsidized [credit lines for taxi/app drivers \(0.2-0.3% of GDP\)](#). In this sense, despite the fiscal impact of 1) being contingent on the delinquency rate of those government-backed loans, there is an effect of 3) over interest revenues, consequently heightening the interest rate of public debt. Thus, despite maintaining our 2026YE primary fiscal forecast at -0.6% of GDP, we now see the nominal fiscal result at -9.3% of GDP in the same horizon, pushing up our gross public debt forecast to 83.7% of GDP.

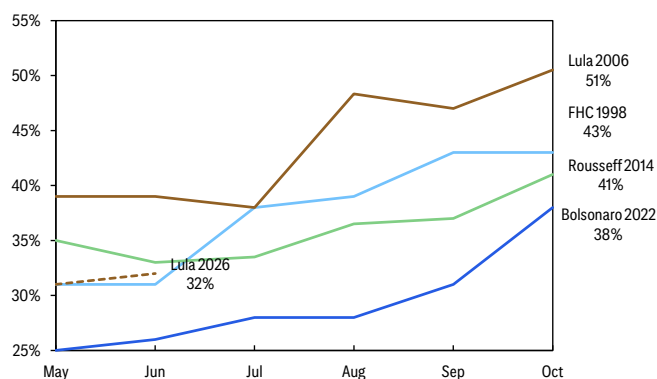
Higher oil prices are improving current account and sustaining a stronger exchange rate in the near term. As elections are getting closer, recent polls showed [some improvement](#) in President Lula's voting intention, in line with his slightly higher approval rate. However, the scores remain tight, limiting the room for the candidates to commit with fiscal measures during the campaign. Meanwhile, the geopolitical tensions increased marginally again (pushing up oil prices and appreciating the exchange rate through terms of trade gains) amid [new tariffs announcement](#). Overall, the fuel trade surplus of Brazilian economy and the rerouting of exports toward other countries might ensure a stronger BRL in the near term relative to the medium/long term. Thus, we see a better current account deficit this year (-2.1% of GDP at 2026YE from -2.9% of GDP in 2025), driven by a quite robust trade surplus (3.1% of GDP from 2.3% of GDP in 2025) with USD/BRL closing this year at around 5.30.

Figure 126. We maintain our more hawkish and out of consensus MoP call of Copom on hold.



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Source: Citi Research, Bloomberg

Figure 127. Incumbents' approval tend to rise in campaign.



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Source: Citi Research, Datafolha

Figure 128. Brazil Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	1,871	1,451	2,452	1,962	2,195	2,152	2,286	2,610	2,675
Population, mn	205.2	206.5	207.9	209.2	210.1	210.9	211.7	212.6	213.4
Real GDP, yoy avg	1.2	-3.3	4.8	3.0	3.2	3.4	2.3	1.8	1.8
Private consumption growth % yoy	2.6	-4.6	3.0	4.1	3.2	5.1	1.3	1.7	1.7
Real investment growth % yoy	1.2	-3.3	23.1	-4.0	-6.8	12.6	4.5	0.3	1.4
Real export growth, % yoy	-2.6	-2.3	4.4	5.7	8.9	2.8	6.2	4.7	3.8
Real import growth, % yoy	1.3	-9.5	13.8	1.0	-1.2	15.6	4.5	1.9	2.0
Net export contribution to growth	-0.6	1.2	-1.4	0.7	1.5	-2.0	0.2	0.4	0.3
Unemployment, % of labour force	12.0	13.7	13.2	9.3	8.0	6.8	5.9	5.5	5.5
External (US\$bn)									
Current account	-64.0	-24.2	-39.4	-42.0	-27.0	-65.3	-66.7	-55.6	-54.1
% of GDP	-3.4	-1.7	-1.6	-2.1	-1.2	-3.0	-2.9	-2.1	-2.0
Trade balance	29.6	35.7	42.3	51.5	92.3	65.8	59.7	81.3	80.9
FDI, net	46.4	41.7	30.2	42.1	37.6	47.8	47.5	60.6	62.1
External debt	446.8	434.7	456.7	440.1	470.2	473.0	-	-	-
International reserves	356.9	355.6	362.2	324.7	355.0	329.7	358.2	371.1	371.1
Public Finances, % of GDP									
Consolidated government balance	-5.8	-13.3	-4.3	-4.6	-8.8	-8.5	-8.3	-9.3	-8.4
Consolidated gov primary balance	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.4	-0.6	-0.3
Public debt	74.4	86.9	77.3	71.7	73.8	76.3	78.6	83.7	88.1
External public debt	9.4	10.8	10.7	9.0	8.8	10.2	-	-	-
Prices									
CPI, %yoy, eop	4.3	4.5	10.1	5.8	4.6	4.8	4.3	4.8	4.0
CPI, %yoy, avg	3.7	3.2	8.3	9.3	4.6	4.4	5.0	4.6	4.1
BRL/US\$, eop	4.02	5.19	5.57	5.29	4.85	6.18	5.48	5.23	5.32
BRL/US\$, avg	3.95	5.16	5.40	5.16	5.00	5.39	5.59	5.18	5.33
Policy Interest Rate, % eop	4.50	2.00	9.25	13.75	11.75	12.25	15.00	14.25	12.50
Nominal wages, % yoy	3.7	6.8	-1.5	14.6	7.8	9.3	9.7	8.0	5.5
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	1.8	1.8	1.8	1.9	1.8	1.5	1.6	1.9	2.3
CPI, %yoy, avg	4.5	4.1	4.6	4.5	4.8	4.7	4.2	4.0	3.9
BRL/US\$, eop	5.48	5.18	5.18	5.14	5.23	5.33	5.34	5.33	5.32
Policy interest rate, %, eop	15.00	14.75	14.25	14.25	14.25	14.25	14.25	13.50	12.50

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Source: Citi Research, National Sources

CCA

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■ **Summary view** – Regional growth remains resilient but increasingly uneven, with the Dominican Republic extending its lead while fiscal and climate-related constraints become more visible elsewhere. Above-target inflation in the Dominican Republic, Canal-related risks in Panama, and persistent energy-sector liabilities are now shaping the region's macro outlook into 2027.

The regional growth story is becoming more differentiated, with domestic demand and external resilience supporting some economies while structural constraints weigh on others. The Dominican Republic continues to outperform, with activity indicators, exports, remittances, and construction pointing to sustained momentum through midyear. Guatemala remains one of the region's steadiest performers, maintaining growth above trend and benefiting from strong remittance inflows and relatively stable domestic conditions. El Salvador also continues to post solid activity figures under a framework of policy continuity. By contrast, Costa Rica's expansion has moderated as free-zone activity cools and currency strength weighs on broader competitiveness, while Honduras continues to face investment challenges despite stable consumption dynamics. Panama remains one of the region's faster-growing economies, but weakening credit demand and softer labor-market indicators suggest domestic conditions are less robust than headline activity data imply.

Inflation has re-emerged as a more important policy concern, led by developments in the Dominican Republic. June inflation accelerated to 5.67% YoY, marking a third consecutive month above the BCRD's target range and reinforcing the case for an extended pause in monetary policy. While core inflation remains more contained, transportation and fuel-related pressures have slowed the disinflation process. Elsewhere in the region, inflation trends remain more manageable. Guatemala continues to operate close to target, and El Salvador's dollarized framework has helped limit volatility. Costa Rica remains below target despite stronger recent monthly readings, while Honduras faces renewed pressure from higher electricity tariffs and persistent energy-sector inefficiencies. The result is a regional inflation picture that remains considerably more benign than in previous cycles, but no longer points toward broad-based monetary easing.

Monetary policy across the region has shifted from calibration toward patience, with central banks increasingly focused on preserving credibility rather than adjusting rates. In the Dominican Republic, resilient growth and persistent inflation argue for maintaining the policy rate unchanged. Honduras faces limited room for accommodation under its IMF-supported framework, while Costa Rica's weaker activity backdrop is offset by exchange-rate considerations and still-complex inflation dynamics. Guatemala retains the greatest policy flexibility given inflation close to target and stable macro fundamentals. Across the region, the combination of resilient demand, lingering inflation risks, and uncertainty regarding global rates supports a prolonged period of policy stability.

Fiscal policy is increasingly defined by country-specific structural constraints rather than cyclical pressures. The Dominican Republic has moved from fiscal reform approval to implementation, with Law 30-26 now shifting attention toward revenue realization and expenditure discipline. However, the electricity sector remains the principal fiscal vulnerability, with subsidy costs continuing to absorb a significant share of budget resources. Costa Rica's fiscal debate has evolved beyond short-term consolidation toward the sustainability of the social security system, with S&P highlighting CCSS liabilities and interest costs as key constraints on future rating improvements. Honduras continues to face the region's largest state-enterprise challenge through ENEE, whose losses remain a significant drag despite progress under the IMF program. The common theme is that fiscal

adjustment is advancing, but structural expenditure pressures remain the binding medium-term constraint.

External accounts remain a source of strength, led by the Dominican Republic's broadening export base and continued remittance growth across Central America.

The Dominican Republic recorded another strong month for external performance, with exports reaching a record USD7.9bn in the first half of the year and remittances exceeding USD6.2bn. Together with tourism inflows, these flows provide one of the strongest external positions in the region. Honduras, Guatemala, and El Salvador continue to benefit from robust remittance growth, supporting consumption and external stability despite a more uncertain global environment. Costa Rica maintains strong external accounts through tourism, services exports, and FDI, while Panama continues to benefit from Canal-related activity. Unlike previous cycles, regional external resilience is not being driven by a single source of FX inflows, providing a stronger buffer against external shocks.

Climate and energy constraints are becoming increasingly important determinants of macro outcomes and sovereign differentiation.

Panama's preparations for potential Canal draft restrictions under a future El Niño event underscore how climate risks can directly affect growth, fiscal revenues, and external accounts. In Honduras, energy-sector losses remain both a fiscal and growth constraint, while in the Dominican Republic the interaction between electricity subsidies and fuel costs continues to create budgetary pressure. These issues increasingly matter because they affect multiple macro variables simultaneously, including inflation, public finances, investment, and growth. Countries with stronger fiscal buffers and more diversified external accounts appear better positioned to absorb these shocks than those already facing structural energy-sector liabilities.

Political developments remain secondary to macro fundamentals but continue to influence financing conditions and investor sentiment. The most important development this month is El Salvador's move toward a third Bukele term, which shifts attention toward the future trajectory of IMF engagement and the broader institutional framework rather than electoral uncertainty itself. Elsewhere, political risks remain relatively contained. The Dominican Republic's focus has shifted toward implementing fiscal reform, while Costa Rica and Panama continue to operate within broadly stable institutional environments. Across the region, investors remain more focused on fiscal execution, energy-sector reforms, and climate resilience than on electoral politics.

Into 2H26, the region's outlook increasingly depends on the interaction between fiscal discipline and climate-related vulnerabilities rather than traditional external shocks.

The Dominican Republic continues to set the pace on growth and external performance, while Costa Rica and Guatemala remain comparatively stable. Panama's exposure to Canal-related climate risks and Honduras's persistent electricity-sector losses stand out as the principal downside stories. The region enters the second half of the year with generally solid macro fundamentals, but the quality of fiscal institutions and the ability to manage energy and climate-related risks are becoming the key differentiators across sovereigns.

Figure 129. CCA Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Costa Rica									
Nominal GDP, USD bn	64.8	62.8	65.6	71.0	87.5	96.7	102.9	110.3	117.0
GDP per capita, USD	12,809	12,294	12,708	13,624	16,637	18,221	19,221	19,696	20,535
Real GDP, yoy avg	2.7	-4.1	8.2	5.5	4.8	4.1	4.6	3.5	3.4
CPI, %yoy, eop	1.5	0.9	3.3	7.9	-1.8	0.8	-1.2	1.2	2.3
Policy Interest Rate, % eop	2.75	0.75	1.25	9.00	6.00	4.00	3.25	3.25	3.25
CRC/US\$, avg	586.6	584.3	621.3	643.5	541.4	515.6	503.8	486.1	482.0
CRC/US\$, eop	571.0	610.4	642.0	591.7	519.6	509.7	497.5	473.7	490.2
Current account	-0.8	-0.7	-2.1	-1.9	-1.1	-0.9	-1.2	-1.5	-1.7
% of GDP	-1.2	-1.0	-3.1	-2.6	-1.3	-0.9	-1.2	-1.4	-1.5
Consolidated government balance	-6.4	-8.0	-5.0	-2.5	-2.7	-3.2	-2.7	-2.5	-2.5
	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Dominican Republic									
Nominal GDP, USD bn	89.1	78.5	94.9	113.5	120.5	124.3	127.4	134.5	143.1
GDP per capita, USD	8,606	7,518	9,003	10,683	11,246	11,512	11,689	12,230	12,895
Real GDP, yoy avg	4.9	-7.9	14.0	5.3	2.2	5.0	2.1	4.1	4.4
CPI, %yoy, eop	3.7	5.6	8.5	7.8	3.6	3.3	5.0	3.9	4.0
Policy Interest Rate, % eop	4.50	3.00	3.50	8.50	7.00	6.00	5.25	5.00	5.00
DOP/US\$, avg	51.3	56.4	57.0	54.9	56.0	59.4	61.6	63.8	65.1
DOP/US\$, eop	53.0	58.2	57.5	56.3	58.0	61.1	63.1	63.9	65.9
Current account	-1.2	-1.3	-2.7	-6.5	-4.4	-4.2	-4.0	-4.2	-4.3
% of GDP	-1.3	-1.7	-2.8	-5.8	-3.7	-3.4	-3.1	-3.1	-3.0
Consolidated government balance	-2.3	-7.6	-2.5	-2.7	-3.1	-3.2	-3.2	-2.9	-2.5
	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
El Salvador									
Nominal GDP, USD bn	26.9	24.9	29.0	31.9	33.6	34.9	36.7	38.2	39.7
GDP per capita, USD	4,399	4,071	4,735	5,190	5,461	5,674	5,971	5,875	6,107
Real GDP, yoy avg	2.4	-7.9	11.9	2.9	3.4	2.6	3.9	2.5	2.4
CPI, %yoy, eop	0.0	-0.1	6.1	7.3	1.2	0.3	0.9	1.5	1.5
SVC/US\$, avg	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
SVC/US\$, eop	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Current account	-0.1	0.3	-1.3	-2.1	-0.4	-0.6	-0.5	-0.6	-0.7
% of GDP	-0.4	1.1	-4.3	-6.7	-1.1	-1.8	-1.4	-1.6	-1.6
Consolidated government balance	-1.8	-8.9	-4.5	-1.7	-4.7	-4.5	-2.8	-2.5	-2.4
	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Panama									
Nominal GDP, USD bn	69.8	57.1	67.4	76.5	83.8	86.5	90.5	95.1	100.8
GDP per capita, USD	16,307	13,157	15,335	17,175	18,584	18,950	19,576	20,664	21,442
Real GDP, yoy avg	3.1	-17.8	16.5	11.0	7.2	2.7	4.4	4.1	4.3
CPI, %yoy, eop	-0.1	-1.6	2.6	2.1	1.9	-0.2	0.4	1.5	1.8
PAB/US\$, avg	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
PAB/US\$, eop	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Current account	-3.3	-0.2	-0.8	0.0	-2.7	0.6	-0.2	-1.0	-1.5
% of GDP	-4.8	-0.3	-1.2	0.0	-3.2	0.7	-0.2	-1.1	-1.5
Consolidated government balance	-2.9	-10.2	-6.5	-4.0	-3.9	-6.2	-3.7	-3.8	-3.4

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Chile

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■ **Summary view** – The macro outlook remains constrained by weak domestic demand and deteriorating fiscal dynamics, despite signs that activity may be stabilizing. Inflation remains above target, eliminating prospects for policy easing this year, while approval of President Kast’s investment reform (Reuters, 22 July) shifts attention toward whether stronger growth can offset mounting fiscal pressures.

Growth appears to be finding a floor, but the recovery remains too shallow to materially improve the 2026 outlook. Recent indicators suggest the contraction phase is at or near its end, with expected June Imacec growth poised to break five consecutive monthly declines and vehicle sales posting their strongest first half since 2023. However, confidence indicators remain weak, unemployment remains near four-year highs, and analysts have continued to revise 2026 growth expectations lower. Mining output has also softened, with lower production guidance from major copper producers limiting the contribution from the external sector. The government’s employment subsidy and the recent approval of investment-friendly reforms may provide some support, but activity still lacks sufficient domestic momentum to deliver a stronger recovery profile. Growth remains constrained by weak labor-market conditions and subdued private-sector confidence.

Inflation remains above target, with recent moderation driven more by energy than by broad-based easing in domestic price pressures. June CPI was unchanged on the month, lowering annual inflation to 4.3% YoY, but the composition remained mixed. Falling fuel prices offset continued pressure from food and services, while underlying measures showed only limited progress toward target. More importantly, renewed volatility in global energy markets and a weaker CLP have increased upside risks to the inflation outlook. Combined with the recent minimum-wage increase and persistent services inflation, these developments have prompted a revision of the end-2026 inflation forecast to 4.1%. While headline inflation has moved off its highs, the convergence process remains uneven and vulnerable to external shocks.

The BCCh has effectively entered an extended holding phase, as inflation persistence outweighs still-soft activity dynamics. June meeting minutes confirmed that policymakers only considered leaving rates unchanged at 4.50%, reinforcing the view that the easing cycle has ended. Inflation remains above target, services components continue to show persistence, and higher oil-price risks have further weakened the argument for additional accommodation. At the same time, easier credit conditions are emerging through other channels, including lower mortgage rates and regulatory changes that should increase banking-system lending capacity. The current configuration leaves policy firmly data dependent, but the balance of risks has shifted away from easing and toward maintaining restrictive conditions for longer. Our previous expectation of a year-end cut is no longer part of the baseline.

Fiscal credibility has become the dominant macro constraint, with debt dynamics and missed fiscal targets increasingly overshadowing modest growth improvements. The Ministry of Finance now acknowledges that structural-balance targets will be missed from 2027 onward, while official projections show public debt exceeding the government’s 45%-of-GDP prudential threshold by the end of the decade. The IMF has echoed concerns that announced measures are insufficient to stabilize debt while preserving fiscal objectives. Against this backdrop, the approval of President Kast’s flagship tax and investment reform marks a significant political achievement, but it also raises questions about the consistency between growth-supportive policies and medium-term consolidation.

Markets are increasingly focused on whether stronger investment and higher potential growth can compensate for weaker fiscal arithmetic.

External accounts remain supported by elevated copper prices and renewed mining investment, but the transmission into FX and domestic confidence remains incomplete. Copper continues to provide an important terms-of-trade cushion, while approval of the Enami–Rio Tinto lithium project strengthens the medium-term outlook for investment and export diversification. However, softer mining volumes and rising energy import costs partially offset these gains. The CLP has remained weak despite supportive commodity prices, reflecting broader concerns about growth and fiscal credibility. The key issue for the second half of 2026 is whether rising investment and favorable commodity prices can generate a sufficiently strong offset to domestic weaknesses. Without that improvement, fiscal concerns are likely to remain the dominant driver of Chile's macro narrative.

Figure 130. Chile Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	279	255	315	302	336	329	358	402	421
Population, mn	18.4	18.6	18.7	18.9	19.0	19.2	19.3	19.5	19.6
Real GDP, yoy avg	0.6	-6.1	11.3	2.1	0.7	2.8	2.5	1.7	2.3
Private consumption growth % yoy	0.7	-7.4	20.8	1.6	-4.7	1.1	2.7	2.7	2.2
Real investment growth % yoy	1.2	-18.8	30.5	1.0	-6.4	1.2	10.6	2.9	2.8
Real export growth, % yoy	-2.5	-0.9	-1.5	0.8	0.3	7.2	4.6	1.6	3.3
Real import growth, % yoy	-1.7	-12.3	31.9	1.3	-11.1	2.1	10.5	4.1	3.5
Net export contribution to growth	-0.2	3.3	-9.1	-0.2	3.6	1.2	-1.7	-0.8	-0.2
Unemployment, % of labour force	7.2	10.8	8.9	7.9	8.7	8.5	8.6	8.6	8.5
External (US\$bn)									
Current account	-14.5	-5.0	-23.0	-26.7	-10.5	-4.9	-8.9	-7.8	-9.3
% of GDP	-5.2	-1.9	-7.3	-8.8	-3.1	-1.5	-2.5	-1.9	-2.2
Trade balance	3.0	18.9	10.3	3.6	13.8	21.0	19.8	20.2	19.1
FDI, net	3.2	5.0	0.6	4.7	9.6	8.9	7.3	5.6	5.8
External debt	195.4	201.6	235.2	249.4	259.0	261.0	294.4	344.4	375.2
Short-term debt	20.0	18.3	22.7	21.7	24.1	23.6	25.7	28.9	-
International reserves	40.7	39.2	51.3	38.6	46.4	44.4	46.4	46.4	46.4
Public Finances, % of GDP									
Consolidated government balance	-2.9	-7.3	-7.7	1.1	-2.4	-2.8	-2.0	-1.7	-1.5
Consolidated gov primary balance	-1.9	-6.3	-6.9	2.1	-1.3	-1.6	-0.8	-0.5	-0.3
Public debt	27.3	32.0	34.6	38.1	37.8	42.3	41.7	40.7	40.0
External public debt	8.4	10.0	12.8	15.8	17.8	17.2	17.6	18.9	19.3
Prices									
CPI, %yoy, eop	3.0	3.0	7.2	12.8	3.9	4.5	3.4	3.8	3.2
CPI, %yoy, avg	2.6	3.0	4.5	11.6	7.6	4.3	4.2	3.6	3.2
CLP/US\$, eop	752.0	710.5	852.0	848.3	881.0	993.9	900.7	903.0	904.9
CLP/US\$, avg	703.3	791.8	760.6	873.6	840.4	944.1	951.0	918.4	893.0
Policy Interest Rate, % eop	1.75	0.50	4.00	11.25	8.25	5.00	4.50	4.50	5.75
Long-term yield, %, eop	2.26	1.51	5.40	7.64	7.07	6.50	6.50	6.25	6.25
Nominal wages, % yoy	4.5	4.2	6.8	10.9	7.7	7.5	2.7	1.5	0.0
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	1.6	-0.5	2.0	4.3	0.9	2.2	2.8	2.3	1.9
CPI, %yoy, avg	3.4	2.7	4.0	3.7	3.8	4.0	2.7	2.9	3.1
CLP/US\$, eop	900.65	926.27	914.28	921.98	903.05	884.53	886.79	895.85	904.91
Policy interest rate, %, eop	4.50	4.50	4.50	4.50	4.50	5.00	5.25	5.50	5.75

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Source: Citi Research, National Sources

Colombia

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■ **Summary view** – The government transition is beginning against a more challenging macro backdrop, with inflation accelerating, Banrep extending the hiking cycle, and the incoming administration confronting a larger fiscal adjustment than previously acknowledged. Political clarity has improved markedly, but fiscal credibility remains the key determinant of the sovereign outlook.

Growth remains supported by domestic demand, but supply-side constraints continue to limit the durability of the recovery. Retail sales remained strong through May, while consumer confidence reached a one-year high, indicating that household demand continues to outperform expectations despite restrictive financial conditions. However, the productive side of the economy remains much weaker. Manufacturing contracted in May, formal job creation continues to lag, and FDI inflows remain subdued, particularly in hydrocarbons. Energy constraints linked to El Niño conditions and agricultural disruptions caused by flooding are adding to supply-side pressures. The incoming administration's commitment to accelerating infrastructure and investment projects could provide support later in the year, but near-term growth remains uneven and vulnerable to implementation risks.

Inflation persistence remains the dominant macroeconomic challenge, reinforcing a higher-for-longer policy environment. June CPI increased to 6.14% YoY, with services inflation accelerating further and core measures remaining above headline inflation for a tenth consecutive month. The composition of inflation continues to point to entrenched domestic pressures, particularly through housing costs, wages, and indexation-sensitive services. Food-price risks have also increased as flooding affects agricultural regions, while El Niño continues to create uncertainty around food and energy prices in the second half of 2026. Inflation expectations have stopped improving and remain on an upward trend, supporting our revised end-2026 inflation forecast of 6.5%. The return to the central bank's 3% target is likely to be gradual and remains unlikely before late 2027.

Banrep has reaffirmed its inflation-fighting commitment, with the June 75bp rate hike signaling that the tightening cycle is not yet over. The increase to 12.0% exceeded market expectations and reflected growing concern over both inflation persistence and elevated expectations. Policymakers continue to highlight resilient activity, strong wage dynamics, and broad-based services inflation as justification for maintaining restrictive monetary conditions. Recent inflation surprises, rising energy-price volatility, and proposed changes to gas-price regulation have complicated the outlook further. We continue to expect one additional hike to 12.50% this quarter, followed by a prolonged pause. More importantly, the central bank is unlikely to consider easing until inflation and fiscal dynamics show more convincing improvement. The interaction between fiscal consolidation and monetary policy will remain the key determinant of the eventual easing cycle.

Fiscal dynamics have become the central challenge for the incoming administration, with adjustment needs likely larger than official estimates suggest. Independent assessments continue to project wider deficits and higher debt trajectories than those embedded in the current fiscal framework, while revenue performance remains insufficient to close the gap. Encouragingly, the incoming administration has acknowledged the scale of the problem. Finance minister-designate Miguel Gómez has emphasized expenditure restraint rather than new taxes, focusing on spending freezes, public-sector rationalization, and efficiency gains (The Strait Times, 1 July). Markets have responded positively to this shift in tone, but execution risks remain significant given congressional

fragmentation and competing spending demands. The August budget submission will therefore serve as the administration's first major test of fiscal credibility.

The political transition is largely complete, shifting attention from electoral outcomes to policy implementation. De la Espriella's victory has been formally certified, and recent cabinet appointments have generally reinforced expectations of a more market-friendly policy framework. The appointment of María Nohemí Arboleda as energy minister stands out as a technocratic choice aligned with the administration's focus on energy security, infrastructure development, and regulatory stability (Bloomberg, 14 July). Nevertheless, tensions between the outgoing and incoming administrations have complicated the transition process, while a fragmented Congress may constrain policy execution. The post-election COP rally reflected optimism over the new government's agenda, but future market performance will depend on whether favorable rhetoric is translated into a credible fiscal strategy. Early disappointments on consolidation could quickly reverse recent gains in investor sentiment.

Figure 131. Colombia Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	323	271	318	346	369	420	459	568	572
Population, mn	50.4	50.9	51.5	52.0	52.5	53.1	53.6	54.2	54.7
Real GDP, yoy avg	3.2	-7.2	10.8	7.3	0.8	1.5	2.6	2.5	2.1
Private consumption growth % yoy	4.1	-5.0	14.7	10.8	0.5	1.6	3.5	2.2	2.0
Real investment growth % yoy	3.0	-20.7	11.6	16.0	-16.1	2.4	1.2	0.5	6.4
Real export growth, % yoy	3.1	-22.5	14.6	12.5	3.1	0.4	1.9	4.0	2.0
Real import growth, % yoy	7.3	-20.1	26.7	24.0	-10.0	1.2	8.6	2.7	4.1
Net export contribution to growth	-1.2	1.2	-3.4	-3.8	3.0	-0.2	-1.7	-0.1	-0.7
Unemployment, % of labour force	11.2	18.6	15.2	11.4	10.4	10.1	8.5	8.8	9.7
External (US\$bn)									
Current account	-14.8	-9.3	-17.9	-20.9	-8.3	-7.1	-11.0	-11.9	-13.8
% of GDP	-4.6	-3.4	-5.6	-6.0	-2.3	-1.7	-2.4	-2.1	-2.4
Trade balance	-9.9	-8.9	-14.0	-12.2	-6.8	-9.2	-14.8	-18.4	-22.7
FDI, net	10.8	5.7	6.4	13.8	15.5	9.2	6.7	9.2	9.4
External debt	138.7	154.5	171.3	184.1	189.8	202.9	231.3	247.9	267.5
Short-term debt	-	-	-	-	-	-	-	-	-
International reserves	53.2	59.0	58.6	57.3	59.6	62.5	65.2	65.2	65.2
Public Finances, % of GDP									
Consolidated government balance	-2.5	-7.8	-7.0	-5.3	-4.3	-6.7	-6.2	-6.4	-4.5
Consolidated gov primary balance	0.4	-5.0	-3.6	-1.0	-0.3	-2.4	-3.2	-2.0	-0.5
Public debt	47.2	62.1	60.7	59.3	53.8	60.0	61.0	61.1	62.3
External public debt	16.0	23.0	24.5	24.8	20.8	22.5	22.6	22.3	22.5
Prices									
CPI, %yoy, eop	3.8	1.6	5.6	13.1	9.3	5.2	5.1	6.5	4.2
CPI, %yoy, avg	3.5	2.5	3.5	10.2	11.8	6.6	5.1	6.0	5.0
COP/US\$, eop	3,287	3,422	4,070	4,848	3,875	4,406	3,771	3,435	3,716
COP/US\$, avg	3,283	3,693	3,749	4,261	4,324	4,073	4,051	3,467	3,624
Policy Interest Rate, % eop	4.25	1.75	3.00	12.00	13.00	9.50	9.25	12.50	10.50
Long-term yield, % eop	6.33	3.83	5.08	14.08	15.08	11.58	11.33	14.33	12.33
Nominal wages, % yoy	5.0	5.1	5.2	5.3	5.4	5.5	5.6	5.7	5.8
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	2.1	2.2	3.3	2.3	2.3	2.4	1.8	1.9	2.3
CPI, %yoy, avg	5.3	5.4	5.9	6.3	6.4	6.1	5.2	4.5	4.2
COP/US\$, eop	3,771	3,669	3,413	3,340	3,435	3,527	3,595	3,656	3,716
Policy interest rate, % eop	9.25	11.25	12.00	12.50	12.50	12.00	11.50	11.00	10.50

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Source: Citi Research, National Sources

Mexico

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■ **Summary view** – Outlook for mid-2026 is shaped by a fragile activity recovery, persistent political headwinds from US–Mexico tensions, and a Banxico firmly on hold. The USMCA review remains the central variable for the second half of the year, with the risk of negotiations extending beyond 2026 increasing.

Activity is rebounding in 2Q26, but the recovery rests on shaky foundations.

Industrial production surged 2.1% MoM/SA in April, led by a striking construction rebound, and we maintain our 2Q26 call of 0.8% QoQ/SA. However, the demand side tells a more cautious story: consumer confidence fell to its lowest level since end-2022, formal employment contracted at the margin in May, and private consumption momentum remains weak on a quarterly annualized basis in March. The World Cup should provide a transitory boost to June activity, though tourism inflows seem to have fell short of initial projections ([Bloomberg Linea](#), Jun-13). For the full year, our GDP growth forecast stands at 1.1%, with the recovery weighted toward the second half and contingent on a USMCA deal materializing.

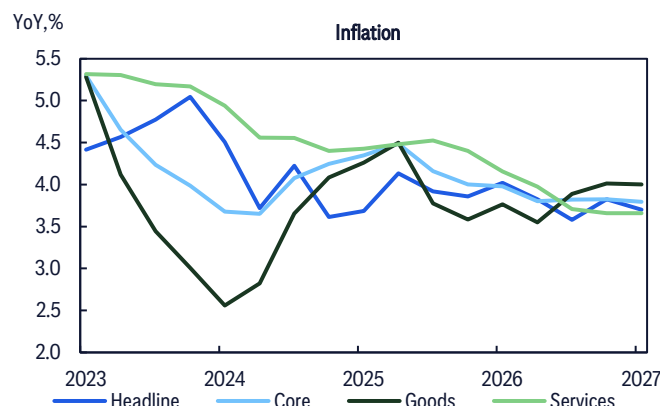
The USMCA review has entered structured negotiations, but the path to a deal is increasingly uncertain. Two negotiations rounds have concluded between Mexico and the U.S. with a third one expected on July 20, confirming a delay past the July 1 legal deadline. Passing the deadline implies that the current legal framework continues to be in place, but negotiations could extend for at most 10 years. The U.S. has signaled a structural shift away from tariff-free trade, with the USTR stating that Section 232 measures on autos and steel will persist. President Trump's comment that the US is "not looking to renew" USMCA ([Bloomberg](#), Jun-10), while likely a negotiating tactic, raises the probability that the review extends into 2027—a scenario that would continue to suppress investment and weigh on our activity outlook.

Inflation is stable, and the bar for Banxico to deviate from its forward guidance of stable rates remains high. Annual headline inflation eased to 3.77% in the second half of May, aided by non-core food price relief, while core held at 4.15%. The geopolitical conflict has had a contained effect on prices so far, with the gasoline excise tax mechanism absorbing the oil price shock. [El Niño poses an upside risk to non-core food inflation](#) ahead, but we are more than comfortable accommodating this within our end-year headline forecast of 4.4%. Banxico's board views activity weakness and a resilient peso as disinflationary forces sufficient to keep rates at 6.50% through year-end.

The fiscal outlook remains challenging. The fiscal deficit as of April outperformed the program on significant expenditure under-execution, but oil revenues continue to be dragged by the stronger peso, while during the rest of the year support to the state oil company and social spending pressures continue. We forecast a fiscal deficit of 4.4% of GDP for 2026, above the Ministry of Finance's 4.1% target. Fiscal consolidation will require both expenditure discipline and a meaningful improvement in growth dynamics that are not yet visible. Please see for further detail: [Mexico Economics: Fiscal crossroads](#)

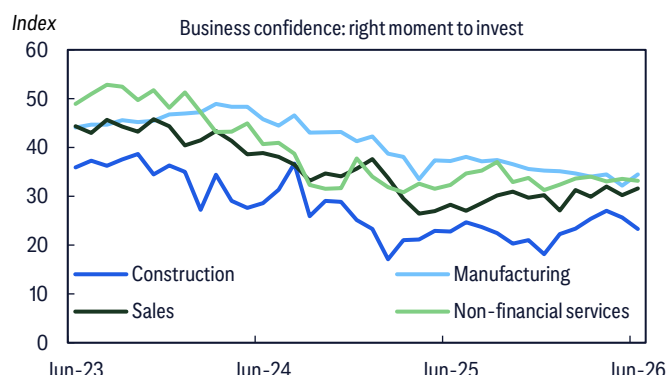
President Sheinbaum faces a politically complex environment heading into the 2027 midterms. US indictments of ruling-party governors for alleged cartel ties have placed her in a difficult position, hardening her rhetoric against Washington while the USMCA review is ongoing. Public security approval ratings have deteriorated sharply, and the Congress approval of a constitutional reform allowing elections to be annulled on grounds of foreign interference adds a layer of institutional uncertainty. Social programs remain highly rated and continue to anchor her overall approval, but they may not be sufficient to offset security-related discontent at the ballot box.

Figure 132. Inflation outlook relief



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Source: Citi Research, El Financiero

Figure 133. Business sentiment is soft



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Source: Citi Research, INEGI

Figure 134. Mexico Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	1,304	1,129	1,317	1,468	1,798	1,839	1,839	2,119	2,154
Population, mn	125.5	126.9	128.0	128.9	129.6	130.3	131.0	132.9	133.9
Real GDP, yoy avg	-0.4	-8.4	6.0	3.7	3.1	1.5	0.5	1.1	2.0
Private consumption growth % yoy	0.9	-9.8	8.4	4.8	4.2	2.8	1.0	1.7	2.0
Real investment growth % yoy	-4.2	-18.3	11.4	7.3	12.7	4.4	-6.4	-1.7	2.6
Real export growth, % yoy	1.2	-7.0	7.1	9.5	-7.1	3.5	6.9	2.7	4.0
Real import growth, % yoy	-1.1	-12.0	15.7	8.6	4.8	3.8	3.7	10.4	4.7
Net export contribution to growth	0.9	2.1	-3.3	0.2	-5.2	-0.4	1.0	-3.9	-0.7
Unemployment, % of labour force	3.5	4.4	4.1	3.3	2.8	2.7	2.6	2.7	2.7
External (US\$bn)									
Current account	-3.9	26.9	-4.5	-15.0	-10.3	-16.9	-8.8	-21.0	-21.2
% of GDP	-0.3	2.4	-0.3	-1.0	-0.6	-0.9	-0.5	-1.0	-1.0
Trade balance	5.2	34.2	-10.7	-28.3	-12.4	-18.5	0.8	-12.0	-14.1
FDI, net	23.9	26.6	35.9	21.8	29.9	32.5	31.4	39.9	40.2
External debt	621.6	628.5	602.1	582.6	594.0	590.1	645.7	647.7	667.5
Short-term debt	55.5	46.4	47.0	54.8	60.2	62.9	62.2	62.3	65.0
International reserves	180.7	195.7	202.4	199.1	212.8	228.8	252.1	257.2	264.0
Public Finances, % of GDP									
Consolidated government balance	-2.3	-3.8	-3.7	-4.3	-4.3	-5.8	-4.3	-4.4	-3.7
Consolidated gov primary balance	1.6	0.2	0.2	0.0	0.4	-0.5	0.9	0.3	0.7
Public debt	43.3	50.2	49.1	47.6	46.6	51.9	52.6	54.8	55.2
External public debt	14.8	18.0	16.5	14.0	11.2	13.0	11.9	13.6	16.9
Prices									
CPI, %yoy, eop	2.8	3.2	7.4	7.8	4.7	4.2	3.7	4.1	3.7
CPI, %yoy, avg	3.6	3.4	5.7	7.9	5.5	4.7	3.8	4.0	3.7
MXN/US\$, eop	18.93	19.89	20.50	19.49	16.97	20.82	18.01	17.55	18.38
MXN/US\$, avg	19.25	21.48	20.29	20.11	17.74	18.32	19.20	17.62	17.97
Policy Interest Rate, % eop	7.25	4.25	5.50	10.50	11.25	10.00	7.00	6.50	6.50
Long-term yield, % eop	6.89	5.53	7.56	9.02	8.94	10.42	9.11	8.90	8.90
Nominal wages, % yoy	6.7	7.3	7.2	10.8	10.9	9.6	7.3	6.7	7.0
Quarterly Economic Indicators									
GDP, % yoy	2025 Q4F	2026 Q1F	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
CPI, %yoy, avg	1.7	0.2	1.5	1.5	1.3	2.4	2.0	1.9	1.9
MXN/US\$, eop	3.7	4.1	3.9	3.9	4.0	3.8	3.6	3.8	3.7
Policy interest rate, % eop	18.01	17.94	17.61	17.52	17.55	17.59	17.81	18.09	18.38
	7.00	6.75	6.50	6.50	6.50	6.50	6.50	6.50	6.50

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Peru

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■ **Summary view** – President-elect Keiko Fujimori will assume office with stronger growth fundamentals, record external buffers, and improving fiscal metrics, but higher inflation and El Niño risks are beginning to complicate the outlook. Velarde's decision to remain at the BCRP reinforces institutional continuity at a critical point in the transition.

Growth momentum remains constructive despite softer recent activity data and increasing weather-related risks. May output expanded by a modest 1.8% YoY, pointing to some loss of momentum relative to the stronger first quarter and reinforcing expectations of a softer growth profile in 3Q26. However, the broader backdrop remains supportive. Mining investment continues to accelerate, exports are running at record levels, public investment remains strong, and credit growth continues to support domestic demand. The incoming Fujimori administration has also contributed to improved business sentiment through its emphasis on investment and permitting reform. While El Niño introduces a meaningful late-year downside risk, particularly through fisheries and agriculture, the economy retains multiple growth drivers that leave the medium-term outlook more favorable than earlier in the year. We continue to expect growth to strengthen gradually after a softer third quarter.

Inflation has moved higher, but the increase continues to reflect non-core pressures rather than a deterioration in underlying price dynamics. Recent headline readings have pushed inflation above the upper end of the BCRP's target range, prompting a revision of our end-2026 forecast to 3.4% from 2.8%. The main drivers remain fuel, transport, and weather-related food pressures, while core inflation and inflation expectations remain broadly consistent with medium-term convergence. El Niño risks have become more important, particularly as authorities warn that weather disruptions are likely to intensify toward year-end. At the same time, higher global energy-price volatility adds uncertainty to the near-term inflation path. Despite these pressures, the current inflation episode still appears concentrated in relative-price adjustments rather than broad-based persistence, allowing the medium-term disinflation narrative to remain intact.

Monetary policy remains anchored by institutional continuity, with Velarde's decision to stay significantly reducing transition uncertainty. The confirmation that Julio Velarde will remain governor removes one of the most important policy questions facing markets ahead of the inauguration. The decision preserves continuity in the inflation-targeting framework and reinforces confidence in monetary policy independence. While inflation has moved above previous expectations, the nature of the shock remains largely non-core, allowing the BCRP to maintain a patient stance for now. The debate around future tightening has become more active as inflation risks have increased, but policy remains appropriately positioned at current levels. Velarde's continued leadership strengthens expectations that future decisions will remain data dependent and insulated from political pressures (Model Diplomat, 6 July).

Fiscal performance has improved, while institutional developments strengthen the longer-term policy framework. The fiscal deficit has narrowed significantly, supported by strong tax collection and commodity-related revenues, particularly from mining. At the same time, the Constitutional Tribunal's decision to restrict Congress' ability to initiate new spending commitments represents a meaningful institutional improvement after several years of fiscal slippage through legislative initiatives. The ruling restores executive control over budget policy and reduces an important source of expenditure pressure. Nevertheless, challenges remain. Supplementary spending initiatives, rising recurrent expenditures, and contingent liabilities linked to state-owned enterprises continue to warrant attention. Fiscal

consolidation is progressing, but preserving discipline beyond the current commodity cycle remains the key medium-term challenge.

External accounts remain Peru's strongest macro anchor, supported by record exports, elevated reserves, and continued mining expansion. Goods exports continue to benefit from strong mining production and favorable metal prices, with copper and gold accounting for most of the improvement. International reserves remain among the highest in the region relative to GDP, providing a substantial buffer against external volatility and supporting confidence during the political transition. The combination of strong exports, positive trade balances, and resilient remittances leaves Peru in a uniquely strong external position. The principal risk comes from El Niño, which could weigh on agro-exports and fisheries later in the year, while softer Chinese growth could moderate commodity demand at the margin. For now, however, external accounts continue to provide a significant source of macroeconomic resilience as the Fujimori administration prepares to take office.

Figure 135. Peru Economic Indicators

	2019	2020	2021	2022	2023	2024	2025F	2026F	2027F
Activity									
Nominal GDP, USD bn	237	210	230	249	272	296	342	383	390
Population, mn	32.7	33.0	33.3	33.6	33.9	34.2	34.5	34.8	35.1
Real GDP, yoy avg	2.2	-10.9	13.4	2.8	-0.4	3.5	3.4	2.9	3.0
Private consumption growth % yoy	3.2	-9.9	12.5	3.5	0.1	2.8	3.6	2.8	3.1
Real investment growth % yoy	0.7	-17.2	25.6	0.7	-8.1	9.2	13.1	6.9	3.1
Real export growth, % yoy	1.0	-19.9	12.8	5.5	4.0	6.7	4.7	3.8	4.0
Real import growth, % yoy	3.1	-13.6	15.3	3.7	0.9	8.5	12.6	7.2	4.2
Net export contribution to growth	-0.5	-1.7	-0.9	0.4	0.8	-0.5	-2.3	-1.2	-0.3
Unemployment, % of labour force	6.6	12.8	11.3	7.7	6.9	7.3	7.4	6.8	7.3
External (US\$bn)									
Current account	-1.7	1.6	-5.1	-10.0	0.9	6.4	4.6	4.2	2.7
% of GDP	-0.7	0.8	-2.2	-4.0	0.3	2.2	1.4	1.1	0.7
Trade balance	6.9	8.1	15.1	10.3	17.1	24.1	26.3	25.5	24.9
FDI, net	5.3	-1.2	5.2	11.8	2.9	5.6	10.7	10.1	10.6
External debt	61.1	70.8	83.8	84.4	93.1	98.5	115.5	130.7	133.9
International reserves	68.4	74.9	78.5	72.2	71.3	79.2	82.9	84.8	86.2
Public Finances, % of GDP									
Consolidated government balance	-1.6	-8.7	-2.5	-1.7	-2.8	-3.5	-2.4	-1.9	-1.8
Consolidated gov primary balance	-0.2	-7.1	-1.0	-0.1	-1.1	-1.8	-0.5	-0.3	-0.4
Public debt	25.9	34.5	35.8	33.9	32.9	32.2	32.8	33.3	33.6
External public debt	8.3	14.8	19.4	17.6	16.3	15.4	15.8	16.1	16.2
Prices									
CPI, %yoy, eop	1.9	2.0	6.4	8.5	3.2	2.0	1.5	3.4	2.5
CPI, %yoy, avg	2.1	1.8	4.0	7.9	6.3	2.4	1.5	3.5	1.8
PEN/US\$, eop	3.31	3.62	3.99	3.81	3.71	3.76	3.36	3.45	3.55
PEN/US\$, avg	3.34	3.49	3.88	3.83	3.74	3.75	3.56	3.39	3.50
Policy Interest Rate, % eop	2.25	0.25	2.50	7.50	6.75	5.00	4.25	4.25	5.00
Long-term yield, %, eop	4.30	2.30	4.55	9.55	8.80	7.05	6.30	6.30	7.05
Nominal wages, % yoy	5.1	5.1	-	-	-	-	-	-	-
Quarterly Economic Indicators									
	2025 Q4	2026 Q1	2026 Q2F	2026 Q3F	2026 Q4F	2027 Q1F	2027 Q2F	2027 Q3F	2027 Q4F
GDP, % yoy	3.2	3.5	2.9	2.2	2.8	2.8	2.9	3.1	3.1
CPI, %yoy, avg	1.4	2.6	4.0	3.9	3.5	2.6	0.9	1.4	2.3
PEN/US\$, eop	3.36	3.50	3.38	3.40	3.45	3.48	3.50	3.53	3.55
Policy interest rate, %, eop	4.25	4.25	4.25	4.25	4.25	4.75	5.00	5.00	5.00

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Uruguay

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■ **Summary view** – While Uruguay's near-term growth outlook is improving, it is driven by wage-led consumption rather than job creation or productivity-enhancing investments. Despite strong international market confidence and historically low sovereign risk, exogenous uncertainties (such as the ME conflict, US interest rates, El Niño) create a "fog" that hinders the investment and productivity leap needed to secure sustainable, less vulnerable prosperity. The announced "Competitiveness Law" is a positive sign that the government clearly understands the challenge and improve future expectations.

Economic activity grew 0.8% QoQ (SA) in Q1, though April's IMAE slowed by 1.3% MoM, indicating some first four-month deterioration. Sectorally, growth was driven by financial services (+3.1%), transport & communications (+2.2%), and trade (+1.4%), while construction (-3.4%) and agriculture (-3.7%) contracted. On the demand side, private consumption remained the main driver (+2.9%), whereas fixed investment (-3.4%) and net exports (-2.4%) dragged. We maintain our 2026 forecast at +1.8% amid external uncertainties (Middle East conflict, US interest rates, potential impact of El Niño) and the positive potential impact of the government's new "Competitiveness Law" to boost productivity, deregulate, and revive sluggish investment. Finally, the IMAE trend-cycle grew 0.2% MoM, maintaining its previous pace and the prospects of an economy that grows moderately, slowed by structural factors.

June CPI rose 0.4% (below the 0.5% expectation reflected in the BCU Survey), pushing annual inflation to 4.3% from 3.8% in May, which remains within the target range but below the 4.5% target. Lower-than-expected core inflation—driven by a 0.2% drop in tradables and a modest 0.2% rise in non-tradables—offset a 0.3 percentage point fuel-driven increase (gasoline +6%, diesel +7%). Consequently, we maintain our 2026 annual inflation forecast at 4.2%, anticipating lower fuel prices as geopolitical conflicts ease.

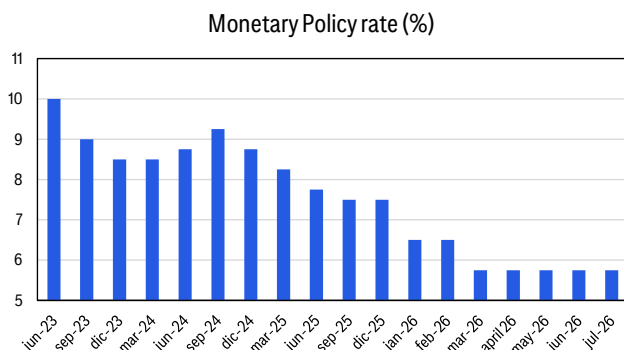
The Central Bank kept the TPM (Tasa de Política Monetaria) interest rate policy at 5.75% annually, confirming the stability observed in recent months, which we expect to continue in the near term. The BCU noted that the balance between inflation and economic activity targets is well-aligned for the next 24 months (the monetary policy horizon). The latest statement highlights the decline in oil prices recorded during June (despite volatility driven by fluctuating news regarding the end of conflict), which contributed to moderating inflationary risks for the coming months (a view we factored into our inflation forecast). Due to high exogenous uncertainties, the central bank projects the policy rate (TPM) to close this year around 6.25% and near 6.5% by late 2027, aligning with our forecast of a slightly higher year-end rate (6.1% in 2026 and 6.3% in 2027). This slight upward trajectory does not signal a major policy shift.

The government presented the Budget Review (Rendición de Cuentas) forecasting lower economic growth (+1.6% compared to the +2.2% included in the Budget) while maintaining fiscal targets. According to local analysts, meeting these targets is subject to risks regarding both revenue growth potential and the government's ability to continue under-executing expenditures. Although there have been no significant fiscal changes, maintaining fiscal discipline relies on assumptions such as higher tax collection from increased economic activity, greater collection efficiency, and continued under-execution of operational spending.

Moody's (20 July) warned that slower economic growth and lower tax collection will weaken Uruguay's debt stability, projecting gross debt to exceed 65% of GDP by 2030. Although the MEF maintained its fiscal targets by planning cuts to

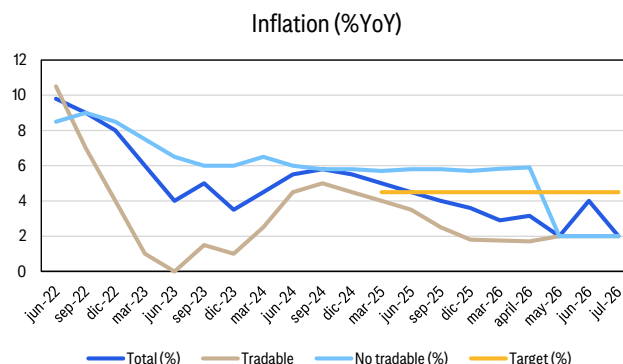
operating expenses and discretionary transfers, Moody's considers these measures insufficient to stabilize debt. Nonetheless, it is important to note that this announcement did not have negative effects on the country's sovereign risk, which is among its historical lows.

Figure 136. We expect policy rate at 5.75% in the near term.



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Figure 137. 2026 inflation kept at 4.2%, anticipating lower fuel prices



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Source: Citi Research, BCU

Figure 138. Uruguay Economic Indicators

	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Activity									
Nominal GDP, USD bn	62.1	53.7	61.4	71.2	77.9	81.0	84.2	85.7	87.4
Population, mn	3.4	3.4	3.4	3.4	3.5	3.5	3.5	3.5	3.5
Real GDP, yoy avg	0.7	-6.3	5.3	4.9	0.7	3.1	2.1	1.8	2.0
External (US\$bn)									
Current account	0.9	-0.4	-1.5	-2.5	-2.4	-0.6	-1.0	-1.2	-1.5
% of GDP	1.5	-0.8	-2.5	-3.5	-3.1	-0.7	-1.2	-1.4	-1.7
Public Finances, % of GDP									
Consolidated government balance	-3.2	-5.2	-3.5	-3.2	-3.7	-4.1	-4.3	-4.2	-3.9
Public debt	60.0	74.3	69.1	67.8	68.6	67.4	67.2	71.3	74.7
Prices									
CPI, %yoy, eop	8.8	9.4	8.0	8.3	5.1	5.5	4.2	4.2	4.5
CPI, %yoy, avg	7.9	9.7	7.8	9.2	5.9	4.8	4.8	4.5	4.7
UYU/US\$, eop	37.33	42.36	44.72	39.98	39.06	43.68	39.06	42.54	44.24
UYU/US\$, avg	35.15	41.90	43.56	41.11	38.83	40.12	41.06	42.40	42.70
Policy Interest Rate, % eop	-	4.50	6.50	11.50	9.25	8.75	7.85	6.10	6.30

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Appendix A-1

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